Outline

Varun Malik and Rajesh Kapoor

Wednesday, 13 January 2021 10:40 am

ANSWERS AS SHORT AS POSSIBLE

- More conceptual than CLAT
- General principles of contracts:
  - How contract is created
  - How is it enforced, performed
  - If breached what is recourse
- Books: Avtar Singh- contract and specfic relief- not abridged version- for nuanced understanding
- Exam pov: classes are mostly enough
- Case names not as imp- concepts and principles are KEY.

- He asks very basic questions-
- Crisp and short answers

PROJECT RK SIR:

- Very crisp, short papers- do not unnecessarily expand
- Look at what explanations are provided in the judegement and how do they seem similar to different
- Or adding to a provison already made.

TEST:

- VM has strict word limits (200-400 words for short answer)
  - Can write main rule and mention where the law is from in brackets (either the case name or section)
    - Very brief sentences: the principle applicable is "..." (A v. B), write most crucial part of sec- not the whole thing
    - And use more words to explain
  - Asks convoluted questions, operates in the grey area
  - Usually on intricacies of case- tweaks established cases
    - Know your cases
    - Also why you are using and adhering to the case.
  - **So read problem carefully**
- **ANSWERS:**
  a. Payment for exclusivity, not concerned w/ idea of price, so no breach
  b. Payment for exclusivity, which means no alteration of contract- therefore breach- NOTHING about COUNTER OFFER (ugghh) can use Mountford v. Scott says that payment creates a parallel contract, exclusivity includes all the terms of, so breach of contract to keep offer open.
  - Answer systematically
  - Exclusivity, Mountford plus revocation if new offer
  - If sir says 250 words, upto 300 is okay and sir itself can answer it in 100 words

★ • **IDEAS OF FORMATION (s 1-30) cannot be used for PERFORMANCE part (s 30-75)**
- **So performance by coercion has nothing to do w/ sec 15**

- PPT not really needed- 7-8 min
- Be snappy

TEST FEEDBACK FROM RK SIR: THINK LIKE A DOCTOR: Precise, and exactly what the patient needs- address the root

- Be extremely, extremely precise- just the one or 2 cases you need and be as short as possible
- Critical as in, what was wrong with that judegement- and why the Indian scenario is better.
    - As in where is the weakness in the law.
    - You have to address this if sir has said "critically"
- Basically like a summary
- Consideration is a requirement for a valid contract in Indian and English law.
    - In English law there is an exception in estoppel promissory
- Foakes v. Beer is main here for example + sec 63

- FIND THE MAIN TOPIC:
    - THEN Narrow on the main case that is MOST relevant, (max 1-2)
    - Then critique that case!
    - Then give your final opinion

General Principles of Formation of Contracts

ICA= Indian Contract Act

Monday, 18 January 2021 12:12 pm

I.INTRODUCTION

AGREEMENT: Most basic definition: Set of rights and obligations mutually agreed by pvt parties.

- **Under ICA: Every promise and every set of promises forming the consideration for each other**
- Can apply to any kind of agreement
- Corresponding right and obligations exist but need not be in the same person as in traditional sale agreements for example.
- EX: Like A gifting property to B, B will only have a right no obligation in this case but because A has an obligation to gift the property to B then only B has a right crated to get it.
- "Pvt." imp since not prescribed by any public body.
  - Meaning ***parties are free*** to decide the rights and obligations, and these are not dictated by any political org
- But not all agreements are contracts so these rights and obligations are not legally enforceable.

- Law of contracts is a civil obligation, apart from trusts, torts
  - To come under law of contracts must not only satisfy all ingredients of a contract but must also have its spirit as in parties intended to have legal consequences for the agreement.

PROCESS/ BUILDING BLOCKS OF CONTRACT FORMING:

- Definitions are given in Sec 2 of ICA, 1872
- Simply, A contract is an agreement; an agreement is a promise and a promise is an accepted proposal.

1. OFFER
2. ACCEPTANCE
3. PROMISE= OFFER + ACCEPTANCE
4. AGREEMENT = PROMISE + CONSIDERATION
5. **CONTRACT: Agreement which is legally enforceable in a court of law (S 2(h))**
   - Enforceability by sec 10 of Contract Act (CA)
   - **SEC 10: All agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not hereby expressly declared to be void.**
     - **i. Free consent (S. 13-22)**
     - **ii. Competent to contract (S11-12)**
     - **iii. Lawful consideration (S.25, 2d)**
     - **iv. Lawful object**
     - **v. Not expressly void (Sec 23-30 and Sec 36 and 56)**
   - S 1-30 therefore deal w/ formation of contract

II. OFFER/PROPOSAL:

OFFER: Under S 2(a), **When one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other to such act or abstinence, he is said to make a proposal.**

- The whole purpose of a proposal is to get someone else to do something so assent is most imp here
- PROMISOR/OFFEROR: person making proposal
- OFFEREE: person to whom offer is made
- PROMISEE: person who accepts the offer made to him by another.

i. Act
ii. Abstinence
iii. Assent
iv. **SIGNIFIES: means to indicate or declare:**

- ***How do can you make an offer/ signify it- sec 3 of the Act***
  - **Part of sec 3: deemed to be made by any act or omission of the party proposing, accepting or revoking by which he intends to communicate such proposal, acceptance or revocation, or which has the effect of communicating it**
  - **Sec 9: —In so far as the proposal or acceptance of any promise is made in words, the promise is said to be express. In so far as such proposal or acceptance is made otherwise than in words, the promise is said to be implied**

- **EXPRESS OFFER: Words spoken/oral or Words written**
- **IMPLIED OFFER: through conduct**
  - Neither law of contracts nor sale of goods requires proposals in writing
  - EX: Going to a restaurant and sitting down to eat- the offer to get a meal in exchange for payment was completely based on conduct without having to saying words your intention in coming there.
  - .An unconditional acknowledgement of liability with nothing said to the contrary amounts to an implied promise to pay
- Sometimes the whole act may be a mix- the signification can be express but the manifestation of intention to seek assent may be implied- based on context like in the case of the restaurant where ordering a dish aloud would signify expressly while sitting in a restaurant would imply the intention to pay for it/seek assent.
  - Use reasonable person standard to gauge what a reasonable offeror and offeree may take away from a situation being decided on.
  - Sometimes a sequence of events may exhibit an agreement, though offer and acceptance are indiscernible.
  - Take context into consideration.
    - Examples include not responding to the other party's change of a term in a contract implying consent w/ it, paying part of the transaction
- Promise can also become express or implied depending on if either party uses words spoken or written or conduct, respectively.

Upton on Savern RDC v. Powell (1942) 1 All ER 220 (CA)

- FACTS: A person had a farmhouse which was on fire. He called a fire brigade believing that he was in the free zone for this service. After the fire was put out, he was presented a bill which he refused to pay asserting that since he believed he was in the zone, he should not have to pay.
- RULE: Held the farmhouse owner liable to pay the bill since his call for the services implied that he was going to pay for it, with the free service zone argument being irrelevant to the case.

- **How is an offer communicated?**
  - **Sec 4: communication of a proposal is complete when it comes to the knowledge of the person to whom it is made**

Lalman Shukla v. Gauri Dutt (1913) 11 All LJ 489

- FACTS: Gauri Dutt's nephew was lost and asked her servant Lalman to go out and find him. Mr. Shukla found the boy but meanwhile Ms Dutt had put forth an offer of reward of Rs.501 to anybody who found the boy. Only after finding the boy, Mr. Shukla became awrae of the offer and claimed the reward which Ms. Dutt refused to give him .
- RULE: Ms. Dutt was under no obligation to pay the reward since when Mr. Shukla went out to search, the offer of reward was not communicated to him and hence did not direct his action to search for the boy. He was simply doing so under a contract of service to Ms. Dutt.
- **There can be no acceptance to an offer w/o its knowledge.**
  - Also opined that being although this wasn't part of usually 'servant' duties, his agreement to look for the boy prior to the reward and hence was performing under an obligation to his master, not as accpetance to the reward, and hence his act cannot be considered consideration under sec 8 of the Ica either.

Williams v. Carwardine (1833) 2 LJKB101:

- FACTS: Mrs. Williams' husband had committed the murder of the Mr. Carwardine's brother. She initially gave some evidence but this wasn't enough for a conviction. Carwardine then announced a reward for anyone who him more information regarding the identity of the murderer. Shortly afterwards, Mrs. Williams was beaten and bruised by her husband and fearing for her life and to ease her conscious she gave the information to Carwardine, claiming the reward. Carwardine refused.
- ISSE: Whether the fact that Mrs. Williams having known of the reward gave the information with motive in addition to receiving it was material?
- RULE: Ruling in her favour the court pronounced that 'Where an offer has been accepted with knowledge of the reward, the fact that the informer was influenced by motives other than the reward will be immaterial."

R. V Clarke, (1927) 40 CLR 227

FACTS: R was an accessory to the murder of two cops. The Australian govt had announced a reward of 1000 pounds to anyone who had information that "shall lead to the arrest or conviction of persons who had committed

the murder", along w/ a free pardon for any accessories who provided such info. After this R along w/ a co-accused was arrested and during such investigation and trial provided evidence to convict the 2 killers of one of the policeman. Then he claimed the reward amount.

ISSUE: Whether he was entitled to the amount and had acted in acceptance to the offer?

- *"Instances easily suggest themselves where **precisely the same act done with reference to an offer** would be **performanc**e of the condition, but done with **reference to a totally distinct object would not be such a performanc**e."*
- Starke J. "*principle applicable to this type of case is that **unless a person performs the conditions of the offer**, acting upon its **faith or in reliance upon it**, he does **not accept the offer and the offeror is not bound to him**"*
- Here the court found that initially Clarke had only given the information to exonerate himself from the crime and recieve the pardon, forgetting about the reward till after the conviction. Also as per the terms of the offer, he should have led to the conviction of persons involved in *both* murders and therefore his performance was not absolute acceptance as such, and showed that his motive was elsewhere. Hence appeal of Crown was allowed and reward not given.
- Opined that Carwardine dealt w/ motive and not essentials of a contract in its ruling

INTENTION TO CONTRACT:

- English Law requires that to create a contract parties must have a common intention to create legal obligations
- **Doctrine of Intention to Create Legal Obligations:**
  - Enquires into the question whether the parties when entering the contract sought or intended that any breach would be resolved in court or have their rights enforced by court
    - If yes, then court will enforce agreement
    - If no, then court will not enforce the agreement
  - EX: Friends decide to go to Goa. Everything is set but one friend then backs out. Here the friends may drag that friend to court but the case will not succeed since there was no intention to create legal obligations to on vacation in this case.
  - **Balfour v. Balfour [1919] 2 KB 571**
    - FACTS: Couple from England w/ love and affection b/w them. Husband was in the government services and he was posted in Ceylon. From this love and affection he promised to send his wife, who was back in England, some money as maintenance to her for health expenses mainly which had prevented her travel. But differences arose between them and he stopped paying her the maintenance. Wife took him to court asking for enforcement of the contract.
    - ISSUE: Was an intention to create legal obligations?
    - RULE: Using the doctrine said that it was because of love and affection. So no intention to create legal consequences in case of breach of such an arrangement.
      - Lord Atkin: "one of the most usual forms of agreement which does not constitute a contract appears to be the arrangements which are made between husband and wife."
      - Therefore generally, agreements between family members are assumed to not have intention to create legal obligations- one of the ideas is that too many litigations in enforcing such contracts may come to the court, where the root is really natural love and affection and there is no real intention to sue to other if the agreement is breached.
    - Therefore we consider agreement and contents itself as well as circumstance to see if intention was there.
      - Generally, as a rough rule for social agreements it is assumed that there was no such intention while for business agreements intention is said to exist.
  - **McGregor v. McGregor (1888) LR 21 QBD 424 (CA**
    - FACTS: A couple was on extremely strained terms. The husband and wife agreed to settle the dispute between them amongst themselves through an arrangement. The arrangement was that both parties would withdraw their complaints in exchange for the husband paying her certain amt. of allowance and the wife would refrain from pledging his credit (falsely saying one is doing something on another's behalf). The husband initially paid some amount but then stopped. The wife filed a case for breach of contract.
    - ISSUE: Was there an intention to create legal consequences and was the arrangement a binding contract?
    - RULE: The couple was on strained terms- so arrangement out of necessity not love and affection.
      - There was no other reason to enter into such an arrangement except securing a legally enforceable right of the wife to maintenance.
      - Also the parties withdrew their initial complaints only b/c the wife felt the arrangement would secure her the allowance she would have gotten from the initial complaint anyway.

- **TEST OF REASONABLE MAN/OBJECTIVITY**: Court will see if reasonable man in that situation or circumstances would have intended to create legal obligations on arrangement in which they have entered into and which is now in question.
  - Test to ascertain if there was an intention to create legal obligations
  - Objective test- not subjective from the pov of either party.
  - **Simpkins v. Pays**
    - FACTS: A lady, her daughter and her paying guest collectively signed up for a crossword contest. They won the contest and prize money was given to them. The lady kept the full winnings to herself and didn't distribute it, 1/3 each.
    - ISSUE: Whether the daughter and the aunt are entitled to 1/3 share. The lady asserted that they were on good terms and there was no such intention to create legal obligations.
    - RULE: Court said there was intention to create obligations. They had worked together to win the prize so each had an intention to get rewarded for the effort they put in. The fact that there was a family like arrangement would be immaterial b/c of this expectation to get 1/3 of the prize that each party had.
    - **Equality is equity doctrine**: Where court in absence of any other proportion/formula of division, they will divide the amount in question equally.
      - On this basis, the court divided in into 1/3 since there was no other proportion mentioned or argued for.
  - **Indian law doesn't recognise this doctrine.**
  - **Commission of Wealth Tax v. Abdul Hussain Mulla Mohammed. Ali [1988]**
    - FACTS: A particular person was in a partnership with another, both being Mohemmedan by faith. One partner (creditor) transferred 4L to the other (debtor) w/o intention of return or interest- as Quaraza-e-hasan under Islamic law, for it to be invested into the firm. The CWT was assessing the wealth of the creditor partner and asserted that being a loan the amount should be included in the assessment. The assessee partner disagreed stating that there was no intention to collect the money for it to constitute a legally binding loan contract.
    - ISSUE: Whether the loan amount would be considered wealth for wealth tax considerations?
    - RULE: The Court ruled in favour of the CWT, mainly by not recognising Quaraza -e-Hasan as interpreted by the assessee- Qard-e-Hasan generally only interest free not one free for obligation to repay.
      - Stated that in countries like India and even England where consideration is required by law to be necessary to form a contract or is a sine qua non, giving of such consideration in itself implied an intention to create legal obligations.
      - The practice of a separate doctrine to determine this was only appropriate in those jurisdictions where considerations are not necessary to form contracts- like under civil law jurisdictions where exchange of promises suffice.
      - Thus finds doctrine unsuitable for India.
      - Hence even if the parties themselves didn't intend to create a contract, the giving of 4 L was consideration enough to form a contract in the ordinary sense of a passive debt (which creditor had not actively sought collection for). The consideration alone would make the agreement enforceable, irrespective of whether the creditor chooses to enforce it based on intention or not.
      - Here the consideration from the debtor's side would be the fact that he was expected to invest it into the firm. Hence this fulfilled the criteria to make it a loan.
- The assumption of contracts arising in business relations can also be negatived expressly or impliedly
  - **Rose & Frank Co VJ.R. Crompton & Bros Ltd (1923) 2 KB 261 (CA)**
  - FACTS: The two companies had entered into a contract wherein it was expressly stated that neither party could sue in the courts of the US or England and that there was no intention to create a "formal legal agreement". Thereafter, one party terminated the contract through some contray term. The American company brought a suit for breach
  - RULE: Held that this peculiar clause expressly negatived intention to form legal obligations and hence this suit could not be maintained and the contract was not enforceable.

GENERAL OFFERS:

- Initially general offers was not very acceptable to the courts
  - **Weeks v. Tybald 1605 Noy 11; 74 ER 98**
    - FACTS: D put up an advert that promised a reward of 100 pounds to whomsoever married his daughter. P agreed to marry his daughter but the D then denied the reward.

        - RULE: Said offer by nature is made from one party to another- it cannot be thrown out to the world at large for anyone to accept it.
            - Offer must be made to a definite person to prevent offeror from being bound by numerous contracts by numerous offerees.
            - Hence held the offer was invalid and rejected plea to have the reward
- Overturned: today, general offers can be made and considered accepted if offeree fulfils conditions in proposal.
    - Offer can be made to public at large but needs to be accepted by a definite person.
    - Patna HC and the ICA say state that where acceptance is to consist if an act, performing such an act would constitute sufficient acceptance w/o need if communicating such acceptance to the offeror.
- Can be continuous/ unlimited
- Or discontinuous, limited
    - **Carlisle v. Carbolic Smokeball Co. (1893) 1 QB 256 (CA) continuing offer to world at large- unlimited**
        - **Offer will only lapse after co takes back the offer publicly.**
        - FACTS: D brought to market a product called Carbolic Smokeball to prevent influenza which was a grave disease at that time. They put up a claim in an advert that if a consumer caught influenza even after the product was administered correctly, they would pay the consumer 100 pounds as a guarantee of its effectiveness. One Mrs. Carlisle consumed the product but still caught the flu and hence claimed the reward, which D denied to her. The D made two arguments:
            1) That the claim was just a puff piece for publicity and not an actual claim or genuine offer. Therefore no intention to contract.
            2) That since Mrs. Carlisle had not conveyed her acceptance of the offer in writing there was no valid contract.
        - RULE: The court said in relation to the arguments:
            1) The D had already set aside 1000 pounds for this amount in a bank meaning that it wasn't just a puff but a serious offer
            2) Offers can be given to the world at large. And since a consumer product is available to consumers at large, it was impossible to think that each and every consumer taking up the offer was expected to write in acceptance to the co. Therefore they said in such cases anyone performing the conditions stipulated in the offer would be considered to have accepted it, unless otherwise stated in the offer itself.
                - Acceptance by performance of conditions is in Sec 8 of ICA
    - **Harbhajanlal v. Harcharanlal AIR 1925 All 539- limited offer to person at large.**
    - **Offer would lapse as soon as the first person fulfils it**
        - FACTS: A boy was lost and his father put up a pamphlet with an offer of Rs.500 to anybody who found the boy and 'brings him home'. P was in a railway station. He saw the boy and upon hearing part of a conversation realised he was missing and took him to the railway police station to telegram his father the news.
        - ISSUE: Would substantial performance of conditions be sufficient to form acceptance if offer?
        - RULE: Whoever performs the acts in the offer first would be considered to have accepted the offer, even if not literally. Held father had to pay the reward.
    - **Also Lalman Shukla case.**

INVITATION TO OFFER/TREAT

- Offer ≠ invitation to offer/ to negotiate on offer
- Invitation is uncertain and gives scope for negotiation (price, time, willingness) from the other party.
    - A party simply throws out terms on which they are willing to negotiate and don't actually make an offer.
- An offer needs to have firm/certain terms and the other party can only give assent to it- cannot change it
    - Comes to 'willingness to offer' aspect in definition of proposal- therefore the offer can only be **final expression of willingness to offer** on terms the offeror agrees to be bound by- there is no scope of negotiation.
    - Thereofre depends on intention of the offeror to be bound by his statement.
- EX: I want to buy land for 1cr.- offer (certain terms)
    - I want to buy land at min price of 1 cr.- invitation to offer ("min" here implies offeror is negotiable)
- **Harvey v. Facey 1893 AC 552**
    - FACT: There was a farm land called Bumper Hall Pen. One party sent the owner a telegram asking "Will you sell us

Bumper Hall Pen. Quote the minimum price". The owner replied saying that the "Minimum price for Bumper Hall Pen is 900 pounds." The party then responded saying that the "We are ready to purchase Bumper Hall Pen for 900 pounds", but no subsequent reply was received. The party sued the other for breach of contract.

- ISSUE: P considered the first telegram an inquiry, the second an offer and the third acceptance w/ consideration making it an enforceable agreement or contract yet D did not think the same and refused to sell.
- RULE: The court interpreted the first telegram as an inquiry and the second as mere reply to the inquiry-900 pounds being simply the quote for negotiation and not offer to sell at that price.
  - P's first telegram had 2 parts- one of willingness to buy and second of price and the second telegram only answered 2nd question.
  - Hence the third telegram would be an offer to buy rather than acceptance and lack of acceptance implied no contract.
- **Adikanda Biswal v Bhubaneshwar Development Authority AIR 2006 Ori 36**- Dev authority had announced allotment of land on first come first serve basis on payment of full amount. Here payment was an offer not acceptance and the announcement only invitation.

- Need not be words alone- can also be conduct
  - EX: Display of goods in a shop- offer or negotiation?
- A shopkeeper's catalogue of prices is not an offer; it is only an invitation to the intending customers to offer to buy at the indicated prices.
  - It is a negotiation- seller/ buyers may still have right to deny the sale even if price is fixed
  - **Pharmaceutical Society of Great Britain v. Boots Cash Chemists (1952) 2 QB 795**
    - FACTS: A person had a chemist shop called Boots Cash Chemist. Drugs and Poisons Act of Britain said pharmacist would directly supervise sale of certain category of drugs, esp. quantity sold. D had a display system of sale with consumers bringing the quantity needed to the pharmacist counter to buy it. P filed case against them since they felt that display would be an offer of the drug at that fixed quantity, leading to omission of duty of the pharmacist to monitor the sale.
    - RULE: The court asked whether buyers could change or refuse to buy a good at the counter to which D said yes. Hence court concluded that the pharmacist can also change the terms or refuse sale. This meant taht bringing the drugs to the counter is an offer to buy by the consumer. Therefore the display can only be invitation to offer.
  - EX: Restaurant:
    - The menu is an invitation to offer, even if dishes, prices are fixed. Consumer placing an order would be offer to buy. The servants of the restaurant saying the dish is available or providing the dish is an acceptance. And this creates a contract where the consumer must pay for the dish.
  - Classified ads are also invitations: **Partridge v Crittenden** (sale of chickens)

<u>AUCTION/TENDER- DOCUMENTS OF INVITATION:</u>

- Auction is a statement to the world at large to sell a thing where bidders come and the highest bid wins.
  - Here it is an invitation since the seller has final say (reserves right to sale) on whether he chooses to sell to even the highest bidder- of doesn't satisfy him we can even refuse therefore he has final acceptance.
  - The fact that the seller can 'strike the hammer' means he retains control over accepatnce making the bid an offer and the initial auction an invitation.
    - **Payne v. Cave (1789) 3 TR 148**
    - FACTS: Mr. Cave was the highest bidder but revoked his bid before the hammer fell. The auctioneer sued for breach.
    - RULE: The fact that the auctioneer's hammer signifies acceptance means that auction itself is invitation to treat. Therefore, the bids are offers which can be revoked before acceptance that is the strike of the hammer.
  - Here it is generally for sale of goods/ immoveable property
    - So can be type of tender.
- Tenders are opposite generally where the minimum bid wins- here purchaser puts out the invitation to offer.
  - Can be purchasing of goods or taking services
  - Can also be for seeking highest rent.

- Govt bound to take tenders with lowest cost price which fulfil all other criteria.
- When a tender is approved, it is converted into a standing offer. A contract arises only when an order is placed on the basis of the tender
- The order converts the tender into a contract
- The acceptor of the tender has a right to refuse to place any orders whatsoever. This appears from Secy of State v Madho Ram

Acceptance

Thursday, 28 January 2021 11:01 am

ACCEPTANCE: A particular party signifies their assent to a particular act

Sec 2(b) ICA: **When the person to whom the proposal is made signifies his assent thereto, the proposal is said to be accepted**

- Accepatnce makes proposal/offer a promise.

HOW DO YOU SIGNIFY THIS?

- Should be made through external and overt manifestation- cannot just be a will or wish- this needs to be conveyed expressly or impliedly- from offeree to the offeror.
- Willingness must become an overt through some implied or express act.
  - Can be performance of an omission as well "like should you choose to accept, don't sell this horse to anybody else"
- "An agreement does not result from a mere state of mind: intent to accept an offer or even a mental resolve to accept an offer does not give rise to a contract. There must be... some external manifestation of that intent by speech, writing or other act" (J Shah in **Bhagwandas Goverdhandas Kedia v Girdharilal Parshottamdas & Co**)
- Express is through words or gestures.
  - Ex: striking of hammer at an auction indicates acceptance of the seller.
- Implied Acceptance:
- **Brodgen v. Metropolitan Railway Co. . (1877) LR 2 AC 666 (HL)**
- FACTS: Mr. Brodgen was selling coal to the Rail Co. No offical agreement was drawn between them for this purpose as a result of which the business was completly ad hoc. Brodgen wanted a formal agreement- Railway co drew up the new terms with blanks which Brodgen filled with appropriate figures and returned to the Railway agent, who kept it away and didn't sign it. Following this the two started trading on the new terms. A dispute arose. Brodgen claimed that he was not bound by the new agreement since the railway co never signed the agreement so no signification of assent and no contract.
- RULE: The court agreed that signing would have been an overt and express manner of giving assent but the fact that both parties later started to trade along these new terms meant that the Railway co has impliedly agreed to the offer making it a binding contract. Mr. Brodgen's plea was therefore not accepted.
- ACCEPTANCE BY CONDUCT:
  - Like in Carbolic Smoke Ball case
  - Same stands in India as well:
  - **Hindustan Coop Insurance Society v Shyam Sunder AIR 1952 Cal 691**
  - FACTS: The P was entering to a contract for insurance for which purpose he had undergone the requisite medical exam and then instructed to submit a proposal form and half-yearly payment for the life insurance cover. He then payed in the form and the amount. The insurance company cashed the money but before an acceptance form as such could be sent P died. P's reps claimed the sum assured which the insurance co denied and said no acceptance had taken place resulting in a suit.
  - RULE: the judges argued that had the company not want to accept the proposal, why was it that they cashed the money? Here as the deceased proposer had clearly specified the mode of acceptance which was performed by action, the acceptance has been furnished a contract stands created, even though there was no notification of acceptance made to him. Hence the co was liable to pay the amount.
    - Following Carbolic, here it appears that the P had dispensed of the need to notify him of the acceptance.
    - But this dispension SHOULD ONLY BE ALLOWED IN CASE OF UNILATERAL CONTRACTS.

COMMUNICATION OF OFFER:

- How the communication of acceptance is made between the offeree and the offeror.
- Sec 4of ICA: —**The communication of a proposal is complete when it comes to the knowledge of the person to**

whom it is made.

- **Felthouse v. Bindley 7 (1863) 7 LT 835**
  - FACTS: A person wrote a letter to his nephew who wrote that I intend to purchase your house for 33 pounds and if you do not say no to this offer, I will assume that it is a yes and that the horse is sold to me. The nephew never replied but told his auctioneer to not sell the horse since it was sold to his uncle. The auctioneer however went ahead and sold the horse by mistake. Uncle sued the auctioneer for the sale which he contended amounted to conversion. The auctioneer pleaded that since the nephew communicated his acceptance to him, a third party, and not his uncle, it was not a valid contract
  - RULE: The court said that there is **no acceptance since the nephew's willingness was communicated to a third party**, the auctioneer, rather than his uncle.
    - It further said that the offeror cannot put a burden of refusal on the offeree in the offer. An absence of no cannot be construed to be a 'yes' or acceptance.
      - Therefore silence is not an overt manifestation of acceptance since it usually aligns towards a rejection in normal, reasonable practice.
      - Silence can be a refusal or signification of unwillingness however.
    - Hence no binding contract and the auctioneer was not liable for breach.
    - Here it would have been a valid acceptance had the nephew for example delivered the horse to the uncle.
- **Powell v. Lee (1908) 24 TLR 606**
  - FACTS: A person applied for the post of headmaster of a part school. He went for an interview. Before the selection panel communicated to him their official acceptance, a member of the panel who was in close contact with him confirmed his candidature. But later the panel changed their decision. The person sued the panel for breach of contract.
  - RULE: The court considered that the member who communicated on the behalf of the panel did so in a personal capacity and not officially and since no offical acceptance was received by the applicant, there was no contract and no breach.
    - **Acceptance must be made by the offeree himself and not by someone on his behalf. "*Information by an unauthorised person is as insufficient as overhearing from behind the door*"**
      - Does not bar agents- since acts of agents are considered acts of principal in the eyes of law.

- GENERAL OFFER- no communication of acceptance is required.
  - Sec 8 ICA: **Performance of the conditions of a proposal, or the acceptance of any consideration for a reciprocal promise which may be offered with a proposal, is an acceptance of the proposal.**
    - Only applies to unilateral contracts like general offers
    - Not in Bilateral contracts b/c one has to show when they have made this promise to do soemthing in the future and cannot play fast and loose with it- so essentially some form of overt act is needed in accpetance either as notification of accpetance to the promisor or by performing the conditions of a unilateral contract.

MODE OF ACCEPTANCE:

- English Law:
- **Eliason v. Henshaw , (1819) 4 Wheaton 225**
  - FACTS: Offeror wanted to purchase wheat from the offeree and he sent a driver with a wagon. The driver had the offer with the details and a clause that said that if you accept, the offeree should load the quantity into the wagon. The offeree said that he will send the wheat through post since he thought it more speedy. The wagon reached the buyer before the post reached and caused an undue delay. Once the wheat arrived, the offeror rejected it and the offeree sued for breach.
  - RULE: The court ruled that here since the offeree didn't agree to the mode of acceptance in the way mentioned by the offeror and this caused an undue delay and hinderance, this was no acceptance at all and hence the offeror had all rights to rescind the offer and not bound by the acceptance. There is no breach of contract.

        - Winfield has argued that in this case had the post reached on time, the contract would be valid unless there was come other significant reason why sending it by wagon was insisted upon.

- **Yates Building Co. v. R.J. Pedellyn & Sons (1975) 237 EG 183.**
    - FACTS: An offer was put out for the purchase of building land, with a clause that acceptance should be sent through registered post. A person made the acceptance through regular post and not registered post. The offeror said that this wasn't acceptance and refused to sell the building.
    - RULE: The court found out that the acceptance through normal post did not lead to any loss or discomfort to the offeror and hence the **mode itself is only an ancillary formality** and the acceptance is valid and contract is binding.

Indian Law:

- Sec 7(2) makes it clear that the mode is ancillary but the offeror can insist on it if they consider it imp.
- **"be expressed in some usual and reasonable manner, unless the proposal prescribes the manner in which it is to be accepted. If the proposal prescribes a manner in which it is to be accepted, and the acceptance is not made in such manner, the proposer may, within a reasonable time after the acceptance is communicated to him, insist that his proposal shall be accepted in the prescribed manner, and not otherwise; but if he fails to do so, he accepts the acceptance."**

WHERE DOES A CONTRACT GET CONCLUDED?

- Place where the contract gets created is imp to decide jurisdiction of court in case there is any dispute or breach etc.
- Imp when the offeror and offeree reside in different places.

1. Postal:
    - ENGLISH LAW:
    - **Adam v. Linsell (1818) 1 B&A 681**
    - FACTS: There was an offer to sell a particular quantity of wool made Sep 2, 1817. the offer reached the offeree on Sep 5. The offeree accepted the offer and dispatched it on Sep 5 itself in the evening. The offeror sells the wool off on Sep 8 and the acceptance reaches the offeror on Sep 9. Offeree wants performance. Offeror claims that he wasn't aware of the acceptance so he sold the wool. Offeree sues for breach.
    - RULE: **Court held that contract is concluded at the time, place and day on which the offeree puts the letter of acceptance in the course of transmission.**
        - The day when it reaches the offeror is irrelevant.
        - Court reasoned that if it was concluded when it reaches the offeror, then the court would also have to give the offeree the privilege of knowing that the offeror has acknowledged the acceptance and this would continue ad infinitum.
    - Affirmed in:
    - **Household Fire and Accident Insurance Co v. Grant (1879) LR 4 Ex D 216 (CA**
    - FACTS: Mr. Grant made an offer to purchase 100 shares of the co and the offer was accepted by sending him a letter of allotment. But this letter was lost by the post office.
    - ISSUE: Was there a contract? Was it concluded and where?
    - RULE: Court said yes. Court **compared the postal office to the agent of the offerors and the offerees** since both parties have chosen this mode to communicate. So as soon as the letter is put into transmission by dispatching it to the post, it is construed as in the hands of the agent of the offeror and hence in the hands of the offeror himself. Hence, there is no need for the offeror to acknowledge the acceptance.
        - In this particular case since the post acts as an agent, the offeror can at least sue the post office in negligence under torts to get some sort of relief even though he can't sue the offeree.

- INDIAN LAW:
    - **Sec 4**
    - The communication of an acceptance is complete,—
        - **as against the proposer (offeror), when it is put in a course of transmission to him, so as to be out of the power of the acceptor;**
        - **as against the acceptor (offeree), when it comes to the knowledge of the proposer.**

- This distinction has been made to allow the offeree a chance to revoke his acceptance. But the revocation needs to reach the offeror before the acceptance to prevent binding the offeree and making the revocation a breach.
- However in Indian law as well, if there is no revocation, the contract is assumed to have been concluded at the place where the letter of acceptance was put into a course of transmission by the offeree.
- Must be properly addressed and adequately stamped letter of acceptance posted
- Sec 20 code of civil procedure- jurisdiction of court in case Ds reside in more than one place- either where cause of action arose or where D resides ordinarily, gains personally, conducts business.
  - Cause of action: act or omission by a party which leads to a civil wrong- the reason you are filing this civil suit.
  - In case of contract cause of cation can be construed at the place where the contract has arisen, was breached or where performance was required.
  - This is why it is imp to know where the contract has arisen to determine jurisdiction of courts over the dispute.

2. Instantaneous modes of communication (phone, fax, etc): does not include emails
   - **Entores v. Miles Far East Corporation. (1955) 2 QB 327**
     - FACTS: One party resided in England and they sent an offer letter to another party in Amsterdam, Netherlands by way of telex and replied using the same mode.
     - ISSUE: When was the contract made- when the acceptance was put into transmission or when it was received?
     - RULE: Court questioned whether same rule of postal communication should be applied to instant modes like calls, telex as well.
       - **"The contract is only complete when the acceptance is received by the offerer; and the contract is made at the place where the acceptance is received."**
       - Explored 3 examples
       1) 2 parties are sitting on opposite banks of a river. One party shouts out the offer and as the other is accepting, a plane overhead drowns out the acceptance, here the acceptance needs to be shouted again and bring it to the notice of the offeror since instant modes allow immediate verification of acknowledgement and there is no ad infinitum issue like in Adams.
       2) Similarly if while accepting an offer on a call if the line dies immediately after, this was not a contract since the offeror would not know of it.
       - Court also acknowledged that rules for instant modes should meet intl standards since they are often used for transactions across countries- in civil law countries they had always held that contracts would conclude at place and time when the acceptance reaches the offeror.
       - **So for instant modes, the acceptance must come to the knowledge of the offeror for it be binding. Therefore the jurisidiction would be in the place of the offeror in this case, England.**
   - **INDIA:**
   - **Bhagwandas Goverdhandas Kedia v Girdharilal Parshottamdas & Co . AIR 1966 SC543**
     - FACTS: offer was made by one party in Ahmedabad and another living in Khamgaon with offer and acceptance being sent by telex
     - ISSUE: Where was the contract concluded? Ahmedabad where letter of acceptance put into course of transmission or Khamgaon where it reached the offeror
     - RULE: Court applied and upheld Entores. Recognised sec 4 but argued that this act was formed in 1872 and therefore the drafters could not have foreseen such instant modes of communication, therefore sec 4 could no way have anticipated for it to be used in such cases.
       - Therefore, this sec should be restricted to postal communication not be applied to instant modes and Entores should be followed for instant modes instaed.
       - Dissent: J. Hidyatullah: Says English when they had resorted to this new rule in Entores just had cases-

precedents and could distinguish Entores from Adams on the basis of mode of communication.

- In India, however we have a statute- ICA where sec 4 says specifically that contract becomes binding against the offeror once the acceptance is put into transmission.
- Says we can just replace 'letter' in the section w/ the new mode being used since the section is liberally drafted.

- Also good case for interpretation

HOW SHOULD ACCEPTANCE BE MADE:

- Sec 7(1): Acceptance must be **ABSOLUTE AND UNQUALIFIED**
  - **Means that once an offer has been received it must be accepted in its totality and cannot be accepted on some other terms- like changing price, mode, quantity etc.**
  - When the acceptance is qualified it is not an acceptance but a **counter-offer**. **It is essentially an offer in response to an offer made to the offeror himself.**
  - Once counter offer is made, the old offer cannot be accepted.
  - **Hyde v. Wrench (1840) 3 Beav 334- qualified acceptance**
  - FACTS: A person offered to sell his land to another for 1000 pounds. The other party agreed to purchase the land but at 950 pounds. The offeror doesn't agree to this. The offeree then agrees to the initial offer but the offeror refuses to sell. Offeree sues for breach of contract since in his view the first offer was accepted by him and bound both of them.
  - RULE: Making of a counter-offer makes the initial offer lapse. So there can be no acceptance of the initial offer since it has already lapsed.
    - If the seller had in this case accepted the counter-offer of the offeree to buy it for 1000 pounds, the offeree becomes the offeror and vice versa.
    - Revising clauses of a contract is also considered counter-offers
  - **Partial acceptance is also a counter offer**
    - EX: A agrees to sell potatoes at 20/kg and tomatoes at 30 / kg and the acceptance only agrees to the terms of the potatoes, then this is partial accepatnce and a counter offer which the seller can then choose to accept.
  - **But enquiry into terms of offer is not a counter-offer**
  - **Stevenson, Jacques & Co. v. Mc Lean (1880) 5 QBD 346**
  - FACTS: A person sent a letter to sell a ton of a commodity at 40 cents/tonne and that the offer would be open until Monday. The offeree sent a letter asking whether the offeror would accept the money over a period of 2 months and what the longest time could be. The person however considered this a rejection and sold the commodity to someone else, w/o informing the offeree. The offeree not knowing this sent a letter of acceptance on Monday but on non-performance sued for breach of contract. Offeror contended that the letter from the offeree was a counter-offer which he hadn't accepted so no contract.
  - RULE: Court said that the offeree had made only an enquiry and had not denied the price or expressed his unwillingness to pay. **So enquiry into terms of offer or its performance needs to differentiated from a counter-offer.**
    - **Here enquiry is only into terms other than those mentioned in the offer. And this therefore implies that there is acceptance of the initial terms.** So here the initial offer still stood when the offeree accepted it on Monday since no revocation was conveyed to the offeree.
    - **If the question is in to the terms itself- it is no enquiry but a counter-offer**
    - In this case, if the offeror had replied by saying no he could not accept it in 2 months, but within a week at max, this would add a new term to the whole offer
      - If the offeree then responded by saying he could only pay in 2 months, by rejecting this term, he only partially accepts the whole offer and makes the whole thing a counter offer.
      - Then the offeror has all the rights to refuse this and no one is bound.

- **CONDITION SUBSEQUENT: A condition subsequent is an event or state of affairs that, if it occurs, will terminate one party's obligation to the other.**
    - Condition which does not qualify the terms of the offer but is in addition to the terms.
    - Ex: If A offers to buy 25K worth goods from B and B accepts saying that condition to the payment reaching him in a week. The condition on time here is a condition subsequent.
    - The acceptance here is valid unlike partial or counter-offer.
    - Addition of a term can be **considered an offer of its own**
        - This offer can be countered or accepted
        - If it is completely rejected then the whole offer is no longer a contract.
        - Each and every term adds to the contract document and if any material term is rejected w/o consensus then the contract no longer stands and is not binding since no consensus ad idem.
            - Material meaning- what is to be done (transaction), how it is to be done (performance), etc
        - This is different from conditional precedent or conditional offer and this if in a acceptacne constitutes a counter-offer.

- **ACCEPTANCE OF COUNTER-PROPOSAL**
    - **Hargopal v. People's Bank of Northern India AIR 1935 Lah 691**
    - FACTS: Mr. Hargopal offered to buy 100 shares of the bank, and also wanted that he is given a chair on the board. The Bank accepted to give him only 100 shares. He then accepted the shares and the dividend. When a dispute arose, Mr. Hargopal claimed there was no contract since it wasn't as per his offer.
    - RULE: the court said by accepting the shares and dividends, Mr. Hargopal accepted the counter-offer of the bank and thereofre there was a binding contract on the new terms
        - But here had Mr. Hargopal not accepted the divided and refuted the acceptance then and there, there would be no contract as partial acceptance is no acceptance

PROVISIONAL ACCEPTANCE: Acceptance subjected to authorisation by a superior authority by a final acceptance.

EX: Where in an auction, the hammer is considered a provisional acceptance to the final accpetance by the owner of the actual object.

- The terms must mention this.
- Offer can therefore be revoked between the provisional and the final offer by the offeror, that is before the final acceptance is communicated to him.
- Here, however, the final acceptance must come into the knowledge of the offeror for it be binding and in the case of post, the final acceptance must be put into course of transmission.
- 4 stages:
    a. Provisional accpetance being given
    b. Provisional accepted being considered
    c. Provisional acceptance turning into final accpetance
    d. Final acceptance being communicated to the offeror.
    - Must communicate revocation of offer before 4th step.
- **Union of India v. S Narain Singh AIR 1953 Punj 27**
- FACTS: There was a tender with a condition that the acceptance of the bid shall be subject to the confirmation of the Chief Commissioner, there will be no complete contract till the acceptance of the highest bid is confirmed by the Chief Commissioner.
- RULE: **The person whose bid has been provisionally accepted is entitled to withdraw his bid.**

II.REVOCATION OF OFFER/PROPOSAL AND ACCEPTANCE:

- Sec 5: **A proposal may be revoked at any time before the communication of its acceptance is complete as against the proposer, but not afterwards.**

- Reading w/ sec 4, this means as agianst the offeror before letter of acceptance is put into course of transmission by the acceptor- for postal and in case of instant/normal communication it is before the acceptance comes to the knowledge of the offeror.
    - The difference b/w postal and other modes is not explicit in the act but the illustrations and Bhagwandas Kedia case make this distinction clear.
- The revocation is effectual when it reaches the party to whom it is addressed
- Under sec 4, revocation is complete **against the revoking party when it is put into course of transmission** and against the **party receiving revocation when it comes to his knowledge.**

- An acceptance may be revoked at any time before the communication of the acceptance is complete as against the acceptor, but not afterwards.
    - Reading w/ sec 4 this means before the accpetance comes to the knowledge of the offeror.
        - Knowledge here meaning reaching his address- not actually reading it.
- **Henthron v. Fraser (1892) 2 Ch 27**
- FACTS: A person was offered to sell off a particular building at 750 pounds, the offeree took that offer and took it along with him to his hometown. As soon as he reached home he posted a letter of acceptance at 3:50 pm and it reached at 8:30 pm. The building society revoked the offer at 1pm by posting the letter of revocation and it reached the offeree at 5:30 pm.
- ISSUE: Is the acceptance binding?
- RULE: Here the revocation is complete only when the letter of revocation comes to the knowledge of the offeree in this case. But here the offeree had already put the letter of acceptance into the course of transmission at 3:50 pm which concluded the contract before he came to know of the revocation at 5:30 pm. The contract is concluded agianst the offeree at 8:30 pm when the letter of accpetance reached the offeror. **Letter of revocation of offer must reach the offeree before the later puts the acceptance in the course of transmission.**
    - Here the fact that the letter of revocation was put into the course of transmission only withdraws the proposal from one side of the revoking party himself which really has no impact and is equivalent to the offeror retracting the offer in his mind. It only comes into the question when the revoking party itself.
    - So here the offeree still has time till 8:30 pm to either revoke his accpetance or acknowledge the revocation of the other party which he received at 5:30 pm.
    - However, if after telling the offeror that he accepted his revocation, the offeror now refuses to acknowledge the revocation, this cannot occur since the revocation was complete against him at 1 pm itself.
    - The rationale here is that the revocation is something which isn't expected and revocation should not be detrimental to the other party.
- **K. Appa Rao v. Tungabhadra Steel Products Ltd (2006) 5 AIR Kant R 29- VRS is invitation to offer**
    - FACTS: A person applied for a Voluntary Retirement Scheme (VRS - almost every terms of service mentions an age of superannuation where one has to compulsorily retire. VRS allows employees to retire prior to this age and allowing the person to get all the retirement benefits)
        - Application of VRS needs to be accepted by the employer for the retirement to be valid.
        - While the VRS was being processed, the employee wanted to revoke the VRS application.
        - The employee went to court stating that the VRS scheme was just invitation to offer and the actual accpetance still remained w/ the employer. So therefore his application was an offer and not an accpetance and this offer could be revoked before it was accepted
    - RULE: court said VRS is invitation since every scheme retains right to accept the application. Therefore, application to VRS is an offer and can be revoked before accpetance from the employer is conveyed.
        - First held in **Bank of India v O.P. Swarnakar, (2003) 2SCC 721**
            - Held that the offer of the bank showed no willingness to do anything as defined in 2(a) Further the bank held the right to amend the notice and complete discretion in accepting the application menaing application would not lead to contract. Were it an offer, the assent of the employee wold immediately

allow him to enforce and claim the VRS benefits but this was not the case. Furthermore, there was no consideration in the assent of the employee which makes the contract so formed void unless we consider the assent to be an offer and the notice to be invite to treat. Here it was found that the notice was not statutory but contractual and hence the bar of withdrawal of application would not hold.

- Sec 6: A proposal is revoked—
  - (1) by the communication of notice of revocation by the proposer to the other party;
    - **Consideration for keeping offer alive- such offers are called 'firm offers'**
    - Alfred Scholank v. Muthunya Chetti (1892) 2 MLJ 57
    - FACTS: A person offered to sale a quantity of indigo to another and send that it should be accepted within 8 days. But he revoked the offer on the 6 the day.
    - ISSUE: Can the offeror revoke the offer within the window he has offered to keep the offer open
    - RULE: The offer to keep the window of accpetance open for 8 days is only a term and not binding on the offeror so he could revoke whenever he wanted since there was no consideration exchanged for the keeping of the window open.
      - Based on **nudum pactum, ex quo non oritur actio**- a bare promise w/o consideration has no action.
      - Also this agreement to keep the window open does not bind either party to accept the actual offer so it is separate for the actual offer
      - Consideration can also if the offeror offers to keep the offer open to one person who can offer the highest price for it- doesn't have to be money.
    - Mountford v. Scott 1975 Ch 258
    - FACTS: Here a person wanted to sell his house for 1000 pounds but to keep the offer exclusively open to the offeree, the offeror had asked the offeree to pay him 1 pound for this. He took the pound but then revoked the offer before the expiration of the period of time.
    - RULE: Here the exchange of 1 pound to keep the offer open was an exchange of consideration and hence the offeror could not revoke his proposal within the period for which the offer had been kept open. This is offer to keep the offer open is a **parallel promise** which must be backed by some consideration for it to be binding.
      - **Where the agreement to keep the offer open for a certain period of time is for some consideration, the offeror cannot cancel it before the expiry of that period**
      - **Called 'purchase of**
    - Tenax Steamship Co Ltd v Brimnes, 1975 QB 929 (CA
    - **FACTS: There was reovocation of an offer to provide a ship to charterer's by telex during normal business hours. P failed to hear the message and read it only the next day.**
    - **ISSUE: Whether the revocation was made on the day of the telex being sent or being read?**
    - **RULE: "If a notice arrives at the address of a person to be notified, at such a time and by such a means of communication that it would in the natural course of business come to the attention of that person on its arrival, that person cannot rely on some failure of himself or his servants to act in a normal business like manner in respect of taking cognizance of the communication, so as to postpone the effective time of the notice until some later time when it in fact came to his attention."**
      - However, had the notice arrived during non-business hours, like over a weekend, the time when the telex is actually read would be considered being brought to notice of the other party- **Schelde Delta Shipping B.V. v Astarte Shipping Ltd, {The Panela) (1995) 2 Lloyd's Rep 249**
  - **Whether offeror himself had to revoke**
  - Dickinson v. Dodds (1876) LR 2 Ch D 463 a
  - FACTS: D made offer was to sell land to claimant at a certain price and had time till 9am till 12th June to accept. On 9th of June, a particular Berry tells the offeree(C) that the offeror was considering to sell to someone else, which he chose to ignore. The C then sent his acceptance through Berry on 7am by which time the D had already sold his land.

- ISSUE: was this a valid revocation on part of D since he himself had not revoked the offer
- RULE: D could revoke since no consideration to keep the offer open. **Court held that it is not essential for the revocation to be informed by the revoking party himself.** Also berry was held to a related party in this case since the offer was accepted through him
  - However, if Berry wasn't related, it may be difficult to establish the rule
- **INDIAN LAW: requires the revoking party himself to inform of the revocation under sec 6. says "by the proposer".**

- **Revocation of general offer:**
  - Revoked through any media through which the offer was initially made- so if a newspaper ad, revoke through newspaper ad.
  - This is to allow audience of offer to know of the revocation of the offer as well
- **Superseding an offer w/ a fresh offer w/ new terms:**
  - New offer makes the OG offer lapse and acceptance can only be given to the new offer unless acceptance was made before new offer was conveyed to the offeree.

- (2) by the **lapse of the time prescribed** in such proposal for its acceptance, or, if **no time** is so prescribed, by the **lapse of a reasonable time**, without communication of the acceptance;
  - **R. Vinoth Kumar v. Kilpauk Medical College 1995 SCC OnLine Mad 78- knowledge of acceptance**
  - FACTs: Application were invited and it could be delivered by post or in person by some final deadline. Some applicants had posted the acceptance (put into transmission) much before the deadline but the application actually reached after the deadline.
  - COURT: The court here said that the application must have reached by the deadline itself. Here the college had not made the postal agency its agent since they gave the option to deliver it in person as well. Only if one specific mode is prescribed it becomes their agent but if the acceptor can choose, then the mode chosen is only the agent of the offeree and hence delivery to him cannot be construed as delivery to the offeror.

- (3) by the failure of the acceptor to fulfil a **condition precedent** to acceptance; or
  - Condition precedent: EX: if an offeree says that a person will send his wool for processing but only after the acceptor
  - **State of W.B.v Mahendra Chandra Das, (1990) 2 Cal LJ 1**
  - FACTS: Where a salt lake was offered by way of lease on deposit of a sum of money within a specified period, the latter condition was a condition precedent. The leasee didn't fulfill it even in 3 years time.
  - RULE: Held that this entailed cancellation of the allotment due to failure to meet condition precedent.
- (4) by the death or insanity of the proposer, if the fact of his death or insanity comes to the knowledge of the acceptor before acceptance.
  - If the contract is one of skill and the after recieving accpetance one party dies, the contract although concluded beocme impossible to perform and is dealt with under frustration of contract.

REVOCATION OF ACCEPTANCE:

- Must reach before letter of acceptance reaches the offeror or at the same time- along with it- revocation supersedes acceptance.
  - From illustration: B may revoke his acceptance at any time before or **at the moment** when the letter communicating it reaches A, but not afterward

Consideration

Friday, 5 February 2021 9:01 am

- Law of obligations is a part pvt law- contracts **is voluntarily created obligations imposed by parties themselves**, in contrast to obligations imposed by the law under law of torts.
  - Courts itself are like an umpire in this law- law is laissez faire here
  - Contractual principles are only applicable when parties have freedom to choose to contract- in relation to whether they want contract, with whom to contract, or for amount of the contract
    - That's why free consent, will is so imp in contracts
    - This is what makes it binding as well since parties intended it to be binding
- All Contracts are agreements but all agreements are not contracts- sec 10
- Agreements = promise + consideration
  - For law to make it enforceable, free consent must be met
  - Why should law/state need to enforce it? **To deal with breach** and it is the primary need of the state to do justice
    - Economic justification: parties enter into a contract since they believe it will be beneficial for them and on a macro-scale society also develops economically and state must ensure taht this continues smoothly.
    - That's also why the state does not enforce non-economic transactions for social contracts or betting etc.
    - Consideration is what makes such agreement beneficial to both parties.

★ CONSIDERATION: **sec 2 (d)**: **When, at the <u>desire</u> of the promisor, the promisee or <u>any other person</u> has done or abstained from doing, or does or abstains from doing, or promises to do or to abstain from doing, something, such act or abstinence or promise is called a consideration for the promise.**

- Meaning consideration could have already been executed, in the process of execution or still executory
  - Blackstone: **Consideration is the recompense given by the party contracting to the other**
  - Pollock: **Consideration is the price for which the promise of the other is bought, and the promise thus given for value is enforceable**
  - **Consideration: Can be act or promise to act or abstinence or promise to abstain**
  - **<u>2 theories:</u>**
    a. Consideration exchanged between parties
       - This is the common law understanding
    b. Reasonable reliance: if A agrees to B's offer but A doesn't receive any consideration in exchange. If B relies on this promise to take some actions in furtherance then A will become liable to B.
       - Relying is imp here since the act itself was casued b/c of the reliance.
       - Reasonable meaning something which reasonable person would presume to be true- not a joke, or puff
       - This is the theory that underlies civil contract theory.
       - Alternative theory that sir prefers to 'at the desire' as states in ICA.

★ • **Sec 25- agreement w/o consideration is VOID**
    - **<u>Rann v Hughes House of Lords [1778]</u>**
    - "It is undoubtedly true that every man is, by the law of nature, **bound to fulfil his engagements**. It is equally true that the law of this country supplies no means nor affords any remedy, to compel the performance of an agreement made without sufficient consideration [this part has changed now], such agreement is nudum pactum, ex quo non oritur actio"
  - Consideration makes it clear that there is an intention to create legal obligations
  - Borrowed from common law principle; no consideration = no enforceable agreement
  - **Lack of consideration may only arouse suspicion of court regarding freedom of consent**
  - Using freedom of contract principle, less quantum of consideration cannot make invalid a contract.

- **Criticism of consideration**: if contract is about exchange of promises why do we need consideration? That's why civil law makes it optional. If it is required as in the case of common law or Indian law- consideration presupposes intention to create legal obligations.
- **Presumption**: intention in commercial contracts and no intention in social contracts but w/ exceptions

- **Promissory Estoppel -'At the desire"** What a party gets from a contract is determined by the parties themselves as long as it is within the boundaries of law. It signifies an act or abstinence which the party wants.
  - EX: A desires B to run for 10km and for it promises to give consideration of 10K. Here even though B running 10 km doesn't benefit A prima facie, law cannot question this desire. But it can be questioned if A wanted something against the law like contraband.
  - **LORD DENNING: "the law for centuries has been that an act done at the request of another, express or implied, is sufficient consideration to support a promise".**
  - For long English aw assumed that consideration had to be done to the detriment if the promisee and benefit of the promisor but this principle had become relaxed.
    - Gorie Mohammed also
    - **CWT V Her Highness Vijayaba, (1979) 2 SCO 213**
    - FACTS: On the death of her husband, the respondent's 2 sons got into a squabble. She wrote to her younger son undertaking to pay him any balance of 50L that the elder son did not pay to him form the family property. The respondent was to pay 19L partly in cash and ornaments. The CWT included this 19L when calculating tax payable by the D. Tax tribunal favoured D and CWT appealed
    - ISSUE: Whetehr this was an enforceable claim and legitimate debt
    - RULE: "it was a case of family settlement or family arrangement which is binding on the parties concerned. The **assessee agreed to purchase peace for the family (consideration)**, and to pay to her son the amount which fell short of Rs. 50,00,000/- if her elder son did not pay any portion thereof. It is well established that such a consideration is a **good consideration which brings, about an enforceable agreement** between the parties. Section 25 of the Contract Act does not hit this."

- **Durgaprasad v. Baldeo ILR 1881**
  - FACTS: A govt official wanted to build a shopping complex in a district. The builders did as said and it was rented out to some occupants who were happy with the construction. The builder was to be paid a 10 percentage of the earnings earned from the complex as promised by the occupants. Initially they paid but then they stopped. Builder filed for breach. The occupants claimed that although though there was a promise, there was no consideration received by them.
  - RULE: Here the promisor is the occupants and the promisee is the builder. Although the buildings were constructed by the builder, they **weren't made the desire of the occupants** but at the desire of the govt official- so this is not consideration for the occupants and therefore there is no contract that can be enforced.

- **Perumal Mudaliar v Sendanatha Mudaliar, AIR 1918 Mad 311**
  - RULE: A promise to pay a subscription becomes enforceable as soon as any definite steps have been taken in furtherance of the object and on the faith of the promised subscription
- **Doraiswami Aiyyar v. Arunachalam Aiyyar AIR 1936 Mad 135**
  - FACTS: A temple was in construction and a person agreed to contribute RS. 125. which he refused to pay.
  - RULE: Held since the work was already in progress, it was not done at the desire of the promisor so not liable. The understanding is that in a contract one party may have to undertake something detrimental in the performance of (act or abstinence) so since the person was already undertaking the detrimental act, it could not be at the desire of the promisor
    - Sir argues however, that the additional promise to pay for something already being undertaken could act as an encouragement to do that thing so how could it not be at the desire
    - Relied on **Hudson, Re (1885)54LJCh811.**
    - FACTS: A person agreed to pay the chapel debts. Having paid a large installment he died

- RULE: the promisee could not recover the rest of the promised amount since no concrete steps were taken in terms of some liability or obligation on his part to secure the agreement.

UNILATERAL AND BILATERAL CONTRACTS:

- **Bilateral executory contract**- something that parties agree to do in the future but contract occurs now.
  - Performance of execution of contract is **only in the future** but it is binding from date it comes into existence-
  - This is the uniqueness and utility of contracts since it facilitates the making and **performance of deferred exchanges** and thereby allows future planning- this is why contracts are modern
  - Essentially so what is **being exchanged is promises** and this is itself the consideration **not** what is object/ action/ amount is promised.
    - If promise met w/ reciprocal promise= bilateral
    - If promise met w/ performance = unilateral contract
    - **So breach of contract is breach of promise essentially**
  - Condition precedent can occur in this as well- that the money to be exchanged must only happen through cheque to create legal obligations.
  - EX: Bilateral= A: I will give you my car
    - B: I will pay 10 L for your car
    - Unilateral= A: If you give me 10L, I will give you my car.
- **Unilateral contract**: one party makes a promise the other party performs what is actually desired by the promisor
  - **"A unilateral contract refers to a gratuitous promise where only one party makes a promise without any return promise"**
  - EX: A offers to B "If you quit smoking for a month, I'll buy you an I phone". Here B's does not give A any promise himself and **accepts by performance itself.** If B replies by saying "he will quit smoking" this is a promise from B to A and makes it bilateral contract again.
    - Here acceptance needs to be the unqualified and absolute performance of the thing desired by
    - **Abdul Aziz v. Masum Ali [1919, All HC]**
      - FACTS: There was a plan to construct a mosque for which subscription was to be raised. One person agreed to pay 500 rupees. Nothing was done to actually construct the mosque. The person who agreed to pay 500 rupees was made the chair of the board but he died before the construction occured. The heirs of the man were requested for the promised money (the D) but the son refused and suit was filed against them.
      - ISSUE: What was the consideration that bound them?
      - RULE: Nothing was done towards the object of the contract so not liable to pay. No change in position from the mosque committee side
- REVOCATION: But creates question of whether acceptance happens on the completion of the performance or its start? If it is at the end, the offeror can then revoke before complete revocation and create injustice against the offeree. On the other hand if it is accepted from the start, then no matter how the performance is completed, the offeror is bound to compensate the offeree.
  - Court therefore has said that acceptance occurs only on full completion of the performance but once the performance has began the offeror cannot revoke his offer
  - It is still unclear in regards to whether offer can be revoked once preparation for performance has began in such contracts and therefore judges decide on a case to case basis.
  - **Kedarnath Bhattacharji v. Gorie Mohd ILR (1886) 14 Gal 64 (also for act need not be for exclusive promisor's benefit)**
    - FACTS: There was a plan to construct a town hall and a subscription was raised. A person promised to pay 100 rupees for this subscription. They entered into a contract w/ a builder for this purpose. When the work was in progress, they started to actually collect the money from the subscribers. The person then refused to pay the amount promised. Suit was instituted for recovery of 100 rupees
    - ISSUE: Is there a contract, esp. consideration?
    - RULE: Court ruled that it was a type of charitable contract since the person as not getting anything

personally. But since the town council has taken **some concrete steps to further the object of the contract**, that is by creating a contract w/ the builder, this is **sufficient to make the person liable** to the town hall.

- Here it is assumed that by agreeing to subscribe, D had the shared desire to have the town hall constructed.
- **Also said that the act of entering into the contract w/ the builder was at the promisor's desire- since the building itself was not yet constructed and could not considered consideration per se for the this purpose.**

- **Errington v. Errington & Woods (1952) 1 KB 290**
  - FACTS: A father-in-law purchased a house for his son and daughter-in-law to live in. The house was put in the father's name alone. He paid the deposit as a wedding gift and promised the couple that if they paid the mortgage instalments, the father would transfer the house to them. The father then became ill and died. The mother inherited the house. After the father's death the son went to live with his mother but the wife refused to live with the mother and continued to pay the mortgage instalments. The mother brought an action to remove the wife from the house.
  - RULE: The father's promise was a unilateral contract-a promise of the house in return for their act of paying the instalments. It **could not be revoked** by him **once the couple entered on performance** of the act, but it would **cease to bind him if they left it incomplete** and unperformed which they have not done. Therefore, the mother could not revoke the promise either.
- But to ensure that promisor is not tied to the contract as promisee takes his own sweet time, revocation w/ quantum meruit damages for work done towards performance may be allowed by court (Morrison Steamship Co Ltd v Crown)

PRIVITY OF CONTRACT AND PRIVITY OF CONSIDERATION:

- **Privity of contract: only party to a contract can enforce a contract**
  - RATIONALE: It is about mutual rights and obligation so if I sue you, you can also sue me- but a third party does not have a mutual duty in the same manner. Also cannot make a contract on some third party's performance since that person has no consent in the contract.

- 3rd Party beneficiary:
  - **Dutton v. Poole 1677**
    - FACTS: A person had a daughter to marry and in order to provide her a marriage portion he intended to sell a wood of which he was possessed at the time. His son (the defendant) promised that if 'the father would forbear to sell at his request he would pay the daughter £ 1000'. The father accordingly forbore but the defendant did not pay. The daughter and her husband sued the defendant for the amount.
    - ISSUE: Whether the daughter could enforce the contract being a third party
    - RULE: Said daughter was a beneficiary so, she could enforce it and get the amount, even if she was neither interested in the consideration nor party to the contract.

  - **Tweddle v Atkinson [1861] 123 ER 762**
    - FACTS: The plaintiff was to be married to the daughter of one G and in consideration of this intended marriage G and the plaintiff's father entered into a written agreement by which it was agreed that each would pay the plaintiff a sum of the money. G failed to do so and the plaintiff sued his executors
    - RULE: Said third party had no locus standi, even if he was a beneficiary. So cannot enforce the agreement
      - Only party to an contract can enforce it- Doctrine of privity of contract
        - Contract is contract b/w two parties
      - J Whitman: '**that no stranger to the consideration can take advantage of a contract, although made for his benefit**'.

  - **Dunlop Pneumatic Tyre Co v Selfridge & Co Ltd. 1915 AC 847**
    - FACTS: There was an agreement b/w Dunlop and Dew and Company for sale of tires and one of the clauses of this was that Dew would not resale these tires to anybody else under a certain price. Dew entered into a contract w/ the D and

sold the tires as per the price clause in the OG contract. Dew also made them sign an undertaking to not sell the tires under the price mentioned. D however sold the tires in the mkt below the price and P sued them for this.

- ISSUE: Whether Dunlop could sue Selfridge given that the agreement was b/w Dew and D
- RULE: **jus quaesitum tertio**- cannot confer rights to third parties through contracts
  - Lord Viscount Haldane " *Such a right* ***may be conferred by way of property****, as, for example* ***under a trust****, but it* ***cannot be conferred on a stranger to a contract*** *as a* ***right to enforce the contract in personam****.*
  - *A second principle is that if a person with whom a* ***contract not under seal has been made is to be able to enforce it, consideration must have been given by him."***
  - HoL therefore held that Dunlop could not enforce this contract.

Privity of consideration: Consideration can only move between parties to a contract.

- Required under English law
- Not applicable under Indian law "any other person" under sec 2(d)

Venkata Chinnaya Rau vs. Venkataramaya Garu & Ors. ILR (1876-82) 4 Mad 137

- FACTS: An old lady has zamindari land and entered into a gift deed with her daughter. One of the terms was that the daughter would pay a certain amount RS. 653 annually to her mother's brother (P) till the daughter could provide them or their descendants a village of their own to support them. D on the same day also signed a Kararnama with P for the fulfilment of this condition which was duly stamped. The daughter then refused to pay the amount.
- ISSUE: What was consideration and how did it move?
- RULE: J Kindersley, using sec 2(d) "any person" said that the two agreements should be seen contemporaneously such that one created a right for D to receive the land and the other created an obligation to pay the annuity. Here, P's consideration flowed indirectly through his sister (D' mom).
  - Innes J on the other hand used the rationale that the P was already getting an annuity under the property before the contract and therefore, her consideration to enforce the promise was the possible loss she would suffer by not receiving the annuity of the property was simply transferred to the D w/o the iqrarnama between them. This is the same logic used in Dutton v. Poole where the sister let of her claim in the belief that her brother would fulfill his promise to their father.
  - Innes J also shows why this didn't apply in the Tweddle case- b/c the husband did not forfeit any right to his detriment to make it seem as if the consideration flowed indirectly through him.

- In beneficiary contracts, although the beneficiary is the object of the contract, he cannot enforce it
  - Cannot use same logic of privity of contract of not putting non-consensual burden on a third party
  - **Beswick v. Beswick 1968 AC 58**
  - FACTS: B was a coal merchant. The D was assisting him in his business. B entered into an agreement with D by which the business was to be transferred to the defendant. B was to be employed in it as a consultant for his life and after his death the D was to pay to his widow an annuity of £ 5 per week, which was to come out of the business. After B's death, the D paid B's widow only one sum of £5. The widow brought an action to recover the arrears of the annuity and also to get specific performance of the agreement
  - ISSUE: whether the widow could sue for enforcement
  - RULE: As per Dunlop, she could not have enforced it but this led to great injustice.
    - Lord Denning said she had right to sue in her own interest since unlike the Dunlop case where the condition by the P was detrimental to the public at large, here it was solely for the beneficiary- The Law Revision Committee also recommended the scrapping of the doctrine of privity of contract.
    - But HoL upheld the doctrine by taking another method. They mainly felt that the retraction of this principle was in the domain of Parl and not court. They allowed her to sue as the administratrix of her husband's estate she could sue and thereby maintained the doctrine of privity of contract.
- So now they have just made exceptions to the doctrine:
  - **Like in India:**

- **Jamna Das v Pandit Ram Autar Pande [1911] 30 LJ QB 218**
  - FACTS: A borrowed Rs40,000 by executing a mortgage of her zamindari in favour of B. Subsequently she sold the property to C for Rs44,000 and allowed C, the purchaser, to retain Rs40,000 of the price in order to redeem the mortgage if he thought fit, taking only 4,000 for herself. B sued C for the recovery of the mortgage money.
  - RULE: The mortgagee has no right to avail himself of that. **He was no party to the sale**. The purchaser entered into no contract with him, and the purchaser is not personally bound to pay this mortgage debt
    - So Indian courts have accepted Privity of Contract rule
    - Applied Tweddle in India
    - But A could have always sued C to enforce the contract specifically
- In **Krishna Lai Sadhu v Promila Bala Das**i Rankin CJ observed: Not only, however, Is there nothing in Section 2 to encourage the idea that con tracts can be enforced by a person who is not a party to the contract, but this notion is rigidly excluded by the definition of "promisor" and "promisee" .... In my judgment, it is erroneous... to suppose that in India persons who are not parties to a contract can be permitted to sue thereupon
- **M.C. Chacko v State Bank of Travancore [1969-70]**
  - FACTS: Chacko was the manager of a bank and he had an overdraft facility from State Bank of Travancore. Chacko's father acted as a guarantor for the sum of overdraft taken. Chacko had some money overdue and could not pay. His father divided his property by deed and in it he stipulated that the amount guaranteed to the bank will be paid from Chacko's share in the property. The debt was due but the suit was barred by law of limitation. The bank knew of the deed arrangement and therefore they wanted to recover the amount from the gift deed.
  - ISSUE: Can the bank enforce the arrangement which was within the family members? Was this a specific charge or trust?
  - RULE: SC said that the deed did not show the creation of intention to create a charge on the property (as per the Nawab case) in favour of the bank- it only amounted to a demarcation.
    - They were not allowed to enforce the agreement
    - "It must therefore be taken as well-settled that **except in the case of a beneficiary under a trust or in the case of a family arrangement, no right may be enforced by a person who is not a party to contract"**
  - **EXCEPTIONS:**

1. Beneficiaries under charge or trust or other arrangement
- **Nawab Khwaja Muhammad Khan v Nawab Hussaini Begum [1909] PC . (1909-10) 37 IA 152**
  - FACTS: Nawab X wanted Nawab Y's daughter to marry his son and promised to pay the daughter a monthly amount of Rs.500 and this was called 'Kharcha-pandan' and this will come from some property that the Nawab X had. Later on a dispute arose b/w the daughter in law and the son and the amount was not paid, which she wanted to recover.
  - ISSUE: Would she be entitled to recover this, her being a third party?
  - RULE: The court allowed her to recover the amount b/c a specific property was charged to give her the money-
    - **So if a specific trust or charge is craeted by the contract for the beneficiary, then the beneficiary can enforce that contract.**
    - Charge- something like an interest or obligation over a property

2. Marriage settlement, partition or other family arrangements
   - No need to create charge/trust for family members, just assumed'
   - **Daropti v Jaspat Rai (1905) (Punj Rec) 171**
     - FACTS: P, wife of D had left the house due to the cruelty of D. D made an agreement with her father that if he did not treat her properly from this point onwards, he would pay her an amount as maintenance and provide her w/ a dwelling. She was subsequently ill-treated and driven out
     - RULE: Held that wife, being beneficiary and between family could sue for enforcement of the promise made by D to her father.

3. Acknowledgement or estoppel
   - If the party acknowledges the third party beneficiary like by making a partial payment- this will estop the party from claiming privity for lack of enforcement.
   - Ex: Like in the Jamna case but if C had acknowledged B's claim and paid part of the amount to B and then if C stopped paying, B could sue him. Actual facts for **N. Devaraja Urs v Ramakrishniah AIR 1952 Mys 109**

    - Acknowledgement can be explicit or implied.
4. Covenant running w/ land
    - EX: **Tulk v. Moxhay**
    - Covenant- duties to the land
    - **Smith & Snipes Hall Farm Ltd v River Douglas Catchment Board (1949) 2 KB 500 (CA):**
        - FACTS: D had an agreement w/ the landowners adjoining a stream to improve its banks and maintain the stream in a good condition. The landowners paid the cost partially for this purpose. One of the landowners then sold his land to P1 who then sold it to P2. Due to D's negligence the bank burst open and flooded the lands of the P.
        - RULE: Even though both Ps were strangers to the original contract CoA argued that the agreement was w/ the landlords in general and not w/ the individual in particualr since it was for their benefit as owner's of the land.

- "has done or abstained from doing"
    - **Executed consideration: Act/Abstinence which has already been performed in response to the promise.**
    - **Like in a unilateral contract- here the performance happens after the promise.**

PAST CONSIDERATION:

- **Act/abstinence done before the promise itself.**
- Issue: Generally reciprocal promises are done in real time or as a future promise.
    - In past consideration, one consideration is not the cause of another- should be like a vending machine type cause link w/ the machine only dispensing if a coin is paid.
        - So if someone forgets to collect their item, your coin cannot be considered consideration for that item which is already out.
    - Here the initial act/ abstinence is seemed to be done for no consideration from the other party, the promise of paying something comes subsequent to the act
    - In past consideration, there is no causation of considerations and this is not 'proper' consideration
    - EX: Voluntary act:
        - Act done at request of promisor from the beginning, w/ no promise to pay:
    - **English law does not consider past consideration as consideration**

    - **McArdle, Re 1951 Ch 669 (CA)**
        - FACTS: certain improvement were to be made on a property. Mr. A got the renovation done and he didn't discuss the matter w/ other relevant parties and there was a subsequent promise made to pay Mr A pound 488 for the work completed. These people then refused to pay.
        - RULE: Court opined that this would not amount to consideration.
            - "But the true position was that, as the work had in fact all been done and nothing remained to be done by the promisee at all, the **consideration was wholly past consideration**, and, therefore, the beneficiaries' agreement for the repayment to her out of the estate was **nudum pactum, a promise with no consideration to support it**"
- EXCEPTION: If **past act was done at request of promisor**- with no other promise to pay or exchange of terms, then the subsequent promise to pay can be enforced. Could be argued that the other party had an expectation to be remunerated when such a request is made- cannot say no intention to pay. (also done after promise so sort of operates like normal consideration)
    - **Lampleigh v Brathwait [1616]**
    - FACTS: A person was imprisoned for murder and he requested another to try to get a pardon for him from the king, not making any promise to reward or compensate him for this task. Later on he made the promise to compensate, subsequent to the friend performing the task.
        - No doctrine of consideration yet but there was bargain theory- where both parties exchange and element of quid pro quo.
    - RULE: Court said that the prisoner was liable to pay since the act was done at his request. *"A mere voluntary courtesy will not have consideration to uphold as assumpsit. But if the courtesy were **moved by a request of the party that gives the promise, it will bind,** for*

*the promise, though it follows, **yet it is not naked, but it couples itself with the suit before.**"*

- Under Indian law **there is clear exception**:
  1. ***Voluntary past act + promise=*** **Sec 25(2) it is a promise to compensate, wholly or in part, a person who has already voluntarily done something for the promisor, or something which the promisor was legally compellable to do.**
     - The promise to compensate here is still not consideration it is just an explicit exception which allows its enforcement.
  2. If act done at request, there is no clarity from sec 25(2): But sir argues that if voluntary acts themselves are made enforceable why would acts done at the request not be made enforceable
     - Also sec 2(i)(d) says 'at the desire' and ' has done' implies that act done at request would be considered enforceable- Pollock and Mulla take this position.
     - If we take this justification, this could be considered consideration but perhaps only a 'stretched' definition of consideration, not strict.

- **CONSIDERATION MUST HAVE SOME VALUE:**
  - But consideration need not be of sufficient value- law cannot intervene here.
  - Exchange for nothing is no contract but exchange for even Rs. 1 is consideration in the eyes of law
  - Consideration is the only way to express intention to create binding obligations- seriousness, that you are doing it knowingly and not 'for fun or joking'
    - Could be to create mutual obligations
    - Also expresses law's respect to freedom of contract.
  - Must be valuable in the eyes of law...
  - White v Bluett (1853) 23 LJ Ex 36
    - FACTS: D owed his father money on a promissory note to pay off a debt. D complained day and night to his father how unfairly he had been treated in terms of inheritance in comparison to his siblings and consequently, the father agreed to discharge him of his liability in terms of the note and loan if D stopped complaining.
    - ISSUE: Was the abstinence from complaining sufficient consideration in the eyes of law
    - RULE: Ruled not sufficent and hence this was no binding contract.
  - In India , this principle was upheld in the case of:

    Kulasekaraperumal v Pathakutty Thalavanar, AIR 1961Mad 40

    FACTS: 1/3 brothers of an HUF made an agreement in favour of his wife (D3) that she would receive his share of the undivided property if she undertook to pay maintenance to his mother. He then sold 3 items from his share to the P's father, who having died was then inherited by his son P. P was now seeking to enforce this agreement, esp an item 3 which had been avowed to the wife under the deed.

    RULE: Court said, *"Though the Indian Contract Act does not in terms provide that consideration must be good or valuable to sustain a contract it has always been understood that **consideration means something which is of some value in the eyes of law.** It must be **real and not illusory, whether adequate or not**.... So long as the consideration i**s not unreal it is sufficient** if it be of slight value only."*
    - The court then took the criteria from Anson's on Law of Contracts to determine 'realness' or reality of consideration
      - *(a) Did the promisee do, **forbear, suffer or promise anything** in respect of the promise to him;*
      - *(b) Was his act, forbearance, sufferance or promise of any **ascertainable value***
      - *(c) Was it **more** than he was already **legally bound** to do, forbear or suffer?*
    - Based on this held, that the deed to the wife was not gratuitous but wife's undertaking to pay maintenance was sufficent consideration.
  - ...Not necessarily financial nor adequate.: See CWt v. Highness case
    - Sec 25 explanation 2 says this is not necessary: —**An agreement to which the consent of the promisor is freely given is not void merely because the consideration is inadequate; but the inadequacy of the consideration may be taken into account by the Court in determining the question whether the consent of the promisor was freely given**
    - De La Bere v Pearson Ltd . (1908) 1 KB 280 (CA)
    - FACTS: D ran a newspaper in which readers could send in financial questions. P sent a request for a safe investment and stock broker. D unknowest to him recommended a person who was an undischarged bankrupt (filed for

bankruptcy but no court recognition yet), who upon receiving P's money misappropriated it. P sued D for the advice
    - ISSUE: was there consideration to make this a contract that could be sued under?
    - RULE: Taking a broad look, Court ruled that this coluomn must bring good readership and consequently profits for the apper whcih is sufficent consideration to the apper from readers who write in. Hence valid contract w/ adequate consideration
    - Forbearance of a real claim is also adequate consideration:
        - Can be right to sue- liek for maintenacne
        - Or for claim of debt or time period or withdrawal of a deposit

PERFORMANCE OF EXISTING DUTIES

- Existing contract altered by offering extra consideration
    - The other party however does not supply any extra consideration the other party reciprocates
    - **Existing obligation cannot form new consideration.**

1. **Legal obligations:**

- **P. Sashannah Chetti v P. Ramasamy Chetti (1868) 4 MHC 7**
- FACTS: A claimant was summoned to the court as a witness for which D has promised to pay a ceratin amount but later backed out
- RULE: Held no consideration so void
    - **"Performance of a legal duty is no consideration for a promise."**
    - **If done by someone w/ a legal duty (like police office), the service rendered [should] really [be] beyond the scope of official duty and not a mere pretence for extracting money.**
- Can also be agreemnt to be maintained to biological mom for looking after illegitimate child Ward v. Byham [1956] 1 WLR 496
    - Here while Denning LJ argued that consideration for existing obligations is fine since the promisor derives benefit from the performance, Morris Lj looked at the fact that beyond the legal obligation of care, the father wanted to make sure that the child would be happy w/ the mom. This he said justified the extra consideration.
- Contractual obligations: cannot be consideration if already obligated to do it under earlier contract
- **Ramchandra Chintaman v Kalu Raju ILR (1877) 2 Bom 362**
- FACTS: A lawyer was contracted to represent the D and then later on D also promised him an extra sum if he won the case.
- RULE: Held not enforceable since the lawyer was already under obligation to perform his best, meaning win the case.
- **Stilk v Meyrick (1809) 2 Camp 317**
- FACTS: A ship in its voyage of which many sailors had left the ship and few were left. He captain offered an additional amount to the additional employees to remained, from what would have been paid to the sailors that had left. When the ship reached its destination the captain refused to pay the extra amount and a suit was filed for getting the additional amount.
- RULE: Held that no consideration supplied by the sailors to support the promise of additional amount. They stated that it was their obligation to deal with difficult situations as per their profession, like taking up extra duty due to incapacity of fellow crew members. Again dependents on case facts like the profession, number of crew members, what the parties expect to perform etc.
    - EX: in another case, the sailors agreed to sail for extra consideration since they were in an unexpected war like situation.
    - Otherwise it can result in situations where one party can use their role to exploit others- like a cab driver stopping in the middle of a journey and extorting extra money to finish the journey. There were no doctrines of coercion as such at this time.
    - Could be a principle like "where conditions have arisen under which a **party is entitled to refuse to go ahead** with his contract, a promise to **pay him extra if he will not do so is valid**".
    - Here if the task taken was something beyond the call of their duty then they would have been entitled to take that extra consideration.
    - Diff reports have given diff ratios from this case- so public policy ground is vague and dependent on factual matrix.
- **Weston Foakes v Julia Beer (1884) LR 9 AC 605 [HoL]**

- FACTS: Dr. Weston owed 2000 pounds to the D. There was a dispute about the amount which led to a court case where the verdict required P to pay back the amount and delay would entitle D with some interest. P told D that he could only pay her in installments. Once the whole amount was paid to D, D claimed interest on this amount since they payment period exceeded the amount directed by court. P argued that D had promised to accept the amount as installments and hence she could not claim the interest
- RULE Court said no consideration to waive interest rights so D can claim interest as well.
  - Again upholds the principle that existing obligation cannot be consideration for a new promise
  - Old authority: Pinnel's case (*Penny v Cole*) (1602) 5 Co Rep 117a:
    - **Payment of a lesser sum on the [due] day in satisfaction of a greater cannot be any satisfaction for the whole.**
    - **But if something is partly offered in kind it can be satisfaction.**
  - Distinguishing factors: 200 years ago- to protect from blackmailing since no other doctrine then, also extraordinary voyage like situation cannot be construed as similar to an ordinary construction situation.
  - **Must not be application of improper pressure to get this new promise.**

★ **Williams v Roffey Bros & Nicholls (Contractors) Ltd (1991) 1 QB 1**

- FACTS: A contractor was contracted for some construction and he sub-let it to some third party. The contract had a clause for penalty of the construction is not completed within the deadline, the Contractor realised that the sub-contractor would not be able to finish the project within the deadline. The Sub-contractor cited the reason as insufficient value of the contract between them and thereofre the contractor agreed to pay him the extra amount. After the project was completed, the contractor refused to pay the extra sum.
- RULE: Here the fulfilment of the project on time saved the contractors from the penalty, so in one way this was consideration. No improper pressure was applied here. There was also an offer made by the promisor here, not the promisee.
  - **So practical benefits amounts to consideration, even if there is no actual extra consideration being performed by the promisee. How to check:**
    (i) if A has entered into a contract with B to do work for, or to supply goods or services to, B in return for payment by B; and
    *(ii) at some stage b**efore A has completely performe**d his obligations under the contract **B has reason to doubt whether A will, or will be able to, complete his side of the bargain; and***
    *(iii**) B thereupon promises A** an additional payment in return for A's promise to perform his contractual obligations on time; and*
    *(iv) as a result of giving his promise, B **obtains in practice a benefit, or obviates a disbenefit;** and*
    *(v) B's promise is **not given as a result of economic duress or fraud o**n the part of A; then*
    *(vi) the **benefit to B is capable of being consideration for B's promise**, so that the promise will be legally binding.*

  - **Performance of existing obligation can amount to consideration if:**
    a. **If its performance results in practical understanding- like timely completion of a project, timely recovery of a loan even if less than the amount actually entitled to recieve**
  - **Said that Stilk v. Meyrick authority remains unscathed**
  - We also need to see if the other party undertakes something extra relying on this extra consideration. Also relied on promissory estoppel here
  - Criticised b/c allows the parties to use non breach of the contract in itself as consideration- Court of Appeal case. Did not refer to Foakes case at all.
  - Again stretches the boundaries of consideration- beyond just the legal view.- but can be sui generis type ratio- applicable in very select cases.

- **Re Selctmove 1995**
- FACTS: A company owed tax to the authority but said not could only pay in instalments. Authority realised midway that the company could not pay and pressed for a suit.
- ISSUE: Whether the authority was bound by this agreement to accept this agreement? The Co said that pratical benefits would derive to the authority from this agreemnt as per Roffey's case and hence they are bound
- RULE: Court sided w/ Foakes case ratio.
  - Distinguished it from Roffey since tha tcase did not involve debt, but the Foakes case did. Also Foakes was a HoL case unlike Roffey which was a CoA case.
- EXCEPTIONS to PINNEL's RULE:

1. Part payment by a third party:
2. Composition: network type of transaction between a debtor and a large number of creditors
3. Payment before time: early payment is valid consideration
4. **Promissory estoppel:**
    - Principle of equity and law of evidence (as estoppel) as well
    - Estoppel in evidence means stating one thing prevents one from retracting one's statement
    - This is extended to contracts as well- but cannot negate doctrine of consideration.
        - If you have not relied on the promise: then nothing- no liability
        - If you have relied on the promise reasonably : promissory estoppel here
        - Desire of promisor is relied on: here there is reaosnable reliance.

- What is the test of reliability of the contract: promise, consideration or reliance?
    - The prime purpose of contracts is to ensure promises are performed and compensate damages so caused through reliefs.
    - If on account of A's promise an injury is caused to B, A would be liable to B even if there was no consideration exchanged.
    - **Thomas Hughes v Metropolitan Railway Co. 1877 HoL**
    - FACTS: A has property which he has leased to one B. The initial tenancy agreement required the tenant to carry out some repairs. If the repairs were not done in 6 months, the tenant would have to vacate. In the meantime, they entered into a negotiation during the lease for the sale of the property. The negotiations went on for some months during which the tenant presumed that he could go ahead with the repairs after the sale but they were not successful. After the 6th month the tenant was issued a notice to vacate.
    - ISSUE: The Tenant brought the case under promissory estoppel saying that he believed that during negotiations, this 6 months period would be suspended.
    - RULE: Any promise or conduct which has the effect of leading one of the parties to suppose that the strict rights arising under the contact will not be enforced, or will be kept in suspense, or held in abeyance, the person who otherwise might have enforced those rights will not be allowed to enforce them where it would be **inequitable** having regard to the dealings which are thus taken place between the parties.
        - Would only be estopped if his behaviour would be inequitable to the other
    - **Central London Property Trust Ltd v High Trees House Ltd**
    - FACTS: P gave to the D a tenancy of a block of flats at a ground rent of £2500 a year for a period of 10 years. As a result of the 2nd World War, the flats could not be fully let and, therefore, the P agreed to reduce the rent by half the amount. In 1945, war conditions ceased to exist, and the flats became fully occupied, but the D continued to pay only the reduced rent. The plaintiffs' claimed to recover the full rent as reserved in the original lease from the middle of 1945 was successful as well as for the arrears. D would argue that P had agreed but P would argue that there was no consideration received for this new promise.
    - RULE: Lord J. Denning: A promise intending to be **binding** (not puff), intended to be **acted on** and **in fact acted** on **is binding** so far as its terms properly apply.
        - They were required to pay the full amount for 1945 but not arrears
        - Promissory estoppel only applies to transactions of the past, but cannot estop a claim on future transactions.
        - EX: If A allows B to pay half rent for 6 months but in the third month A requests the full amount. A can get the full amount from the third month onwards, but cannot ask for full amount for the 1st and 2nd month which have already been half paid.
        - Promissory estoppel is therefore suspensory in nature- it cannot extinguish a right from the period where notice is given.
            - But this is not 100%, sometimes can extinguish a right
        - EX: The Vodafone tax case- cannot ask for retrospective tax
    - Does not give you a cause of action
        - You must have relied and done something to show your reliance on that promise.
        - Cannot be mere reliance but detrimental reliance- but this qualification is debated

- In England, promissory estoppel may usurp the place of the essential doctrine of consideration- so they have to restrict the area of estoppel:
  - ★ **a) Position needs to be altered as per the promise made**
  - ★ **b) Detrimental reliance- again depends on the court- may not be taken**
  - ★ **c) Pre-existing relationship- promissory estoppel can only be used to modify a contract, not for formation of a new contract.**
  - **d) It must be inequitable to retract from the promise**
- **D& C Builders v. Rees**
  - FACTS: The parties had negotiated a deal where the R was supposed to pay D 500 pounds. R could only pay 300 pounds and also knew that A was in need of money so they agreed to this reduced amount. A then went to the court to recover the rest of the amount.
  - RULE: Promissory estoppel applies where equity require. A person will not be able to change his promise if in reliance of his promise the promisee has altered his position. But this is condition on the fact that it is inequitable to retract the offer. If it is equitable- like in this case R took advantaged A's vulnerability so it wouldn't be inequitable for them to retract their promise.
    - **Can only be used as a 'shield not as a sword'- can use it to protect yourself but not institute a suit against someone else on this basis.**
    - **"No person can insist on a settlement procured by intimidation"**
- **Combe v. Combe 1951 CoA**
  - FACTS: The husband and wife were getting divorced and the husband promised to pay 100 pounds to her annually but then he didn't pay. She sued for enforcement
  - RULE: Denning: *"That principle **does not create new cause of action** where none existed before. It only prevents a party from insisting upon his strict legal rights, when it would be unjust to allow him to enforce them, having regard to the **dealings which have taken place** between the parties"*
  - In Contract law, it was found that she had supplied no consideration for this amount. This is not for maintenance right though- that is its own statutory provision

- AGAINST THE GOVT:
  - **Delhi Cloth and General Mills Ltd v Union of India AIR 1987 SC 2414**
    - FACTS: A fertiliser company setting up in Kota had requested the Railways to charge it a different tariff rate for the transportation of some materials for which is got a preliminary acceptance, but it was agreed the actual rate would be decided when goods were actually moved. However, later on the Railways retracted on the promise saying that their acceptance was subject to approval and may contravene sec 28 of Railways act which prevented the Railways from favouring any company.
    - ISSUE: Whether the Railways could be estopped from retracting?
    - RULE: Could not be estopped and held, citing the Central London housing case: *'All that is now required is that the **party asserting the estoppel must have acted upon the assurance** given to him. Must have r**elied upon the representation** made to him. It means that the party has c**hanged or altered his position** by relying on the assurance or representation. The alteration of his position by the party is the o**nly indispensable requirement of the doctrin**e. It is **not necessary to prove further any damag**e, detriment or prejudice to the party asserting the estoppel'*
    - *The concept o**f detriment** as we know understand is whether it appears **unjust, unreasonable or inequitable** that the promisor should be allowed to resile from his assurance or representation, having regard to what the promisee has done or refrained from doing in reliance on the assurance or representation.*
    - *It is, however, quite fundamental that the doctrine of promissory estoppel, **cannot be used to compel the public bodies or the Government** to carry out the representation or p**romise which is contrary to law or which is outside their authority or power.** Secondly, the estoppel stems from equitable doctrine. It, therefore, requires that **he who seeks equity must do equity**. The doctrine, therefore, **cannot**, also be invoked if it is found to be **inequitable or unjust in its enforcement.***

- **IN INDIA:**
  - **Motilal Padampat Sugar Mill v St. of UP AIR 1979 SC 621:**
    - FACTS: UP govt had announced that any one who started a factory in the govt would be given a tax break for 3 years. P set up a factory in UP based on this. Govt then retracted on the promise.

        - RULE: Court applied estoppel even though there was no existing relationship
            - **So not only for modification but also for formation of a new contracts in India**
            - Also govt must be held to a higher standard than the ordinary citizen when making promises
        - **Can be 'sword' as well in India but requires alteration of one's position relying on the other's promise.**
    - **Estoppel v. Consideration in India**
        - Promissory estoppel is limited in its application- cannot create bilateral executory contract b/c the promisee needs to change his position relying on the other's promise.
        - So consideration needed to create bilateral executory contract
        - So estoppel cannot replace consideration.
- **by Lord Hodson while delivering the opinion of the Judicial Committee of the Privy Council in Emmanuel Ayodeji Ajaji v R.T. Briscoe (Nigeria) Ltd The principle is that when one party to a contract in the absence of fresh consideration agrees not to enforce his rights an equity will be raised in favour of the other party. This equity is, however, subject to the qualifications; (1) that the other party has altered his position, (2) that the promisor can resile from his promise on giving reasonable notice, which need not be a formal notice, giving the promisee reasonable opportunity of resuming his position, (3) the promise only becomes final and irrevoca ble if the promisee cannot resume his position.**

INDIA'S POSITION:

- **Sec 63: Part payment of debt is in satisfaction of the whole debt if the parties are agreeable to this w/o any sign of undue infleunce etc.**
- **Pinnel, Foakes etc does not apply**

CONSIDERATION MOVED BY THIRD PARTY:

EX: A supplies goods to B for 10L. B supplies these goods to C for 12L. C is in urgent need so agrees to pay 20K extra to A to if A delivers the amount to B on time. A delivers it on time and claims the amount from C.

- Existing consideration to some third party is considered valid among private parties. SO here A by delivering the goods to B can also be considered A delivering the goods on time for C- one consideration 2 contracts is ALLOWED.
- Not govt since would amount to corruption
- **Firm Gopal Co Ltd v Firm Hazarilal Co AIR 1963 MP 37**
    - FACTS: P was required under contract to purchase bales on cotton from the mill. D was the agent of the mill who had guaranteed to the mill such purchase. To incentize P who had not completed a substantial proiton of his contract, D agreed to purchase part of the bales at 25K or otherwise agreed if P fulfils his obligation. P fulfilled. D did not pay claiming lack of consideration
    - RULE: Court ruled that the act of buying was consideration for both contracts- with mill and D and hence valid being good consideration. D had to pay.

EXCEPTIONS TO sec 25:

- **Agreement in writing and registered and is made on account of natural love and affection**
    i. Writing and registered
    ii. Must be close to each other- near relationship- like blood and marital relations.
    iii. Natural love and affection
- **Rajlukhy Dabee v Bhootnath Mookerjee**
- FACTS:The defendant promised to pay his wife a fixed sum of money every month for her separate residence and maintenance. The agreement was contained in a registered document which mentioned certain quarrels and disagreements between the two.
- RULE: Found no love and affection so not enforceable
- **Bhiwa v Shivaram**
- FACTS: A sued B, his brother, for a share in certain lands. But the suit was dismissed as B solemnly affirmed that the property was not ancestral; B then agreed by registered writing to give A one-half of the same property. The present suit was brought to obtain that share.

    - RULE: Yes, natural love and affection since B agreed to share half the property a
- Promise to compensate for something which is already voluntarily done (sec 25(2))
- **Promise** to pay a debt barred by law of limitation provided it is made in **writing** and **signed** by the promisee.
    - Law of limitation starts from day of cause of action- the day the amt was due- within a period of 3 years
    - Must be express and clear- no need to have to infer this
    - But promise not mere acknowledgement, esp of debt sill not time barred

Capacity of Parties: Tutorial 4

Tuesday, 23 February 2021 10:58 am

- Sec 10 and 11
- Sec 10: Essential elements of a contract
- Competency is important since contracts are voluntarily binding of oneself
- Law creates these criteria since the law considers that they

Sec 11: —**Every person is competent to contract who is of the age of majority according to the law to which he is subject , and who is of sound mind, and is not disqualified from contracting by any law to which he is subject.**

- Minors
- Persons of unsound mind
- And persons disqualified by law

MINORITY:

- Age of minority is 18 generally
- But the court can also also guardians the age, then majority becomes 21- s 3 of Indain majority Act, 1875
- The question of voidability does not arise since voidability menas that the contract was valid but due to some other fact it can be voided
- Minors on the other hand do not have the judgement required to bind themselves is the general understanding and hence 'voluntariness' is doubted.
- **Mohori Bibee v Dhurniodas Ghose :ILR (1903) 30 Cal 539 (PC);**
  - FACTS: A, a minor mortgaged his house to B a moneylender and secured a loan of 20K. A part of this loan was actually advanced to the minor. The attorney of B received info that A was a minor. A commenced a claim that he was underage when the mortgage commenced and the entire contract should be cancelled. The moneylender said that he would be okay w/ this on the provision that he be paid back the initial advance he had given the minor as under sec 41 of Specific Relief Act, 1877
  - RULE: Court said that JGE could not allow this since B was aware of A's minority, B could not claim the amount.
    - The contract is void, only if the guardian is not involved in the contract at all.
    - Sir Lord North observed: "Looking at Section 11 their Lordships are satisfied that the Act makes it essential that **all contracting parties should be competent to contract** and expressly provides that a person who by reason of infancy is incompetent to contract **cannot make a contract within the meaning of the Act**. The question **whether a contract is void or voidable presupposes the existence of a contract** within the meaning of the Act, and **cannot arise** in the case of an infancy.
- **Mir Sarwarjan v Fakhruddin Mahomed Chowdhur (1912) 39 Cal232 PC**
  - FACTS: Guardian of minor purchased a property on his behalf and then the minor sued the other party for specific performance of the sale
  - RULE: Said that neither minor nor his guardian nor anybody else on his behalf and cannot bind a minor by any contract- said no doctrine of mutuality.
    - Any contract w/ the minor is void, irrespective of if some adult does it on his behalf.
- **Srikakulam Subrahmanyam v Kurra Subba Rao ILR 1949 Mad 141 PC.**
  - FACTS: Minor's father, now deceased, owed debts to another B and had a mortgage to C. The minor's mother and the minor decided to sell part of the land they owned to B and instructed him to deal w/ the mortgage to C and settle the debt at the same time. The Minor then took an action for restitution of the property.
  - RULE: Overruled Mir Sarwarjan, said mutuality could not be imported if the contract made by the guardian is to the benefit of the minor.
    - Here the agreement was made by the minor's mother for his benefit so this contract was valid and the contract is enforceable against the minor through his guardian.

EFFECTS OF MINOR'S AGREEMENT:

- Since there is no contract at all w/ a minor, claims against a minor must be settled from outside the contract

1. There is no estoppel against a minor- the minor cannot be estopped to take the plea of infancy if he induces someone through misrepresentation about his age to create a contract. This is b/c estoppel cannot be invoked against a statute
2. No liability in contract or tort arising out contract
   - Cannot be filed against for deceit or damages
   - Minor cannot be held responsible for anything which is an indirect way of enforcing the contract.
   - But if the tort is independent of the contract, the action is valid
     - EX: . **Burnard v Haggis, (1863) 4 CBNS 45 :**A minor borrows B's horse for a ride. A promises not to use the horse for jumping fences. He then lends it to his friend X who made it, injured it and thereafter died- which is what makes it extra-contractual
       - The test is to see if the injury claimed aginst the minor was one that would have occurred irrespective of the contract (but for the contract) as well- then can use tort.
3. **Doctrine of restitution:**
   - If the minor gets something to his benefit, he can be made to restore it the person
   - But this can only happen if the minor can still trace the good- he cannot be made to pay even the value for the item converted, sold etc- this is called the **equitable doctrine of restitution**
   - Cannot be applied when cash is given to the minor, only goods or property can be recovered
   - **Leslie (R) Ltd V Sheill (1914) 3 KB 607 (CA)**
     - FACTS: A minor managed to deceive the P who were moneylender to lend him 400 pounds. P tried to sue in contracts and quasi-contracts which were reject. Lastly he resorted to equity and restitution
     - RULE: This was rejected as well since restituting untraceable cash is in a way enforcing the contract which does not exist.
   - **Minor seeking relief, compellable to restore:** when the minor itself goes to the court to get a contract voided but provided that the minor restores any benefit he received under the contrcat
     - Based on the principle of justice and equity which said the doctrine of restitution found expression in Section 41 of the original Specific Relief Act of 1877. The section authorised the courts to order any compensation that justice required to be paid by the party at whose instance a contract was cancelled
     - Sec 41: **"On adjudging the cancellation of an instrument, the Court may require the party to whom such relief is granted to make any compensation to the other party which justice may require."**
   - **Khan Gul v Lakha Singh AIR 1928 Lah 609**
     - FACTS: The defendant, while still a minor, by fraudulently concealing his age, contracted to sell a plot of land to the plaintiff. He received the consideration of Rs 17,500 and then refused to perform his part of the bargain. The buyer went to court for performance
     - RULE: Court said sec 41 could not be applied since here the buyer went to court and not the minor so no restitution.
       - Court also said that in England contracts w/ minor are limited w/ many forms of relief but in India is it compleetly void, so more reliefs should be allowed
       - In this isolated case, the court ordered the minor to pay back the money he received using equity and restitution even for money- cannot make use of his own fault.
   - **Ajudhia Prasad v Chandan Lal AIR 1937 All 610 (FB)**
     - FACTS: A sum of money was borrowed by two minors under a mortgage deed. They were more than 18 but less than 21 years of age, but fraudulently concealed the fact that a guardian had been appointed for them. The question was whether the lender could get a decree for the principal money or sale of mortgaged property.
     - RULE: The money could note be repaid. Said cannot enforce a pecuniary liability agaisnt a minor since the contracts are themselves void. Mainly b/c an untraceable money amount recovered thorugh a money decree is akin to enforcing the minor's liablity under the contract.
       - "There is no rule of equity, justice and good conscience which entitles a court to enforce a void contract of a minor against him under the cloak of restitution"

        - Undid Khan Gul

AMENDED PROVISION OF SPECIFIC RELEIFS ACT, 1963:

- Same as section 41 under the new sec 33(1)
- 33 (2) says can also be asked to restore if as D he claims incompetency to escape performance
    - " **Where a defendant successfully resists any suit on the ground that the contract, by reason of his being incompetent, is void against him, he may be required to restore the benefits, if any, obtained by him under the contract, but only to the extent to which he or his estate has benefited thereby**."
    - Meaning even amount for other benefits like education which may have benefitted his estate
- So now both in the case as a D or P minor would be made to return the benefits he derives under the contract.
- **Jagar Nath Singh v Lalta Prasad ILR (1908-10) 21 All 21**
- RULE: Where persons who are in fact underage induce others to purchase property from them, they are liable in equity to make restitution to the purchasers for the benefit they have obtained before they can recover possession of the property sold.
    - But the court will not compel any restitution by a minor even when he is a plaintiff, where the other party was aware of the infancy so that he was not deceived, or where the other party has been unscrupulous in his dealings with the minor.

BENEFICIAL CONTRACTS:

- Minor only gets benefits, no obligations
    - The only contracts of an infant which can be enforced are which relate to the infant's person, as contracts by which he provides himself with clothes, food, of lodging or contracts of marriage, apprenticeship and service."
    - Contracts of apprenticeship hare held enforceable since enable skilling- but not trade contracts
- Law here does not make the minor incapable if recieving a benefit
- If the minor supplies the full consideration - performed his part, the contract can be enforced
    - **Raghava Chariar v Srinivasa ILR (1916)40 Mad 308**
    - FACTS: Mortgage was executed in favour of the minor.
    - RULE: The provision of law which renders minors **incompetent to bind them selves** by contract was enacted in their **favour and for their protection**, and it would be a strange consequence of this legislation if they are to take nothing under transfers in consideration of **which they have parted with their money (could not enforce contracts in their favour basically)**
- **The law does not regard a minor as incapable of accepting a benefit.**
- If infant is to perform a unilateral contract, and the offer terminated before such performance could begin, then cannot sue since no obligation to be paid has arisen yet.
- He can have restitution of benefits given by him to someone else- but must be total failure to receive consideration
- Infant having paid for something for his benefit and consumed it, must pay for amount consumed
    - **Valentini v Canali**
        - FACTS: minor had contracted to rent D's place and to pay for the furniture therein an amount of 100 pounds. He paid 68 pounds and promised to pay the rest through promissory note. He occupied the place and used it for a couple of months, including the furniture provided. Then he brought an action for recovery
        - RULE: The promissory note was cancelled but could not recover the 68 paid "He could not give back this benefit or replace the defendant in the position in which he was before the contract" by using his furniture for these months.
- Includes contracts to marriage, unless statutorily mandated like under HMA
- OPTION TO RETIRE FROM BENFICIAL CONTRACT ON MAJORITY
    - Must be exercised within reasonable amount of time
- RATIFICATION:
    - Agreeing to something that has already happened to the date it happened
    - So upon becoming major, the person cannot ratify a contract he made as minor- sicne cannot agree to something

now whcih never existed when you were a minor
    - You have to enter into a fresh contract as a major to enforce such contracts, w / fresh consideration.
- NECESSITIES:
  - Sec 68 allows the provider of necessities to an incapable person or those dependent on him to recover the amount for them from his estate.
  - Necessity includes the in the general sense but also education, clothes etc and can be luxurious versions of such utilities if required for the soicety In which the infant moves. The provider needs to show that the item was a necessity and that the minor did not have sufficent of it already. **(Hash v Inman (1908) 2 KB 1)**

PERSONS OF UNSOUND MIND:

ENGLISH LAW: Person is competent to contract but can be made voidable at his option

- If doesn't want contract enforce against him must show that the person with whom he contracted knew him to be so insane as not to be capable of understanding what it was about
- Also includes a drunk person

INDIAN LAW: completely void ab initio

Sec 12: —**A person is said to be of sound mind for the purpose of making a contract, if, at the time when he makes it, he is capable of understanding it and of forming a rational judgment as to its effect upon his interests.**

A person who is usually of unsound mind, but occasionally of sound mind, may make a contract when he is of sound mind.

A person who is usually of sound mind, but occasionally of unsound mind, may not make a contract when he is of unsound mind.

- Including intoxication

- Disability at the time of agreement:
  - The person must show state of unsoundness at the time of agreement, not performance
- **Inder Singh v Parmeshwardhari Singh**
- FACTS: A person sold a property of 25K to 7K. The mother of this person said that he was "congenital idiot" and wandered about.
- RULE: The court voided the contract, saying:
  - It does not necessarily mean that a man must be suffering from lunacy to disable him from entering into a contract. A person may to all appearances behave in a normal fashion, but, at the same time, he may be incapable of forming a judgment of his own, as to whether the act he is about to do is to his interest or not
- **Chacko V Mahadevan, (2007) 7 SCC 363.**
- FACTS: Man suffered from drunken psychosis at the time of executing a sales deed, proved by a medical certificate. He sold the valuable land for a paltry sum
- RULE: the court declared the contract void on account of his state of unsoundness. Unsoundness is a question of fact.

Free Consent

Tuesday, 23 February 2021 11:03 am

- Contracts are all about consent since this is what makes it binding.
- Consent must be free for this purpose since voluntariness is essential- expression of free will
- If no free will, the contract stands vitiated and unenforceable
- **Sec: 13. "Consent" defined.—Two or more persons are said to consent when they agree upon the same thing in the same sense.**
- **Sec: 14. "Free consent" defined.—Consent is said to be free when it is not caused by—**
  - **(1) coercion, as defined in section 15, or**
  - **(2) undue influence, as defined in section 16, or**
  - **(3) fraud, as defined in section 17, or**
  - **(4) misrepresentation, as defined in section 18, or**
  - **(5) mistake, subject to the provisions of sections 20, 21 and 22.**
  - **Consent is said to be so caused when it would not have been given <u>but for</u> the existence of such coercion, undue influence, fraud, misrepresentation or mistake.**
  - So we have to establish a 'but for test' for lack of free consent to vitiate a contract
- If any consent is caused by any of these 5 factors, the consent is said to be not free and the contract will be unenforceable.
  - For first 4 types, the contract is VOIDABLE at the option of the party whose consent was so caused and not VOID
  - Mistake makes contract VOID sicne here there is absolutely no meeting of the minds while in the other 4 there is meeting of minds even if it was coerced.

I. <u>COERCION:</u>

- Sec 15: **Coercion" is the committing, or threatening to commit, any act forbidden by the Indian Penal Code (45 of 1860)or the unlawful detaining, or threatening to detain, any property, to the prejudice of any person whatever, with the intention of causing any person to enter into an agreement**
  - **Explanation.—It is immaterial whether the Indian Penal Code (45 of 1860) is or is not in force in the place where the coercion is employed.**
  - **ESSENTIALS:**
  1. Either by:
     i. Committing or threatening to commit any act under IPC
     ii. Unlawful detaining or threatening to detain any property
  2. Intention to cause person to enter into an agreement

<u>Chikham Amiraju v Chikham Seshamma ILR (1918) 41 Mad 33, 36</u>

FACTS: A man threatened his wife and son that he would commit suicide if they did not transfer some property to the younger brother of the man. The family later wanted to avoid this agreement

ISSUE: Whether the consent was free?

RULE: The party said that suicide was not punishable under IPC so it was not prohibited. But the court said that since attempt was still punishable, suicide is punishable but just punishment cannot be meted out in such cases so said the consent was vitiated. Took punishale to mean criminal though not actually punished- like those under general exceptions or acquitted

- But dissenting judge tried to differentiate between 'threat' and 'attempt' and said that threat to commit suicide was not punishable.
- Will not be undue influence since undue influence is subtle and not so out-rightly 'illegal'.
- Ex: a father using a gun against his son for his to sign a document, the gun is 'speaking' here and not the position of the 'father'. So it is coercion and not undue influence. If he were to use this father position, then why use the gun at all.

Duress in English Law:

- Duress is only against close family members- so if someone threatens to take the life of a son, daughter, wife etc, it would come under duress, but not if he threatens to shoot a stranger on the street.

- Whereas in Indian law, even if it is a threat to commit a crime against a stranger, it would count as coercion.
    - against any person "to the prejudice of any person whatever" and not just close family
- **Astley v Reynolds, (1731) 2 STR 915**
    - FACTS: A person had pledged his silver plate for an amount of 20 pounds with no agreement for interest. When he went to claim his property back, the pledgee demanded an additional amount of 10 pounds and refused to return the property. The person paid the amount but later on wanted it to be vitiated by duress.
    - RULE Said lawful detention in this case would also come under duress
        - So allowed him to be restituted with the extra 10 pounds paid
- In later cases, the English courts have said that this would not be duress.
- **Skeate v Beale**
    - The tried to differentiate between duress of person (like threatening to assault) and duress of property (threatening to steal)
    - Said that against person was more coercive than against the property
    - Also assumes that people should be reasonable enough to not give into coercion aginst property
    - But slowly have acknowledged that threat to goods would also constitute duress- puts undue pressure on persons and violates their consent
    - EX: Like trump threatening India with sanctions to provide Hydro-chloroquine to the US.

- Threat to commit legal prosecution is not forbidden under IPC if the case is real. But if the prosecution is false, then this would come under coercion (sec 211) **Askari Mirza v Bibi Jai Kishori (1912) 16 IC 3448**

II. UNDUE INFLUENCE:

- Sec 16: **(1) A contract is said to be induced by "undue influence" where the relations subsisting between the parties are such that one of the parties is in a position to dominate the will of the other and uses that position to obtain an unfair advantage over the other.**
    - INGREDIENTS:
        i. Relationship of the parties (like boss, teacher, parents, spiritual guru, solicitor-client etc) w/ Hierarchy or imbalanced relationship usually- essentially is there influence?
        ii. One uses that position to dominate the will of the other- using influence
        iii. The use is to obtain an unfair advantage over other- undue use of that influence
- Subtle species of fraud- Undue influence is said to be a subtle species of fraud whereby mastery is obtained **over the mind of the victim**, by insidious approaches and seductive artifices
- Diff w/ duress or **coercion** the focus is on the **pressure applied which is improper, it may be physical and violent, constraining** his agency while in **undue influence** the **focus is on the relationship** b/w parties and **such influence** has caused the other party to **lose their agency, even temporarily.**
    - Does not include contracts mandatory by law.
- **(2) In particular and without prejudice to the generality of the foregoing principle, a person is deemed to be in a position to dominate the will of another—**
    - **(a) where he holds a real or apparent authority over the other, or where he stands in a fiduciary relation to the other; or**
        - EX: like a boss, a police officer (even impersonator-'apparent'),
        - Fiduciary- every relationship of **trust and confidence** like agency, partner
            - English law does not require a seller to disclose defects to the buyer- caveat emptor
            - But if they are in a fiduciary relationship, there is an obligation to disclose such defects.
    - **(b) where he makes a contract with a person whose mental capacity is temporarily or permanently affected by reason of age, illness, or mental or bodily distress.**
- **(3) Where a person who is in a position to dominate the will of another, enters into a contract with him, and the transaction appears, on the face of it or on the evidence adduced, to be unconscionable, the burden of proving that such contract was not induced by undue influence shall lie upon the person in a position to dominate the will of the other.**
    - This reverses the usual onus since w/o this provision the person dominated who would file the case, P, would be the one who has to prove.
    - BoP:

- If one party is in a **position to dominate the will of the other party** and the terms of the contract are **unconscionable or there exists an economic duress**, or thirdly, **one of the parties was a pardanasheen woman**, then the burden to prove that undue influence did not exist will lie with the dominant party.

- **Williams v Bayley (1866) LR 1HL 200**
  - FACTS: A son had forged his father's signatures on certain promissory notes. When the bank manager got to know of this, he threatened the son w/ criminal prosecution. The father mortgaged his property in favour of the bank under this pressure of prosecution. Later the father wanted this agreement to be cancelled.
  - ISSUE: Whether the consent of the father was influenced by the bank?
  - RULE: Said it was a case of undue influence- no autonomy of the father- pressure was applied and the agreement could be set aside.
    - Also improper pressure was applied, not influence- there was no fiduciary relationship here. So duress would be more appropriate here.
      - But at this time boundaries og duress was narrow and restricted to physical threat
      - Also here the threat would be a legitimate threat since it was a genuine case of forgery
      - this is lawful act duress!!- related to blackmail that Scarman Lj refers to in Universal Sentinel
- **Allacard v Skinner 36 Ch D 145**
  - FACTS: Lady Allacard joined a religious organisation which worked for the good of poor/world headed by Skinner in 1867 and in a few years she gave us shares and money to this organisation. In another few years she left the organisation. 6 years after this, she instituted a suit for recovery of the money and shares on the ground that her consent was not free but undue influence
  - RULE: J. Lindlay said that UI is the influence of one person over another, and the influence over mind over another is **very subtle and of all influences, religious influence is the most dangerous and powerful since it creates blind faith.**
    - But her claim was barred by law of limitations- rationale is that you cannot hand a sword over someone for a indefinite amount of time- 3 years in India.
- **"Unconscionable Bargain"**
  - Very wrong- the highest, patently, palpably wrong- how could your conscious allow you to do that.
  - "Which no sane person would enter into knowingly and which no honest person would take advantage of"
  - **Raghunath Prasad Sahu v Sarju Prasad Sahu (1924) 19 LW 470**
  - FACTS: Raghunath belonged to a rich affluent zamindari family had a dispute with his father and his father threatened him w/ criminal prosecution. To fight the case and get his share of inheritance, he borrowed 10K from a moneylender in 1909 @ compound interest of 24K by mortgaging his properties. In 1921, this amount owed had shot up to 1.12 L. He was unable to pay and made a plea to set aside the agreement on the grounds that it was vitiated by undue infleunce since it was an unconscionable bargain.
  - RULE: P claimed he was constrained by the criminal case, but court rejected this
    - When proving, the claimant first has to show that there was undue influence on the face of the issue- dom relationship, use and then undue, only after which it is the burden of the respondent to repudiate this claim.
      - In some relationships, proof of its existence + the transaction is enough for it to be Ui but in most other actual UI cases have to prove that relationship was one w/ trust and confidence +its use to get unfair advantage
    - So only urgent need is not proof of mental distress: Also here the person was not in such a mentally distressful position where he could have his will dominated by the moneylender
    - **All unconscionable bargains are not based on undue influence**
      - Unconscionable bargain could happen due to one's own folly and law does not protect you form this- only protects you from being victimized or exploited by another.
  - **Unconscionableness only points towards undue influence- creates a presumption of it-does not prove it.**

        - **This presumption will only arise if there is a relationship of dominance + that it induced entry into contract- something beyond ordinary circumstances-**
        - **Then the onus will shift to D to show that the bargain was clean- and had no undue influence**
        - Claimant had relied on : **Dhanipal Das v Raja Maneshar Baksh Singh 1906**
            - FACTS: Landlord had borrowed money from someone he knew well against his estate at an exorbitant rate. His estate was already under a particular disability that restricted it by court. He later pleaded undue influence.
            - RULE: Court agreed that there was undue influence:
                - Here there was restriction on the property so he was really constrained and tight for money. The moneylender would have known of the disability of the claimant and took advantage of him.
                - This is what makes this case diff from Raghunath' case
    - **Subhas Chandra Das Mushib v Ganga Prasad Das Mushib AIR 1967 SC 878**
        - FACTS: Grandfather of great age but actively managing his property transferred it to his grandson to the exclusion of his own sons 4 years before his death. Sons questioned the validity of the agreement on the basis of UI
        - RULE: The court found that though a relationship existed here, the transfer was made out of natural love and affection. There was nothing in the facts to show here that the agreement was on the face of it unconscionable.
            - They approved the principle in Raghunath for presumption of UI to arise. No presumption arose here given the above facts
    - **Lakshmi Amma v Talengalanarayana, (1970) 3 SCC 159**
        - FACTS: The father was ill and in a nursing home. He transferred almost of his property to only one grandson, w/ only a negligible provision for his own wife and daughters.
        - RULE: Courts found that the man was feeble, suffering from ailments and likely senile at the time of the document of transfer being prepared, the draft was not even approved by him but made by the D, who simply asked him to sign. The document was moreover unconscionable. Presumption of UI could arise here
    - **Rannee Annapurni Nachiar v Swaminatha Chettiar, ILR (1909-11) 34 Mad 7**
    - FACTS: There was a widow w/o proper means to sustain herself. She was also undergoing proceedings at this time for maintenance. She borrowed money at an exorbitant rate of interest (100%) to fight this case. She wanted this borrowing agreement to be vitiated on undue influence
    - RULE: Here there was no relationship b/w the moneylender and the women. But the court said that relationships do not just mean personal relations but **circumstances in which the contract was entered** into. Here her will could be dominated by the moneylender.
        - Example of mental distress that was exploited through undue influence- she was a vagrant women, poor, widowed
        - Court here just reduced the amount of interest

- Transactions of Guarantee
    - Tripartite arrangement b/w the lender, the borrower and the guarantor
    - Always done w/ security which is of greater value than the sum borrowed.
    - **Lloyds Bank v Bundy (1975) 1 QB 326**
    - FACTS: Mr. Bundy was a farmer whose son wanted to start a business. The son took a loan from Lloyd Bank and father became guarantor for the loan. The bank manager and Mr. Bundy had a good relationship of trust and confidence, having lived in the same village for long. Son's business was not doing well and he needed to borrow more money and could not repay the earlier loan either. The old bank manager was transferred and there was now a new one. The Manager said that more security was needed for the new loan. The son asked his father to mortgage his only house. When the signature of the father was to be taken, the manager also came home and 11K pounds was given. The son then defaulted. The bank decided to sell the mortgaged house

to recover the amount but the father would have no where to go

- ISSUE: Can the bank sell the house? Mr. Bundy wanted this agreement to be vitiated due to undue influence.
- RULE: There was a relationship of trust and confidence b/w the branch of the bank and Mr. Bundy- not just w/ the managers. So there was influence in this case and Mr. Bundy would rely on that.
  - Also inequality of bargaining power b/w father who loved his son and this bank manager
  - **So for guarantor transactions, they must have independent advice to prevent conflict of interest and any chance for undue influence. The bank has an obligation to provide this independent legal advise. This is now required by law in England.**
    - **If advise is not provided, the court can set aside the contract due to undue influence.**

- **Inequality of baragaining power**
  - **Denning:** *The English law gives **relief to one who, without independent advice**, enters into a contract on terms which are **very unfair** or transfers property for a consideration which is **grossly inadequate,** when his bargaining power is **grievously impaired by reason of his own needs or desires**, or by his **own ignorance or infirmity**, coupled with **undue in-fluences or pressure**s brought to bear on him by or for the **benefit of the other.***
  - But this idea was not approved by HoL. Only procedural unfairness can be assessed by the court and not the substantive unfairness in the contract- also used to underlie economic duress

- **2 types of situations:**
  - Actual undue influence: here all three main ingredients including how it was unfair, conduct
  - Rebuttable legal presumption of undue influence is raised: here just need to show relationship of trust and confidence + that transaction was of manifest disadvanatge (unactionable sort of) to the affected party
  - **BCCI v. Aboody 1990**
    - FACTS: Husband and wife had a strange relationship w/ her being 20 years younger and often bullied by him. The husband had mortgaged the matrimonial house to get a loan for his company w/ the wife being a guarantor, and even during this transaction, she was reduced to tears due to his behaviour. The wife wanted to set aside this agreement based on undue influence by her husband
    - RULE: This was actual undue influence since there was an unfair use of the matrimonial relationship between them. But still the court said that since the loan was for her husband's company she would get some advantage under the agreement and no manifest disadvantage, so the agreement was not set aside.
    - Many criticized this judgement and later on judgements rationalized that manifest disadvantage was unnecessary for actual undue influence cases
    - Manifest disadvantage is only required for raising presumption of undue influence
  - **Royal bank of Scotland v Etridge 2001 HL**
    - FACTS: 8 wives had signed as guarantors for their husband's business loans w/ their matrimonial homes up as collateral. The loans were defaulted and the banks were looking to claim these homes. Wnated to be set aside on UI
    - RULE: Removed the transaction of "manifest disadvanatge" to mean "call for an explanation" (not appropriate, makes it less stringent requirement)
      - Also matrimonial home mortgage cases are specifically unique since wife is a joint owner and has to sign for such cases and the home is imp for their lives and well-being
        - To avoid such undue influence being placed by husband on the wife to sign such agreements, the bank is required to provide for the wife a separate and independent solicitor to advice her
        - Bankers are put on notice if the agreement is manifestly disadvantageous to the wife
        - It is also risky to the bank, since the use of undue influence would lead to such agreements being set aside by the court
        - The wife needs to be provided w/ a solicitor with all the financial details of the husband for this purpose. But the husband's permission would be required to share such details. If the husband denies, then bank has all the rights to not go ahead w/ the agreement
        - If the solicitor is a family solicitor or acting for the husband, then does the wife need to go to an independent one?

- Court has ruled in case of fam solicitor, wife may be more comfortable w/ the same person
- Also economic since the fees could be more easily negotiated
- So no such need.

◇ Bank not responsible for deficient advice

- ***ECONOMIC DURESS:***
  - ***Universe Tankships Inc v International Transport Workers' Federation (1983) 1 AC 366***
    - FACTS: A worker's federation blacked a ship and without their labour, the ship could not be worked, unless the P agreed to pay a certain amount. P was suffering losses so they agreed to give the amount to D. P then wanted to set the agreement aside.
    - RULE: HoL allowed the plea using doctrine of economic duress and allowed recovery of the money paid
      - Here the ship was essentially detained by the D until the money was paid

- In India:
  - ***Central Inland water Corporation v Brojo Nath Ganguly SC 1986***
    - FACTS: The Corp had a policy that an employee could be dismissed at any point w/o explanation w/ 3 months notice or salary of 3 months in lieu of the time.
    - RULE: the SC said it was unconscionable and put it under contracts contrary to **public policy under sec 23** of the ICA.
      - Based on unequal bargaining power
      - The court however does not apply this principle when the parties have equal bargaining power or commercial cases where but there is a unfair agreement
    - Also applied where some economic harm is caused to the parties

- VOIDABLE AS PER 19(A)

III. MISREPRESENTATION:

- Sec 18: "Misrepresentation" means and includes—
  - **(1) the positive assertion, in a manner not warranted by the information of the person making it, of that which is not true, though he believes it to be true;**
    - Buyer beware only applies when the seller makes absolutely no assertions about the goods being sold.
    - You believe it to be true but there's no real evidence or basis for this- "not warranted by the info"
    - So not about 100% accuracy- if there is a genuine basis for your statement then misrep won't apply.
      - Sort of reckless statements.
    - This is why diff from fraud- in fraud the person knows the statement is not true but says it is true.
    - **Must be misstatement of facts and not opinion.**
    - ***Oceanic Steam Navigation Co v Soonderdas Dharamsey, ILR (1890) 14 Bom 24***
      - FACTS: D chartered a ship from P but there was misstatement of the capacity of the ship to be "certainly not" more than 2800 tonnes and this was problematic to the parties. They didn't have sufficent reasons to make this statement.
        RULE: This agreement was set aside due to misrep and "certainly not" indicated a positive assertion. The person had no real idea bout the ship and it was never at his port before, so he had no warrant to make such claims and believe it to be true.
    - Fact must be disclosed to him- if P chooses voluntarily to act on a generally declared fact, no misrep (Mohanlal v Sri Gungaji Cotton Mills Co, (1899-90) 4 CWN 369)
  - **(2) any breach of duty which, without an intent to deceive, gains an advantage to the person committing it, or any one claiming under him; by misleading another to his prejudice, or to the prejudice of any one claiming under him;**
    - CORE ELEMENT: Lack of intent to deceive the other party (Fraud - intent to deceive = misrep)

        - But the person was still deceived.
        - 'Duty' here is in a fiduciary like relationship
        - b/c so similar to fraud in terms of effect it is called "constructive fraud"
        - **Oriental Bank Corporation v John Fleming, ILR (1879) 3 Bom 242**
        - FACTS: A person was supposed to read over and sign a deed but in his hurry he didn't read it over, assuming under the impression of D that the deed mentioned the same things as discussed between them earlier. However later on it was found that things in favour of D had been added to the deed.
        - RULE: Although usually there is no duty on a person to disclose the nature and content of the deed but in this case P had placed his faith and trust in D and hence there was a duty to ensure there was no such breach and complete knowledge to the P.
- **(3) causing, however innocently, a party to an agreement, to make a mistake as to the substance of the thing which is the subject of the agreement.**
    - **Dambarudhar Behera V State of Orissa, AIR 1980 Ori 188**
    - FACTS: Forest dept. was selling some land to the buyer and they failed to disclose the facts to the buyer that a part of the forest was occupied by tenants. Here the fact was material enough that it's disclosure would affect the decision of the buyer, although having no intention to deceive.
    - RULE: fell under sec 18(3) since affects subject of the contract. Allowed claim of damages as well.
    - **Farrand v Lazarus, (2002) 3 All ER 175 (QBD)**
        - FACTS: The seller had put a disclaimer that the mileage reading was inaccurate. The mileage reading was in fact grossly understated. The seller knew the true mileage but did not divulge it
        - RULE: Though seller has no duty to positively disclose defects, the disclaimer was misleading since the difference was so grave. They were required to volunteer the truth. Amounted to mis rep
- ***So suppression of vital facts is part of mis-rep and can fall under subsec (2) or (3), if deals with any fact or subject matter, accordingly***
    - **R. v Kylsant (1932) 1 KB 442**
        - FACTS: Company published a prospectus in which it was stated that they were giving dividend annually to shareholders, implying that they were a profit making company by common knowledge. However, this was being paid from accumulated profits and not current profits. This fact was not disclosed in the prospectus.
        - RULE: The court said that this fact was material and its suppression amounted to mis-rep.
    - Ex: Like failure to disclose qualification of spouse, infertility, mental illness, previously married or has children etc are all material facts for a marriage contract and allows the marriage to be voided or void.
    - **What is a vital fact?** Reasonable man test of whether this fact would affect whether it would affect the volition of reasonable man in entering the contract.
- MATERIAL FACTS
    - **Facts in question must be material for it to be misrep**
    - Can't be commendatory expression- "looks great on you!", "can't find this anywhere else" etc
        - Material means something so imp it is decisive on the basis of which the entry into the contract hangs.
            - It must be something which induced the party into the contract. (sort of 'but for' for contract)
        - **It may also depend on the party- like if they say some fact which may seem petty is imp for them, then this would constitute a material fact.**
        - The misstatement must be operative- it must have actually caused the contract
    - Change in these not disclosed is misrep see O' Flannagan
    - MEANS TO DISOCVER MISREP
        - EX: Case 1: Car is said to be 25 mileage, actually turns out to be 15- can rescind
            - Case 2: Car is tested out for 2 days and after 2 days the car is bought and then same mileage is seen- cannot rescind since 2 says gave means to discover falsity of statement before entering the contract.
            - Case 3: Car is taken to test for 2 days but actually not driven during this time- can rescind

- INDIAN LAW: If there is means to discover the truth then you must exercise due diligence and if such an opportunity, misrepresentation cannot be applied to rescind the contract. You cannot rely simply on the other party to act in good faith.
  - **Balraj Chibber v NOIDA, 1995 All LJ 1513: (1996) 27 ALR 10,**
    - FACTS: allotment of plots to members of a society, allotment to some of the allottees was cancelled on the ground that they misrepresented to be members
    - RULE: the cancellation was set aside because they proved their membership in fact; even otherwise the truth of their membership could have been easily discovered
  - Rice case- could check w/ due diligence so exception comes into play
  - Under English law however, you can rely upon someone's statement and is not expected to exercise due diligence. If there is means to test the statement, then if you do not use the means and rely on the statement then you can sue for misrep since the person misrep cannot put the blame on the victim that they should have checked.
  - **Redgrave v Hurd 1881) LR20 ChDl**
    - FACTS: Medical practice was for sale. Seller had misrep the income of the practice but had handed over documents regarding such to the buyer. Buyer gave a cursory glance and agreed to buy. Later on discovering the misrep, the buyer sued for misrep
    - RULE: Held that though there was opportunity to discover the misrep, P finally depended on the false statement. D cannot escape his liability by imposing a duty to inspect on the other. "If a man is induced to enter into a contract by false representation, it is not sufficient answer to him to say: If you had used due diligence, you would have found out that the report was untrue." George Jessel MR

IV. FRAUD:

- **Sec 17: "Fraud" defined.—"Fraud" means and includes any of the following acts committed by a party to a contract, or with his connivance, or by his agent, with intent to deceive another party thereto of his agent, or to induce him to enter into the contract:—**
  - **(1) the suggestion, as a fact, of that which is not true, by one who does not believe it to be true;**
    - Projecting something as fact which I do not believe to be true.
    - Here does not need to be positively aware of the falsity of the statement
    - So not 'knowing it is false" but only "believing it is not true"
    - **Derry v Peek (1889) LR 14 AC 337**
    - FACTS: A company wanted to run trams run by steam which requires approval by Parl. Company's prospectus stated that they had recieved this approval and made contracts on this basis. Because of regulatory norms, some more permissions required were denied to them for the usage of steam and the venture could not be started. The parties who had entered contracts w/ them alleged fraud against them.
    - RULE: HoL, said this is not a case of fraud. Fraud is proved when:
      a) False rep has been made knowingly, or
      b) w/o belief in its truth, or
      c) Made recklessly w/o knowing if it was true or false.
      - The parties here genuinely believed that after Parl approval, they could go ahead w/ their business- so had no intention to deceive neither believed the approval to be false
      - So fraud must be **intentional**

  - **(2) the active concealment of a fact by one having knowledge or belief of the fact;**
    - Common law does not create obligation to speak the truth (unless special circumstances like fiduciary where there id duty to speak) - so staying quiet ≠ fraud
      - ECONOMIC justification: mainly inefficiency in stock markets b/c the buyer in would then be obligated to disclose to the seller that he expects prices to go up and this would defeat his purpose to buy.
    - Active meaning through some positive act, not omission

- **Explanation.—Mere silence as to facts likely to affect the willingness of a person to enter into a contract is not fraud, unless the circumstances of the case are such that, regard being had to them, it is the duty of the person keeping silence to speak , or unless his silence is, in itself, equivalent to speech.**
  - **WHEN SILENCE AMOUNTS TO FRAUD:**
  1) ***Duty to speak***- *uberrima fide contracts (or a relationship which implies this) Ex: Insurance contract are made in utmost good faith and trust- uberrima fides- b/c the party seeking insurance is the only one who would know of their condition in the truest sense and such facts are material to measure the risk appropriately.*
  2) *When there is no means to discover the truth of the other party and has to depend on the other's statements wholly.*
  3) *When silence is = deceptive- like placing a duty to speak- like "if you don't say anything, I will assume everything you say is the truth".*
  4) *Change in* ***material circumstances****, where the party does not disclose the change also amounts to fraud- in those case where contract negotiations go on for a period long enough for such changes to happen. (also applies to misrep)*
     - *With v O' Flanagan 1936 Ch 575 (CA*
       - *FACTS: The party was selling their practice to the other. The seller said that their clientele was fairly regular. But the seller suffered some illness due to which the clinic witnessed a decline in the patients being seen when negotiations were ongoing. After the sale, the buyer relaised this and charged the seller w/ fraud*
       - *RULE: here silence relating to changed circumstances amounted to fraud*
  5) ***Half-Truths:*** *Either say nothing, or speak the whole-truth- no selective disclosures allowed even if initially the person has no obligation to say anything.*
     - *Junius Construction Corpn v Cohen, (1931)257 NY 393*
       - *FACTS: an area of land was sold whrein it was disclosedt hat the borough had a right to build 2 streets but in relaity it was 3.*
       - *RULE: Held no duty to say anything, but only misleading partial truth cannot be divoluged*
         - *"What we say is merely this, that having undertaken or professed to mention them, he could not fairly stop halfway." Cordozo Cj*
- **(3) a promise made without any intention of performing it;**
  - *Classic fraud- motivated by typing up a person since cannot enter another contract*
  - *At the time of formation of contract itself, party had no intention to perform it.*
  - *Miss Shireen v John James Taylor (Marriage Contract)*
  - *FACTS: The P was working with the Indian Army and was 20. She met D, they liked each other and got married. But due to her infancy, she was required to get consent from her mother who did not give her blessing. They got married, lived together for a brief period of time and then he moved to a new posting and stopped replying to her. She wrote letters to him but received no response. Later she found out that he had repatriated to his Homeland of England. One day he finally replied to her, telling to stop replying and that he was 'disgusted by her letter and self-pity". She filed for annulment based on fraud and her infancy.*
  - *RULE: The court ruled that another ground for annulment was that he had no intention of actually being her husband, and only wnated her for temporary pleasure. This is pointed out from the short time they spent together and his silence thereafter. So the amrriage was declared null and void.*
- **(4) any other act fitted to deceive;**
  - *Since fraud needs ingenuity, this section is kept open-ended*
  - *Must have obvious intention to deceive*
- **(5) any such act or omission as the law specially declares to be fraudulent.**
  - *Ex: property law mentions certain acts, IBC has it, Co Act frauds*
- *Doing* ***any*** *of these 5 would amount to fraud.*

- *MATERIAL FACT:*
  - *Essential all the statements that are actual made in the contract and if there are changes in these needs to be*

informed to the other party.

- **Smt Bindu Sharma v Ram Prakash 1997 AIR All HC**
  - FACTS: P filed a petition for decree of divorce on the ground of fraud and cruelty. Fraud alleged was that when the proposal came, it was stated that D was a chemist in a sugar factory and he was a science graduate w/ a 17K salary. She later on found that, through their dowry claims, that D had been retrenched. And later they found that he wasn't even an employee but only had a 6 month apprenticeship w/ only an option of employment. She argued this was fraud, since her consent to marriage was based on this fact.
  - RULE: Trial court disagreed and said that lack of job was not a material and finally used 'caveat emptor'. She appealed and HC said that the fact hidden must be a material fact in the formation of the marriage contract. It would vary from case to case but it must be vital to induce another party to enter into the contract. The court agreed that employment of a prospective bridegroom is a material fact, esp in arranged marriage and this would not be applicable in love marriage since "love sets no bound".

RECESSION

Sec 19- RECESSION

- To party whose consent was not free has the option to choose, elect to void the contract- hence voidable at his option.
- If he chooses to continue w/ the contract, then the contract must continue and the party who gets consent through any of these factors does not have the option to now say that the contract is vitiated due to lack of free consent
  - This choice can also be exercised by some act affirming the contract
- To rescind the contract, the party can either do to court to get a decree of recession or else can on their own send a notice to the other party clearly stating that the contract is being rescinded
  - But what about for swindlers- how can you send notice?
  - **Car & Universal Finance Co Ltd v Caldwell (1965) 1 QB 525**
    - FACTS: Someone was duped in selling his car. He complained with the police.
    - RULE: Here his act of conveying to the police was an overt act that conveyed the vitiating circumstances and hence this can be conisdered recession.
  - **Official Receiver v Jugal Kishore Lachhi Ram Jaina AIR 1963 All 459**
    - FACTS: P had received railway receipts for goods which the D seller had sent him and instructed his bank to pay 15K to the seller. he realized the receipts were bogus and instructed the bank to withhold the payment. Before P could notify D, an insolvency judge disallowed the bank from paying the money to either party
    - RULE: The initial instruction had given a defeasible title (a voidable title) to goods to D, but the later instructed had defeated this. P was entitled to the money.
  - RECESSION COMMUNICATION LIKE REVOCSTION OF PROPOSAL/OFFER- sec 66
  - But up to the recession, the contract remains valid
  - SO TILL WHEN CAN YOU RESCIND THE CONTRACT:
    - Law requires you to do it at the earliest or in a reasonable amount of time
    - This is to ensure security of third parties to the contract.
  - Recession should allow restitution:
    - But money is problematic since we do not know where the money came from
    - **Sec 64: When a person at whose option a contract is voidable rescinds it, the other party thereto need not perform any promise therein contained in which he is promisor. The party rescinding a voidable contract shall, if he have received any benefit thereunder from another party to such contract, restore such benefit, so far as may be, to the person from whom it was received.**
    - Also by undue delay in filing for restitution, more people may be collaterally involved and the situation may change and this may restitution difficult
    - Substantial restitution is most often allowed- like will not refuse restitution due to some small change in the thing that needs to be returned.
    - Restitution ad integrum is the principle: restitution to extent of position where parties where before the contract was entered into. But subject to case facts how much is practicably possible
- Sec19A: UNDUE INFLUENCE AND RECESSION:

    - Here the court can also adjust the contract terms- in other cases the court can only enforce or rescind it
        - Like adjustment of interest rates in borrowing contracts to some reasonable rate
        - So no unjust enrichment of any party, even defrauding party
    - Undue influence is different to other types of vitiating circumstances since here P may not even realise that they have been influenced and wronged till much later so that's why separate provision given in ICA.
- Compensation for Recession: sec 75!

Tutorial 5: Free Consent

☐ See Avtar for case facts

Thursday, 4 March 2021 12:59 pm

- Techniques of coercion:
  i. Act forbidden by IPC:
    - Ex: Threat to Inst a charge of criminal prosecution is not forbidden by IPC so not coercion
    - Threat to inst a false charge is however forbidden by IPC sec 211 (False charge of offence made with intent to injure)
    - **Askari Mirza v. Bibi Jai Kishori**
    - FACTS: Minor borrowed money on 2 deeds and entered into a compromise with D that he'll enforce the contract to avoid D's threat of criminal prosecution for lying/fraud about his age.
    - RULE: Court said that this threat was in itself not punishable by IPC and hence this contract is voidable at the option of the P.
  ii. Detention of property unlawfully
    - The reason this is separate from IPC, is that English Duress does not cover property usually so this had to be added

UNDUE INFLUENCE:

- "Ability to dominate the will of another"
  - "but for the influence exerted" by the domiannt party, this contract would not have entered the contract.
  - So the relationship of dominance /w them is essentially a sine qua non
  - **Mannu Singh v. Umadat Pande All HC**
  - FACTS: A guru had a disciple whom he induced to give him his entire property for enlightenment and peace in the afterlife and next life and the disciple agreed.
  - RULE: Court said that no reasonable man would do this, 'but for' the existence of the influence of the guru and his undue influence over the disciple
- "Relations involving dominance"
  - Or unequal footing of parties
  - Deemed to hold dominance:
    - Real or apparent authority
      - EX: Real authority: IT Officer and assessee, police officer and accused.
    - Fiduciary relation
      - When absolute faith and trust is placed among parties
      - Given this option since very easy to exploit
      - EX: Attorney client, trustee and manager, spiritual advisor and disciple, parent and child, doctor-patient
    - And mental distress of one party- like stress, incapacity, illness, old age
      - Urgent need of moeny however is not default = mental distress
        - Comparison b/w Raghunath v. Rannee Nachiar cases.
      - Statutory compulsion cannot be called mental distress or coercion
- Burden of proof
  - Dual test for P to prove:
    i. Position to dominate the will
    ii. Actually used such infleunce to obtain the consent

- But proving (1) only allows presumption that he must have used such a dominance and it's for D to disprove it.

i. Unconscionableness: contract is apparently unfair
    - **Wajid Khan v. Raja Ewaz Ali Khan**
        - FACTS: AN old women gave all her pecuniary benefits to her manger as a confidante for negligible consideration.
        - RULE: Here the court said, that it appeared from their relationship that there was influence when such contract happened and hence the contract was unconscionable and voidable
        - Unconscionable agreement alone does not lead to presumption of undue influence:
            - From the Raghunath case- need to show position to dominate will before such presumption arises
        - Unconscionable gift:
            - Like a parent giving their complete property to one child to the exclusion of others
        - Relationship of blood, marriage or adoption is not sine qua non- just need to show dominance
            - So presumption would not arise
            - **Subhas Chandra Das Mushib v. Ganga Prasad Das Mushib**
            - FACTS: A man gifted his property to his only grandson to the exclusion of his sons as well. He was of old age and dies 4 years later and was taking very clear interest in his property. 4 years later, one of the sons claimed this was based on undue influence
            - RULE: the man was taking active interest, he gifted it from natural love and affection, so no presumption of undue influence here.

ii. Inequality of bargaining power
    - Llyod's bank case
    - Not same as persuasion

iii. Economic Duress by forcing renegotiation of terms
    i. Exploitation of needy:

A Schroeder Music Co v Macaulay

FACTS: There was a songwriter. The company hired him, for a contract of 5 years which may be extended by another 5 years if the songwriter's royalty has been raised to 5000 pounds by then. The company extended the contract at the end of the 5 years. A clause also said that the company can fire the person at any time with one month's notice. The company could fire him, but he could not quit. He approached the court for the same.

RULE: The court said that the company was in a position of authority over the other person, and therefore have misused his vulnerability. It is a case of UI.

- PARDANASHIN WOMEN:
    - Presumed that she was under undue influence when the contract was entered
    - D has to show that contract was fully explained, understood by her and then entered by her through her won free will
    - Since "Pardanshin" is not defined court ruled that only partial seclusion is does not come under this category
        - Must be someone "totally secluded from ordinary social intercourse"
    - **Kalibaksh Singh v. Ram Gopal Singh**
    - FACTS: A woman was dying, she was a widow and pardanashin. 2 months before her death, she gifted half of her property to the son of her lover, and the lover was also her estate manager. There was no

independent advice given to her

- RULE: The conditions showed exertion of influence her and this was undue.

RECESSION:
Sec 19 A

So 1) Prove position

1. Then presumption of undue influence
    i. Then show either unconscionable, mental distress, pardanashin, economic duress

Tutorial 6: Misrep v. Fraud

Saturday, 13 March 2021 12:09 pm

MISREPRESENTATION:

TYPES:

1. Unwarranted Statement:
    a. Assertion of a fact
    b. Which the person who says it cannot assert w/ the info he has
        - Warranted: The info received cannot be hearsay or like a rumour- it must be from a known /trustworthy source.
    c. But still believes the statement to be true.
    - When can we ask for damages rather than avoid the contract:
        - When rep acquires the status of being a term of the contract - since it would breach the contract as well
        -
        - Land was purchased for a construction of a duplex, and the seller asserted the land was ready for this purpose. But only later the buyer found out that building a duplex required a permit, and this was not allowed since there was a sewerage issue. Therefore, the contract could be performed and this was b/c of mis rep so damage allowed.
2. Breach of duty
    - Breach of some duty that creates prejudice against the affected party- hence called "constructive fraud" since same effect as fraud but no intention as per Courts of Equity.
3. Inducing mistake about subject matter
    - Relating to nature, value, quality of a subject matter
    - EX: A secondhand car salesman attached a disclaimer to the car saying that the odometer was showing an understated mileage, inspite of himself knowing the true mileage. Here this was considered misrep since the mileage claimed was materially different.

- Cannot be mere expression of opinion, if it is a false opinion:
    - Opinions can also become facts in some cases though
    - Can be judged based on whetehr both parties has equal access to the facts- symmetry of knowledge of facts
    - If there is asymmetry of facts however, often involves statement of material fact since having more knowledge or access to facts would allow for a more informed opinion
    - **Bisset v. Wilkinson**
        - FACTS: The seller of the land knew the purchaser wanted land for sheep farming and opined that 2000 sheep could be carried on the land. Later it was found that the land was completely unsuitable for sheep farming and purchaser sued for misrep.
        - RULE: Court did not set it aside and said that both parties knew that the land was being sold for sheep farming and the purchaser knew that no one had farmed sheep on this land beofre so this statement was only an opinion and no statement of fact.
- State of mind is statement of fact not opinion- shows intention which is imp
    - **Edgington v. Fitzmaurice:**
        - FACTS: A company mentioned some X reason for raising the capital through debentures in the prospectus but in reality it was some Y.
        - RULE: Court however said that "State of the mind of a person is as known as the fact of digestion" and hence here the claim that the company had simply changed their minds is not
    - BUT FOR TEST: The mis-rep or fraud must have caused the person to enter the party. The other party must have used the statement to induce the other to enter and the other party must have relied on this to enter the

contract

        - So if the statement was made to someone else, and some third party thinking it to be true acts on it, then he cannot complain of misrep- since misrep/fraud not made to him.
    - In cases of fraud, cannot shift the blame on the victim.

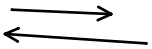
TEST 1 ANSWER:

- The payment was a consideration precedent to keep the offer open. 10 days were given and he stuck to the time period- he simply altered the amount.

Mistake

Friday, 5 March 2021 9:42 am

Meeting of minds



No meeting

- Can vitiate consent of parties as per sec 14
- Here nobody is doing anything mala fide, but parties are mistaken
- Can happen in multiple ways:
- Sec 20: **Where both the parties to an agreement are under a mistake as to a matter of fact essential to the agreement, the agreement is void.**
    - **Explanation.—An erroneous opinion as to the value of the thing which forms the subject-matter of the agreement, is not to be deemed a mistake as to a matter of fact.**
    - Here it is void ab initio unlike frustartion.
  - Must be mistake of both parties for this unlike in other vitiating factors where only party is in the dark.
  - Must be due to a mistake of fact
  - Fact must be essential to the agreement
  - Therefore must be careful w/ this factor since can be misused to escape liability
  - Based on sec 13: Consent is agreeing on the same thing in the same sense.
- 3 categories of mistake:
  i. **Unilateral:** this does not render an agreement void- sec 22:
    - **A contract is not voidable merely because it was caused by one of the parties to it being under a mistake as to a matter of fact**
    - Have to apply the test of objectivity and reasonable person for this purpose.
    - For an agreement to be avoided on the basis of unilateral mistake, it must be shown:
    i. One party erroneously believed that the document sought to be rectified contained a particular term or provision, or possibly did not contain a particular term or provision which, mistakenly, it did not contain;
    ii. other party was aware of the omission or the inclusion and that it was due to a mistake on the part of one party;
    iii. party who was aware of the mistake omitted to draw the mistake to the notice of the other party
    iv. the mistake must be one calculated to benefit one party.
    - If extremely grave, can be void under 13, but not 19

  ii. **Common mistake**
    - Sometimes fact **nullifies the consent:** meaning there was once consent but it is not anymore- there was appearance of consent- but had they been aware of the premise, they would not have entered the agreement at all.
    - EX: A has a horse he wants to sell to B for 1L. B agrees. But either knew that that horse had already died earlier that day.
      - Here the mistake is in the matter of existence of the subject of the horse.
      - And the fact is essential to the agreement
      - Here though there was proper consent on both parties, but after knowing this fact, there is no point in enforcing this contract now at all.
      - This is a common mistake
      - Here the mistake is wrt to some fact of the contract, not w/ each other.
      - This is similar to frustration since it is now impossible to perform the agreement.

  iii. **Mutual mistake:** when both parties are mistaken in different ways and 'lost' - then sec 20 is applicable
    - EX: A has 2 horses- one white and one black. A wants to sell his white horse to B for 1L but B wants to buy the black horse, and neither knew that they were taking of different things.
    - Here the parties are said to be at "cross purposes"- so here there has never been a meeting of minds nor consent
    - Here this deviation has **negatived the consent**
    - Not agreeing upon same thing in same sense, but believing we are
    - Here there is misunderstanding about each other
    - Raffles v Wichelhaus (1864) 2 H&C 906 (different subject matters)
      - FACTS: A told B to send some goods on a ship named "*ex peerless*". A however did not receive the goods and hence complained to B. B however said that the ship had not even left yet and would only leave in the next month. A however meant a ship which left the previous month. The fact was that there were two ships w/ the same name leaving in a gap of two months.
      - RULE: Here this case **negatived the consent** of parties since there was no meeting of minds.
      - This is why the contract doesn't come into existence at all and is such contracts are void ab initio

- **Tarsem Singh v Sukhminder Singh, (1998) 3 SCC 471**
    - FACTS: One party assumed land was being sold per bigha while the ohter thought it was being sold per kanal.
    - ROLE: Court ruled here there was a mutual mistake as to the subject matter of the contract since this essential fact was mistaken. Court also added here that no part of the agreement is enforceable **unless it is severable from the void features** and is capable of supporting an independent contractual tie

- Threshold to apply mistake is therefore quite high to void a contract.

- **Bell v Lever Bros 1932 AC 161 (HL)**
    - FACTS: A person was hired and performed well in establishing their business. After sometime they wanted to let him go. They made him an offer to leave, providing compensation of 30K pounds for premature termination of the contract. They paid him the amount and after he left, the employers discovered that he had made pvt profits from his position which would have allowed them to terminate his services w/o paying him an compensation. Therefore, they wanted to plead that this employee was not entitled to receive the compensation and that the contract was void due to mistake of fact essential to the contract.
        - Here the unilateral mistake was considered a ground to make it void- like mistake of identity through fraud.
    - RULE: Court did not consider this mistake
        - Mistake as to quality of the thing contracted for raises more difficult questions. In such a case a mistake will not affect assent **unless it is the mistake of both parties**, and is as to **existence of some quality which makes the thing without the quality essentially different** from the thing as it was believed to be...Lord Atkins
        - Meaning the mistake renders the contract impossible- a very high threshold of mistake is imposed.
            - So even a fake painting is not radically different for mistake to apply as per the law.
            - Mistake regarding the quality of a thing does not render the contract void, unless the quality renders the thing fundamentally and radically different.
                - So parties are given a small window to argue that the change is fundamental.
                - Exception clauses in contracts which protects sellers from inferior quantity being supplied is only allowed when the thing can still be called as that category
                - EX: Contract to sell potatoes- of they are the worst quality, the clause still protects from liability, but if they are so rotten that they no longer can reasonable be called 'potatoes' then the clause cannot be pleaded.
            - The way to avoid this is to get a warrantee or some other clause to make the other party liable if there is a change in quality.
        - The court said that P wanted termination of the employment contract and they got it, the only difference being the amount paid to get this to happen. So only quality of this agreement changed.
        - **Magee v Pennine Insurance Co Ltd**- similar case where there was an insurance contract made based on a misstatement of fact. There was a compromise decided for a claim but beofre it was paid the insurnace company came to know of the misstatement- unlike Lever Bros who came to know only after paying- so here the fundamaental mistake allowed the plea.
            - Said agreement to pay money in final settlement under a contract of insurance in which there were false statements has been held by the Court of Appeal t**o be voidable at the option of the insurance company.**
        - Criticism: here even 50K pounds difference was not enough to make this void, so what even is the threshold?
            - Mistake doesn't take into account consideration since consideration is a matter of freedom of contract and that cannot be dictated by the court.

TYPES OF MISTAKE:

1. **Mistake in relation to subject matter:**
    - Can render agreement void on account of mistake

    i. **Gustavus Couturier v Robert Hastie (1856) 5 HL Cas 673**- (Non-existence of subject matter)
        - FACTS: A was the owner of shipment of goods from some port. Such goods can be sold even while in transit. A sold the goods in such way to a B. But later it was found that the goods were not delivered to B since the goods were destroyed in transit and the captain had sold them for whatever worth they had at that point and this happened even beofre the sale b/w A and B. A could argue here that the agreement was void since the subject matter of the contract was non-existant at the time and neither A nor B knew of this material afct
        - RULE: Agreement held void.

    ii. Cross-purpose mistake (Raffles case)

    iii. Mistake of right or title deed
        - **Cooper V Phibbs**
        - FACTS: Uncle believed mistakenly that he was the owner of a fishery. He told his nephew that after his death

the fishery could be taken for rent from his daughter. In actuality, the fishery was owned by the nephew himself.

- RULE:"Corresponding to mistake as to the existence of subject-matter is mistake in cases where, unknown to the parties, the buyer is already the owner of that which the seller purports to sell to him. The parties intend to effectuate a transfer of ownership: such a transfer is impossible
- **Ismail Allarkhia v Dattatraya, ILR (1916) 40 Bom 638**
  - FCTS: C presented himself fraudulently as his brother and mortgaged his bro's property to D. D then transferred his interest in the same to P. P insisted that the owner be a part of this transfer so C did as said. It was later found that C was not the owner at all and had no right to pursue either transaction.
  - RULE: Since both P and D were mistaken as to the title of the subject matter, the contract was set aside, void as per sec 20.

iv. Mistake as to substance of subject matter:

- Substance, nature or quality
- **Sheikh Bros Ltd. v Ochsner**

  FACTS: P leased out land to R. R grew some crop on this land named sisal and the agreement was that in return R was supposed to manufacture and supply 50 tonnes of sisal fibre to P. But later it was found that the land in many areas could not support as much sisal as earlier thought due to its qualities and hence the quantity agreed was simply not capable of being produced.

  RULE: Held that since both parties were ignorant of this material fact, the contract was void.

- Quality v. Substance of subject matter:
  - Whether change in quality of a good is a mistake capable of rendering the contract void.
  - **Smith v Hughes (1871) LR 6 QB 597 (DC)**
  - FACTS: there was an agreement to sell oats for a certain quantity. The seller showed a sample to the buyer and the buyer thought it was aged oats but it turned out they were not of that age. Whether buyer could not be forced to honour this contract since age of oats was essential to the agreemnt
  - RULE: Said all that could be said was that two aprties were no ad idem as to the age of the oats but were ad idem as to the sale and purchase of the oats. The contract was to simply sell oats, no the age. So the mistake was not related tot he subject or substance of the contract but quality of the contract.
    - So mistake must relate to substance of subject matter, not quality
    - Substance is the subject of the agreement, quality are the characteristics of the contract subject matter
  - **Bell v. Lever Bros** as well:
    - RULE: The contract was only w/ relation to termination of employment and this was the substance. The amount paid thereof is only quality.
  - **Great Peace Shipping Ltd. v. Tsavlris Salvage Ltd. 2003**
    - FACTS: There was a ship in distress which needed immediate help. They tried to find available rescue ships. They were able to locate Great Peace who had a nearby ship for this purpose, thinking it to be 35 miles away. But after the conclusion of the contract, they realised the distance was actually 410 miles! They found out another ship for rescue. Later on they cancel the contract with Great Peace and refuse to pay the amount, pleading mistake.
    - RULE: Court said this is not a case of mistake. If the rescue was not possible, then we could say that the subject matter was impossible and the contract could have been set aside. They needed timely help in this case. Within the relevant time if rescue was possible, then the contract could not be held impossible or void.
      - Court said agreement was not meaningless b/c even after they discovered the fact, the did not cancel the contract but looked for alternatives, and kept this contract as a backup.
      - So here the time taken for rescue was only a quality related to the subject of timely rescue.
  - **Nicholson & Venn v Smith-Marriott, (1947) 177 LT 189 (KB)**
    - FACTS: It concerned a sale of table napkins with possible historical value. There was a mistake as to the age and value of the napkins
    - RULE: Court ruled that 2 situations could occur:
      a) If it was found that the **intention** of the parties to the contract was to procure napkins, then the historical value would be an added quality and this would not amount to an operative mistake to void the contract
      b) If the intention was to procure a Carolean relic (the historical charcter of the napkins), the this would be a fundamental and operative mistake and render the contract void.

2. **Mistake in relation to identity of the person:**
   - You have to prove that the identity of the party is imp to the contract.

- Ex: A wanted to get a portrait done by B but it was actually a C with the same name who was contracted with instead. Here B's skill and name is imp so identity is imp.
- Very rare where both parties are confused or each other's identity.
- Instead what usually happens is that it involves fraud as well since other party mis-presents themselves as someone else-so unilateral mistake
  - The agreement here is void if we can prove the imp of identity
- **Boulton v. Jones (1857) 27 LJ Ex 117**
- FACTS: A owns a shop and has borrowed some money from B. A then sells his business to C. B then places an order with the shop to set off the loan, not knowing that the business had been bought over by C. C supplied the goods and sent an invoice as well. B only then realises that C is now the owner and refused to pay.
- RULE: Here the reason for the order was that A had borrowed money. So identity was important and the contract was void.
  - Bramwell B said: "When anyone makes a contract in which the personality, so to speak, of the particular party contracted with is important, for any reason, whether because it is to write a book or paint a picture or do any work of personal skill, or whether because there is a set-off due from that party, no one else is at liberty to step in and maintain that he is the party contracted with.
- **Hardman v Booth (1862) 1 H&C 803**
- FACTS: The plaintiffs, meaning to deal with Thomas Gandell & Sons, went to their office and took an order from a person who represented himself to be a partner in the firm. He told the plaintiffs that the goods should be sent in the name of Edward Gandell & Sons. He received the goods, carried them away and sold them to the defendant, a bona fide buyer. The plaintiffs sued the defendant to recover their goods
- RULE: Court held that by going to the firm, the P had shown that identity was imp to the contract and hence the contract was void on account of mistake of identity. There was clearly no consensus ad idem so no real contract at all.

Attribute v. Identity

- There can be mistake of identity only if the P knew of the person whose identity was assumed since only then can P claim that he intended to contract with only the person with such an assumed identity.
- **James Cundy v Thomas Lindsay (1878) LR 3 AC 459:**
- FACTS: P received orders in writing from a fraudulent man, called Blenkorn. The order papers had a printed heading: "Blenkiron & Co, 37 Wood Street'. There was a well-known and respectable firm, named Blenkiron & Co in the same street. P believing that the orders had come from this firm, sent a large quantity of handkerchiefs. Blenkarn received the goods and disposed them of to the defendants, who acted in good faith. The P sued D.
- RULE: Held that it was mistake of identity.
  - Law presumes that in the case of inter-absentees type contract, a person wishes to contract only with the identity presented since there is no way to check the identity.
  - Again no consensus of who they were contracting with so void.
- **King's Norton Metal Co Ltd v Edridge, Merrett & Co Ltd (1897) 14 TLR 98 (CA**
- FACTS: Aman named Wallis adopted the name of 'Hallam &c Co', **a non-existent firm**, and by letters placed order for some goods with the plaintiffs who complied with the order by sending the goods. Wallis sold the goods to the defendants, who acted in good faith. The plaintiffs sued the defend ants for the value of the goods.
- RULE: Court distinguished Cundy from this case and said that for mistake of identity there must be some real form or perosn who shares the same name and hence here the contract was no void.
  - Here it could only be made voidable on account of fraud if anything
- There is a distinction made by law in terms of contracts made by writing- "inter-absentees" or "not face to face" like through post at all and made face-to face-"inter-presentis" or " in the presence of each other".
- Law creates a presumption that **you wanted to enter a contract w/ the person in front of you** in "interpresentis" contract- irrespective of the identity he assumes. The reason for the distinction is that a face-to-face type allows you to sense and test the identity of the other. So law considers this a "mistake w/ respect of **attribute** of the person"
- **Phillips v Brooks Ltd (1919) 2 KB 243**
  - FACTS: A man went into as store bought rings and pearls for 3000 pounds and said that he would pay P through cheque. He signed the cheque as "Sir George Bullough" which P checked through the directory. P allowed the man to take the ring now, claiming that he needed it to gift his wife. He absconded and pawned the ring to D and P sued D.
  - RULE: Here since it was inter-presentis, held that the contract was not void but only voidable.
- **Ingram v Little (1961) 1 QB 31**
  - FACTS: 3 ladies who were co-owners of a vehicle were trying to sell it. One man agreed to pay them by cheque but they refused to sell for cheque. The man then presented himself as a business tycoon Mr. Hutchinson, quoting identifiable contacts. They checked the details given in a directory and accepted the

check. The man absconded and sold the car to D and the cheque was bogus.

- RULE: the court ruled here that unlike the usually presumption that the person intends to contract w/ the person physically present in front if him, in this case, the ladies had made it it apparent how important it was to them that the person was in fact Mr. Hutchinson. Hence there was no consensus to sell to this man and no contract. D was held liable since a void contract cannot transfer title to him.
  - Devlin Lj dissenting said a new approach was required b/c here the innocent D buyer was held liable while the actual culprit absocnded.
  - D's title should not have to depend on the state of contract between the P and the fraudster.

- **Lewis v Averay (1972) 1 QB 109**
  - FACTS: P had to sell his car. A man representing himself as the film actor Richard Green tested the car and offered a cheque. P told the man to wait till the cheque cleared but due to his impatience, P asked for some proof of identity. The man presented a film studio pass w/ the name claimed and his picture. P handed him the car, the man absconded and sol it to an innocent buyer and the cheque was bogus
  - RULE: the court here ruled that the contract could not be avoided but only voidable due to fraud. This was based on the criticism to Ingram.
    - It cemented the proposition that the seller only intends to contract with the person in front of him for interpresentee contracts, irrespective of his claim or proof demanded. This is done to prevent the innocent buyer from being divested of his title simply b/c the original contract is void due to mistake.
    - Lord Denning "Again it has been suggested that a mistake as to the identity of a per son is one thing; and a mistake as to his attributes is another. A mistake as to identity, it is said, avoids a contract, whereas a mistake as to attrib utes does not. But this is a distinction without a difference. A man's very name is one of his attributes. It is also a key to his identity. If then, he gives a false name, is it a mistake as to his identity? Or, a mistake as to his attributes? These fine distinctions do no good to the law"
- BUT if identity extremely imp/material for the contract, then this rule does not apply
  - **Said v Butt:**
    - FACTS: P having bad relations w/ a theatre owner knew he could not get a ticket for a performance and hence asked his friend to procure it for him. He was denied entry into the event and sued the owner for breach
    - RULE: Court find that there was no contract b/w P and the theatre since he was a third party to the transaction. Also here his identity was an imp aspect of the sale so mistake voided the contract.
- **Shogun Finance v Hudson HoL 2003**
  - FACTS: A person presumed a false identity and purchased a vehicle on hire-purchase basis from a dealer by forging a driving license of one Durlab Patel. The dealer then contacted P to get the financial crediential checked which they approved. Based on this the car was sold to this fraudster, without P ever meeting the fraudster and based only on the documents he sent them. The fraudster then sold it to an innocent third party D. The P company sued this third party.
  - RULE: Court followed Cundy and said that being inter-absentees the contract was void. The Phillips rule would not apply since the dealer was the only one who had face-to-face contact w/ the fraudster and not P.
    - Dissenting judges preferred to follow the Lewis type rationale that the innocent buyer should be protected more strongly then the selling party who took the initial risk to sell.

- In general, the courts have various rationales- like who to protect in this scenario- the seller or the buyer or the third party and deciding accordingly.
- India has no real different case law for mistake- can apply the above principles as well.

3. **Mistake as to nature of promise:**
   - Example A thinks sales deed is a gift deed- very rare
   - Usually can only happen due to one party misleading another about the nature of the contract.
   - Usually by exploiting a relationship of trust and confidence.
   - Law doesn't allow the plea that one doesn't know of the contents of the contract.

   - Since here there is an element of fraud how is it mistake?
     - Answer: Made a distinction- if it is based on the very crux of the contract then it will be mistake and made void. Whereas if it is due to some subject matter or other contents then, it is voidable and still needs to be set aside or avoided for it to be made void- and this may get complicated if the fraudster acts quickly and involves other innocent third aprties before the victim can avoid it.
     - **Partap v Puniya Bai, AIR 1977 MP 108**
       - FACTS: an illiterate lady who was the owner of farming land generally consulted her uterine brother on all important matters. Once, finding that some strangers were occupying her lands, she approached her

brother, who advised that an application should be made to the Collector. He took her to the Collector's office and obtained her thumb-impressions upon some blank papers. These were then registered as sale deeds in the name of some persons. On discovering her mistake she challenged the transaction and obtained an order that the transaction was void and that she was still the owner of her lands. The court said:

- RULE: "There is a clear distinction between a fraudulent misrepresentation as to the character of a document and as to its contents. Where the misrepresentation is as to the character of the document, the transaction is wholly void." Here held void ab initio
  - Procedural mistakes as to charcter = void
  - Substantial mistakes, not essential, but contextual and done by fraud= voidable

- If the agreement is void, there is no transfer of possession at all while under voidable contracts, if the property is transferred to a third party innocent buyer before the contract is rescinded then, the third party is the lawful owner and the victim can only sue the fraudster.
- Here since the party is esp. vulnerable, making it void is in good public policy.
- If the contract is void and a third party is involved, the property would remain w/ the original owner and the third aprty victim can only pursue D in fraud.

- If the intention of the parties is by mistake not expressed in the contract they court can read it to

When the Contract Fails to Express the Intention of the Parties

General rule- if the negotiation between parties has not been incorporated (mistakenly) into the final agreement, then we read the final agreement as if the negotiations had been incorporated into the final agreement.

Hartog v Collins

FACTS:Defendants entered an agreement to sell the plaintiffs 300 Argentine Hare Skins. But the nature of this agreement was that they happen on a price per piece basis. But they incorporated price per pound on the agreement by mistake.

RULE: The court said that it is a custom in the trade of skins that the price is levied per piece, and because the parties intended to do the same, the agreement would be read as if the price per piece was incorporated and not price per pound.

New India Rubber Works v Oriental Fire and General Insurance Co.

FACTS: The rubber works took an insurance against fire, riots and strikes from the insurance company. The insurance was to be renewed. The company sent a reminder/requisition to the plaintiff asking for a certain amount for renewal. The rubber works said that they don't want insurance for riots and strikes, only for fire. They gave them a lesser amount for the same. But the company had a standard agreement in which they incorporated fire, riots and strikes together, and renewed the agreement on the template of that standard agreement. There was a riot in the factory, and because of the riot there was a fire. The rubber works asked for insurance for riots as well.

RULE: The court said that while the renewal negotiations happened, the parties had an **intent of renewing only the fire insurance**, and intended the strike and riot insurance to lapse and therefore, though the agreement document reads that the insurance was for fire, riots and strikes, the court would read the document as if the insurance for fire alone was renewed.

Joselyne v Nissen

FACTS: The plaintiff shared his house with his daughter. He owned a car hire business. The plaintiff said he intended to transfer the business to the daughter, but she would have to take care of all the household expenses. The agreement came into being. However, they omitted to incorporate the clause of the household expenses. The daughter took care of the expenses for a few months, but afterwards she claimed that since the clause was not incorporated, she refused to bear the household expenses.

RULE: The court said that because the initial negotiations between parties clearly stated the intention of the parties, even if the intention was not incorporated into the final agreement, the court would read the agreement as if it had been. Thus the daughter was liable to bear household expenses.

- NON EST FACTUM DEFENSE:
- "Non est Factum" Doctrine meaning "not my deed" is used
- Available to parties who are very vulnerable- like illiterate, blind or visually impaired, and now extended
- Foster v Mackinnon {1869)LR4CP704
  - FACTS: man induced to sign the back of a document thinking it was a guarntee but it was endorsement of a bill of exchange.

- RULE: no distinction b/c character an d content of document was made and it was held void due to lack of consent
- Followed by SC in **Ningawwa v Byrappa Shiddappa Hirekurabar AIR 1968 SC 956:** Husband made wife sign gift deed for two plots from her property but in actuality it was 4- no charcter difference but there was a content which was fraudulently misrepresented- voidable but void
- Gallie v Lee added qualification to protect innocent third parties and emphasised the distinction b/w content and character. It also added a duty to take care for those who were expected to (like not patently vulnerable like blind)
- Saunders v Anglia Building Society further added that distinction between the character or nature of a document and the contents of the document was **rejected as unsatisfactory**. NEF not lightly to be allowed where a person of full age and capacity had signed a written document containing contractual terms. Available where the difference in character imagined and in actuality is radical

Sec 23- Lawful object

Thursday, 15 April 2021 11:02 am

- When agreements suffer from legality issues then it will not be enforceable
- Object: reason for taking the contract
- Consideration: the promises exchanged
  - May be sometimes be the same as object like a sale of goods contract but sometimes different like a loan taken for child marriage (marriage = object, consideration= loan)
  - If either object or consideration of illegal/unlawful/immoral than the contract is void ab initio
- Can be void or unlawful (also illegal)
- 23. **What <u>considerations and objects</u> are lawful, and what not.—The consideration or object of an agreement is lawful, unless—**

1. **it is forbidden by law ; or**
   - Includes all law used at the time in India, including unwritten law, Hindu, Muslim law
   - Also includes principles of law- unwritten also
   - EX: the contract to sell liquor w/o license is unlawful by breaching alcohol regulation statutes.
   - A person was licensed to work in a liquor shop. It forbid the sale, transfer or sub-lease of the license or creation of a partnership. D took a partner and this was void b/c it defeats the object of the statute in place at the time (**<u>Thithi Pakurdasu v Bheemudu, ILR (1903) 26 Mad 430</u>**)
     - Any act which **defeats even indirectly the object of Parl to forbid some act,** and the object does that very act then it is void
     - But: **<u>Champsey v Gordhandas Kessowji</u>**
       - FACTS: Partner got a license under the Bombay Salt Act. The act prohibited trasnfer of every kind under the license. He later admitted his brother into the partnership
       - RULE: HELD that the admission of a partner to share in the profits could not be considered as a subletting or alienating a part of the privilege unless there had been a document directly transferring to the partners a part of the right to manufacture or vend
         - Calcutta HC held this to not be applicable to a case in which the **statute or the rules made under it provided expressly that the taking in of a partner would amount to a deemed transfer** of the licence
         - decisions must rest on the definiteness of prohibition against sale etc.
         - Also look at impact on public w/ or w/o license- if impact greater w/o license then usually void (**<u>Hughes v Asset Managers Plc</u>**)
   - But if the act **only regulates an act,** then the object need not make the contract void- it just makes the person in violation of the regulation and is usually dealt w/ fines or fees
     - **<u>Bhikanbhai v Hiralal, ILR (1900) 24 Bom 622</u>**
     - FACTS: The plaintiff was a lessee of certain tolls under the Bombay Tolls Act, 1875. One of the conditions of the lease was that the lessee should not sublet the tolls to any other person without the permission of the Collector. **A fine of Rs200 was payable for a breach of the condition**. The plaintiff contracted with the defendant to sublet the toll to him without obtaining the necessary permission.
     - ISSUE: The question was whether the sub-lease was void.
     - RULE: The court held that it was not. The **object of the statute was not to forbid such transactions.** It was "an Act passed for the benefit of the revenue and not an Act for the protection of public morals"
   - In almost all cases, agreements in direct contravention of a enactment was void.
   - Where a stay order affects the contract but does no render the object or consideration itself illegal, se c23 cannot render such an agreement void. (**<u>Tenet Homes & Resorts (P) Ltd v Ernakulam, AIR 2001 Ker 279</u>**)

2. **is of such a nature that if permitted, it would defeat the provisions of any law; or**
   - Even if agreement defeats provisions of a foreign provision from a friendly country then it is still void- like evading taxes, similarly w/ public policy
     - **<u>Ragazzoni v K.C. Sethia (1956) 2 QB 490</u>**
       - FACTS: There was prohibition of to export goods from Indai to South Africa. P and D agreed to circumvent this law by sending the jute bags contracted for sale from India to Genoa from where they could be further taken to S

Africa. D failed to deliver the jute bags and P sued.
        - RULE: LJ Denning :These courts will not enforce revenue or penal laws at the instance of a foreign country. It is quite another matter to say that we will take no notice of them.
        - It seems to me that we should take notice of the laws of a friendly country, even if they are revenue laws or penal laws or political laws ... at least to this extent, that if two people knowingly agree together to break the laws of a friendly country or to procure someone else to break them or to assist in the doing of it, then they cannot ask this court to give its aid to the enforcement of their agreement
    - Also undercutting statutory privileges- like affording a party time for notice 3 months which is an imp portion of that statute, cannot be reduced in the contract
    - **Mohinder Singh v State ofPunjab, AIR 2009 NOC 434 (PScH)**
        - FACTS: There was agreement b/w that the elected representative such that the latter would hold the power for 2 years of the term as sarpanch and the former for the remaining 3 yeras
        - RULE: This agreement was held void, being violative of the Panchayat Raj act, 1994
    - **Kommineni Seetharamaiah v K. Punnaiah, 1996 AIHC 4384 (AP)**
        - FACTS: There was a new law which waived farmer's loans. A farmer sold his land and the consideration was such that the price of the land was to be set off against the left over loan on it. The buyer of the land sued for sepcific performance of the agreement.
        - RULE: Held contract void since the purpose of the act, to waive the loan would be defeated through such consideration.
            - when part of the consideration amount was unlawful, the void contract cannot be saved merely because a small fraction of the consideration amount was not unlawful
    - Innocent violations not opposed to public policy per se allowed:
        - **Rajat Kumar Rath And Anr. vs Government Of India And Ors AIR 2000 Ori 32**
            - FACTS: P had opened a Post Office Bank A/c. There was a provision that interest would not be paid on deposits above a certain limit. P breached this limit but still recieved interest. D later requested the return of interest amounting to about 90K which P refuses.
            - RULE: Contract not void and recovery not allowed. D here did not inform P when the deposit was made that it was in excess. The general principle is that every one has a right to waive and to agree to waive the advantage of a law or rule made solely for the benefit and protection of the individual in his private capacity which may be dispensed with without infringing any public right or public policy.
            - Under Section 23, contracts opposed to public policy and immoral would be really void and not illegal, and in that respect Indian law seems to deviate from English law. The distinction between void contracts and illegal [is]...A void contract is one which has no legal effect. An illegal contract though resembling the void contract in that it also has no legal effect as between the immediate parties, has this further effect that even transactions collateral to it become tainted with illegality and are, therefore, in certain circumstances not enforceable.
            - The ready forward contract is severable into two parts, namely, the ready leg and the forward leg. The ready leg of the transaction having been completed, the forward leg, which alone is illegal, has to be ignored. With the ready leg having been performed the illegality of the forward leg contained in the agreements cannot affect the transfers which had already taken place.

3. **is fraudulent ; or**
    - Where the agreement is to defraud a third party or share the benefits of this would be void
    - **.BrownJenkinson & Co v Percy Dalton (London) Ltd, (1957) 2 QB 621**
        - FACTS: Sender of orange juice was sending old and frail cans which often leaked and hence a clean bill of lading could not be procured. But the shipowner agreed to provide such a lading if the sender agreed to indemnify him. Consequently when the ship arrived as expected the cans had leaked terribly and the shipowner made good the loss to the buyers. He therafter sough to enforce the indemnity.
        - RULE: Held not enforceable since manipulating bill of lading and craeting loss for the third aprty buyer was fraudulent
4. **Involves or implies injury to the person or property of another; or**
    - Civil wrong like defamation, criminal wrong, including slavery, bonded labour type agreements
    - Fruits of crime- law will not allow one to reap the benefits of one's own crime or wrong
5. **The Court regards it as immoral, or**
    - Immoral: from what soicety thinks it moral and what courts consider moral- usually confined to sexual relations outside of marriage (**Gherulal Parakh v Mahadeodas AIR 1959 SC 781**)

- Interference in marital relations: like an agreement to get another divorced through payment- payment cannot be recovered- but not if the couple already has a decree nisi (divorce order to be enforced at a later date)
- Dealings w/ prostitute, contract for concubinage, sale of things to a brothel or things bought by a prostitute in the course of her work.
- Help given to dancing girls not immoral

6. **Opposed to PUBLIC POLICY:**
   - As regarded by the Court, not executive
   - In England, it is well established- the categories of public policy are closed and no new categories can be formed
   - In India **Gherulal Parakh v Mahadeodas AIR 1959 SC 781** stated that though the heads of public policy are not closed per se, they should be maintained as is for the sake of stability. Should only be invoked in cases of "clear and incontestable cases of harm to the public; "

a. Surrender of rights: Negation of statutory provisions- like denying maintenance- court would still grant since imp part of right to life- rights given under contract usually allowed to be waived but not those given by any law like to employees.
b. Marriage of a minor girl
c. Corruption, bribery, paying for seats: but paying from black money does not in itself become against public policy, capitation fees in education also
d. Price escalations- against public policy if extreme price changes in the market are not taken into consideration.
e. Alienation if land by member of depressed class- done as per DPSP

In each of these cases, the consideration or object of an agreement is said to be unlawful. Agreement of which the object or consideration is unlawful is void.

HEADS OF PUBLIC POLICY:

i. Trading w/ enemy: w/ an enemy of the state or company from such country
ii. Trafficking in public offices- like buying the position
iii. Interference in admin of justice:
   i. w/ course of justice: like contract to delay order decree
   ii. Stifling criminal prosecution: esp for public nature- not pvt- attempts to take the course of law out of the hands of justice into pvt hands and hence not within public policy
   - **Narasimharaju v Gurumurthy Raju AIR 1963 SC 107**
     - FACTS: Complainant was partner of a firm, filed a complaint against fellow partner for forging partnership accounts and bringing a fraudulent third partner. After filing complaint an arbitration agreement was reached. But in front of the tribunal no, evidence or plea was made by C.
     - RULE: C essentially seemed to delay the court proceedings. Here since the compromise was subsequent to the complaint amounted to stifling.
       - "If a person sets the machinery of criminal law into action on the allegation that the opponent has committed a non-compound able offence and by the use of the coercive criminal process, he compels the opponent to enter into an agreement, that agreement would be treated as invalid for the reason that its consideration is opposed to public policy"
   - **Ouseph Poulo v Catholic Union Bank Ltd AIR 1965 SC166**
     - FACTS: The bank found that collateral was either fraudulently overvalued or taken away w/ collusion of bank officials. The party offered to increase their collateral but did not follow through. Bank filed the complaint but later the party paid. The bank then withdrew their complaint.
     - RULE: Not stifling since the agreemnet was made beofre the complaint was filed adn ehnce did not "stifle"
   - Where dropping of the criminal proceedings is a motive for entering into the agree ment—and not its consideration—the doctrine of stifling of prosecution is not attracted. Where there is also a pre-existing civil liability, the drop ping of criminal proceedings need not necessarily be a consideration for the agreement to satisfy that liability (**Union Carbide Corpn v Union of India, (1991) 4 SCC 584**)
iv. Champerty and maintenance:
   - If fair agreement to help enforce legal assistance then valid- also the financer can only be reimbursed for the amount- cannot make a profit out of it- the agreemnt or quantum taken must be reasonable, not extortioante or champertous
   - Agreement where lawyer agrees to be paid only if he wins, or contingent fees are against public policy
v. Marriage brokerage contracts: where there is consideration is exchange for marriage.
vi. Unfair, unreasonable or unconscionable :

- CIWCT v. Brojo (1986) 3 see 156:
  - FACTS: P could terminate the employment within 3 months notice w/o any grounds for dismissal or even w/o notice if paid 3 months salary
  - RULE: apparently unfair and unequal bargaining power then unconscionable- need not be illegal as such.
    - Government corporation imposing upon a needy employee a term that he can be removed just by three months' notice or pay in lieu of notice and without any ground is an exploitation and every ruthless exploitation is against public policy.^
    - But if commercial, standard practice and equal bargaining power then it would be presumed as fair.
    - But this does not apply in the case of shops or commercial businesses since there is always the free market.

24.Agreements void, if considerations and objects unlawful in part.—If any part of a single consideration for one or more objects, or any one or any part of any one of several considerations for a single object, is unlawful, the agreement is void.
Illustration: A promises to superintend, on behalf of B, a legal manufacture of indigo, and an illegal traffic in other articles. B promises to pay to A a salary of 10,000 rupees a year. The agreement is void, the object of A"s promise, and the consideration for B"s promise, being in part unlawful.

- If the lawful part cannot be separated from the unlawful activity, then the whole agreement is void
- But the if the legal agreement is separable then, it is severable and enforceable
- Gopalrao v Kallappa, (1901) 3 Bom LR 164
  - FACTS:A licence was granted to a person for sale of opium and ganja with this restriction that he would not take any partner in the ganja business without the permission of the collector. Without such permission he admitted a partner into the whole business on receiving from him a fixed sum as his share of capital. Differences arose between them. The new entrant filed a case for dissolution and refund of his money.
  - RULE: His claim was not allowed. The court said that "it is impossible to separate the contract or to say how much capital was advanced for the opium and how much for the ganja"

Sec 26: Agreements in restraint of marriage are void

- Except child marriage
- Basic freedom to marry anyone one wants so this is constitutionally invalid as well.
- Like an agreement to only marry some A
- But agreements encouraging marriage with some person: Like I'll buy you a house if you marry A is not restraining marriage.
  - Also those in restraint of remarriage are valid: like no maintenance, or right of first wife to divorce Msulim husband on second marriage
- But if it discourages from marrying like I will buy you a house if you don't marry A then come sunder sec 28
- The restraint maybe general or partial, that is to say, the party maybe restrained from marrying at all, or from marrying for a fixed period, or from marrying a particular person, or a class of persons, the agreement is void. (**Maharam Ali v Aysha Khatun, (1914-15) 19 CWN 1226**)

Sec 28: Agreements in restraint of legal proceedings, void.—Every agreement,—
(a) by which any party thereto is restricted absolutely from enforcing his rights under or in respect of any contract, by the usual legal proceedings in the ordinary tribunals, or which limits the time within which he may thus enforce his rights; or
(b) which extinguishes the rights of any party thereto, or discharges any party thereto, from any liability, under or in respect of any contract on the expiry of a specified period so as to restrict any party from enforcing his rights, is void to the extent.]

- **Exception 1.—Saving of contract to refer to arbitration dispute that may arise.—This section shall not render illegal a contract, by which two or more persons agree that any dispute which may arise between them in respect of any subject or class of subjects shall be referred to arbitration, and that only the amount awarded in such arbitration shall be recoverable in respect of the dispute so referred.**
  Exception 2.—Saving of contract to refer questions that have already arisen.—Nor shall this section render illegal any contract in writing, by which two or more persons agree to refer to arbitration any question between them which has already arisen, or affect any provision of any law in force for the time being as to references to arbitration
- Here it is absolute restriction
- Not the same as agreement in honour where there is an express intention to not make the agreement enforceable by courts.
- Can also restrict the level of courts till which one can appeal
- Can also have extra-judicial compromises
- In contractual disputes usually 3 courts may have jurisdiction:
  i. Place where the contract is made (the letter rule comes here)- practically relevant b/c another party would have to travel every time for court proceedings so that's why it is important.
  ii. Place where contract is intended to be performed
  iii. Place where the defendant resides or conduct's business

- You can restrict it to one of these of courts by contract, but not all of them- but must reasonable and not inaccessible
  - Continental Drug & Co Ltd v Chemoids & Industries Ltd AIR 1955 Cal 16
    - FACTS: A contract was enforceable either in Bombay or Alipore but the contract stipulated that only Bombay court could be approached in case of dispute
    - RULE: Valid since a competent court still allowed to have jurisdiction- only partial restriction which is not barred u/s 28.
  - Hakam Singh v Gammon {India) Ltd (1971) 1 see 286 "It is not open to the parties by agreement to confer jurisdiction on a court, **which it does not possess under the Civil Procedure Code** .But where two courts or more have under the Code of Civil Procedure jurisdiction to try a suit, an agreement between the parties that the dispute between them s**hall be tried in one of such courts is not contrary to public policy**. Such an agreement does not contravene Section 28 of the Contract Act."
  - Must do something more than just stipulate the condition on some document- both parties must have had knowledge of such a clause
  - Only ouster of civil court not HC
- Can restrict all of them if arbitration only has been allowed: exception 1.
  - But the arbitral award cannot be final and binding since it ousts the jurisdiction of courts of law (Koegler v Coringa Oil Co Ltd ILR (1876) 1 Cal 466.)
- Cannot confer jurisdiction on a random court.
- If agreemnt b/w Indian and foreign entity and Indian jurisdiction is restricted then, void (. **Emmsons International Ltd v Metal Distributors (UK), 2005 AIHC 1190 (Del)**
- Law of limitations: allows one to initiate legal proceedings against breach from the date of breach- 3 year limit
  - The reduction of this time period under the contract was initially approved by the court
  - But now under 28(b) such terms are also void under the 1997 amendment.
  - EXTINGUISHING RIGHTS UNDER CONTRACT:
    - National Insurance Co Ltd v Sujir Ganesh Nayak & Co (1997) 4 SCC 366
      - FACTS: There was a riot insurance agreement between the parties to the effect that P would not entertain any cliam 12 months beyond the cuase for the claim arose. "in no case whatsoever shall the company be liable for any loss or damage after the expiration of 12 months from the happening of loss or damage unless the claim is the subject of pending action or arbitration"
      - RULE: This was interpreted as a voluntary forfeiture of right to claim rather than bar of right to sue and hence it was not void u/s 28
        - Contrast with usual cases where the contract says no suit can be brought 2 years after cause of action- this directly contravenes the Limitation period of 3 years for civil suits. Main rationale is that in some contracts like insurnace evidence for a claim can only be strongly establsihed within the period
        - "no suit to recover under this policy of life insurance shall be brought after one year from the death of the assured" was held void
      - This distinction no longer valid and WOULD BE VOID AFTER 1997 AMENDMENT
      - Extinguishing thereofre menas that beyond such period no right exists to be enforced or called upon. Limitation on that other hand limits the time during which the right can be called upon.

  - But this blanket clause has exceptions for banking and insurance (exception 3 in 2013)
  - **Exception3: Saving of a guarantee agreement of a bank or a financial institution.—This section shall not render illegal a contract in writing by which any bank or financial institution stipulate a term in a guarantee or any agreement making a provision for guarantee for extinguishment of the rights or discharge of any party thereto from any liability under or in respect of such guarantee or agreement on the expiry of a specified period which is not less than one year from the date of occurring or non-occurring of a specified event for extinguishment or discharge of such party from the said liability.**
    - Min 1 year time period given here

RESTRAINT ON TRADE:

27. Agreement in restraint of trade, void.—Every agreement by which any one is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void.

Exception 1.—Saving of agreement not to carry on business of which good-will is sold.—One who sells the good-will of a business may agree with the buyer to refrain from carrying on a similar business, within specified local limits, so long as the buyer, or any person deriving title to the good-will from him, carries on a like business therein, provided that such limits appear to the Court reasonable, regard being had to the

nature of the business.

- "The principle of law is this: Public policy requires that every man shall be at liberty to work for himself, and shall not be at liberty to deprive himself or the State of his labour, skill or talent, by any contract that he enters into."
  - **Madhub Chander v Raj Coomar (1874) 14 Beng LR 76.**
    - FACTS: One told the other to wind up his shop for an amount. The other after transferring the shop, the buyer refused to give him the money. The seller went to enforce the contract
    - ISSUE: Whether this was a valid contract that the court can enforce? P argued that the restriction in contarct was not absolute but only partial
    - RULE: Here the court void the contract void even if the restraint was partial since sec 27 is very wide and general.
      - Comparing s/ sec 28, 28 actually specifies "absolute restrain" unlike sec 27.thereofre lawmakers must have meant that sec 27 also covers partial restraint.
      - This also includes qualified or unqualified restraints- so time wise limits- like to close your shop only in the summer would also be void
  - Non-compete agreements: cannot
  - Garden leave: cannot work with a competitor after leaving the job to prevent them from soliciting your clients
- Exception meaning : can make reasonable geographical limits if business sells goodwill to another, engaging in a simialr business
  - **Nordenfelt v Maxim Nordenfelt Guns & Ammunition 1894 AC 535**
    - FACTS: Proprietor was selling guns and ammunition and was very well- known across the world. He sold his business at a huge price, more than the physical assets of the company (meaning w/ goodwill). The contract specified that he would not engage in a similar trade for 25 years across the world. He was also not to engage in any business competing or liable to compete in any way with the business for the time being carried on by the company.
    - RULE: Said the part about restricting from 25 years was valid since the business was spread across the world.
      - **But the second clause was void since it stifles competition**
      - Reasonableness of restriction wrt to individual and soicety is key under English law
  - SO RULE1: if it pays for goodwill (for individual) and enables better services (for society), then it will valid
    - RULE 2: It stifles competition = void. (not in society's interest)
  - RATIONALE:
    - Every individual has a freedom to follow any trade or profession- even recognised in Art 19
    - It is in the interest of society for everyone to be able to use his skill and talents- it is also in its interest to protetc the individual
      - This interest for the individual and soceity are balanced in this sec
      - By monetizing reputation and quality will encourage businesses to develop goodwill since it become a saleable commodity- also allows better services for the society
      - Also restriction is needed to prevent the old business person from using his old reputation from taking away the clientele. This would discourage new sellers from paying for goodwill and make goodwill less valuable which is not good.
    - It is anti-competitive.
  - CASE SCENARIO: Auto union says that no one can take less then Rs.50 to go from A to B
    - Here we have to look at the intent- if it is for regulatory function but not avoid competition then it would be valid since it would prevent predatory behaviour like price undercutting which would finally be detrimental to soceity
- But in the garb of goodwill-competition should not be stifled- this is a chief concern
  - **Vancouver Malt & Sake Brewing Co Ltd v Vancouver Breweries Ltd, (1934) 39 LW 618**
    - FACTS: A company was licensed to manufacture liquor and beer but it con fined its business to produce only 'sake', a Japanese liquor made from rice. Its only customer was the Government. It entered into an agreement with the only other wine and beer manufacturing company in Vancouver by which it sold its business and goodwill of manufacturing wine and beer, but not the right to produce sake.
    - RULE: The company had absolutely no goodwill in it came to the sale of beer or wine and hence its sake was a façade. Thereofre the agreement was specifically amde to benefit R from any competition in the sale of beer or wine. Additionally, the restriction was world-wide which is unduly large. Held void.
    - *The receipt of a sum of money can generally be shown to be advantageous to a business man, but his* ***liberty to trade is not an asset which the law will permit him to barter for money except in special circumstances*** *and within well-recognized limitations.*
-
- "Profession, trade or business"

- **Pothi Ram v Islam Fatima AIR 1915 All 94 (2)**
    - FACTS: Two landlords in the same neighbourhood, in order to avoid competition, agreed that a market for sale of cattle shall not be held on the same day on the lands of both of them
    - RULE: Said that letting out of land menat they were only landlords, not actually exercising a business or trade in cattle. Being only landholders, their decision to use land on some days in one way would not account as "profession, trade or business as given in sec 27.
- **Mohd Isack v Daddapaneni, AIR 1946 Mad 289**
    - FACTS: A postal authority had given a tender for the delivery of mail. The P desisted from bidding in consideration of D giving him some money. D then refused to pay him even though he got the tender.
    - RULE: Held that tendering or obtaining a contract is not a profession/trade or calling in itself so agreement was not void and was enforceable.
- Now in light of Monopolies and Restrictive Trade Practices Act, 1969 and Competition Act 2002 therafter, collusive tendering like the above is likely to be illegal and void, unless for some public interest
- **Anti-Corruptionand SocialWelfare Organisationv State of Punjab,(1997) 1 BC262 (P&H DB)**. When two or a few of the bidders form some collusion to not bid against one another in exchange for some consideration, that maybe valid contract but if all the bidders agree to not compete, this would be a knockout arrangement and cause damage to the auctioning party- hence void.

- Restrictions on use of leased property, or trademark have held to be valid.

- EXECEPTIONS: 2 types of lawful restrictions:
    - Statutory restrictions:
        - As per Partnership Act: Sec 36: An outgoing partner can be restricted from starting a simialr competing business in a given time period or area u/s 11
    - Court recognised:
        i. Trade Combinations by certain industries- to regulate the business like standrads of operation- then it will be permissible but if to stifle competition , no exception to sec 27.
            - **Kores Mfg Co Ltd. Kolok Mfg Co Ltd 1959 Ch 108.**
                - FACTS: 2 companies in the same industry of manufacturing. They entered into an agreement that they would not take each other's employees- basically anti poaching- blanket agreement- across all levels, no matter time period worked in the preceding 5 years
                - RULE: Court considered this as being unjustified, too broad and reducing the employment opportunities for employees
                    - If it was only for high levles positions w/ sensitive info then at leads it would be rational and justified.
            - After completion act, fixing of uniform prices, except in very sepcific situations is illegal
        ii. Solus or exclusive dealing agreements
            - Depends on the nature of the agreement really
            - Exclusive agreements which provide security of business may be permissible- since no wastage of one's energies
            - **Gujarat Bottling Co Ltd v Coca Cola Co. (1995) 5 see 545**
                - FACTS: P was a manufacturer of bottles. Agreement was that coco cola would be the sole buyer of their bottles and no one else.
                - RULE: Not void since. If the arrangement is towrads the absorption of a parties' services and not its sterilisation, then the agreement is valid. This must be judged in totality of circumstances of case present. Here the restriction was also justified since P ad to market and promote the product of D as well whihc could not be done if they were allowed to sell other brands.
                    - Such agreements of often incorporate a condition that the franchisee shall not deal with competing goods. Such a condition **restricting the right of the franchisee to deal with competing goods is for facilitating the distribution of the goods of the franchiser and it cannot be regarded as in restraint of trade**
                    - DIFFERENCE B/W ENGLAND AND INDIA:
                        - England uses tets of reasonableness of restriction- this can be more flexible- onus on the person wnating to prove that the contract is valid to show that the restraint is reasonable- usualy question

of (1)if there is restraint and (2) if it is reaosnable, courts instaed seek to see if there is **undue restraint of trade.**

- India- no reasonableness test- just need to see if it fits in the exception in any way , that is if there is restarint or not.

- **Shaikh Kalu v Ram Saran Bhagat (1908-09) 13 CWN 388**
  - FACTS: A merchant of combs in Calcutta had contarcted w/ nearly 30 comb makers to be exlcusively supplied w/their combs to him and his heirs for their whole lives, failing which they would be subjected to damages. The merchant was also not obligated to buy if sufficent markets were not found, with no penalty for the same.
  - RULE: Court said that a contract with an independent manufacturer for the entire product of his plant may not in itself be an illegal contract in restraint of trade yet if there is an attempt to suppress competition by means of contracts with independent manufacturers for their entire products so as to monopolize the market, the agreement must be taken to be void.
    - Also this was illusory considertaion since the merchant was not really bond and had not veen signed the contract.

- Length may also render the agreement valid or void- like decades is okay for petroleum but not for farming.
  - **Esso Petroleum Co Ltd. Harper' Garage Ltd (Stourport) Ltd [1968] AC 269**
    - FACTS: P had a contract w/ two garages for the tie in arrangement (on buying one product, buyer needs to buy another product under the contract) supply of motor fuel as well as petrol. The contract included that Rs would resell the fuel except at a schedule of prices decided by P, that they would not operate any discount schemes among other things. The contract w/ R1 was for 4 yeras and 5 months while with R2 it was for 21 years. Later the Rs began to sell cheaper petrol from another barnd other than P
    - RULE: Held that the solus agreement w/ R 1 was reasonable being 5 yrs but the latter was not.
- Shell U.K. Ltd v Lostock Garages Ltd. (Change in circumstances can change reasonableness and hence make a valid contract unenforceable over time)
  - FACTS: Shell had agreed w its petrol pumps for sole supply of petrol, like D. There was a hike in price of petrol to such an extent that D had to operate at a loss. While Shell put out a scheme to compensate the losses of their pumps, D's losses could not be adequately covered following which D started supplying a different brand. P sought injunction on this.
  - RULE: injunction not granted since the unexpected price hike was a significant change making this present contract unenforceable.

iii. Restraint upon employees: Trade secrets, the names of customers, all such things which in sound philosophical language are denominated as objective knowledge—these may not be given away by a servant; they are his master's property, and there is no rule of public interest which pre vents a transfer of them against the master's will being restrained.

1) During the subsistence of the employment agreement- NOT THE EMPLOYMENT
   - Usually valid, unless exploitative terms
   - Not to avoid competition but get max benfit of your talents and energies to make sure the contract- but depends on the nature of your employment-like if you can't prohibit a person on min wage - clearly doesn't allow full use of capacities.
   - In cases b/w employer and employee, the court tends to support the employee due to imbalance of power- like looks at unconscionability. Will not consider it when b/w equal parties or corporate bodies though.
   - **Charlesworth v MacDonald ILR (1898) 23 Bom 103**
     - FACTS: A person agreed to work as an assistant to a doctor for 3 years in Zanzibar. The appointment had a clasue that the person could not start his own practice. He worked for 1 year but later quit and started his own practice in the same region as the doctor
     - RULE: An injunction was granted since this was in subsistence of the employment agreement.
       - But if the doctor had fired him here, then this agreement could not be held valid
       - He also could not ask for specific performance from the assisstant- since it is an agreement of personal services.
       - Here also quitting was breach so the agreement's prohibitions will be valid.
         - b/c curtails individual freedom

- **V. N Deshpande v Arvind Mills Co. AIR 1946 Bom 423**
    - FACTS: A person was a weaving master in a textile mill- a very skilled job originally for 3 years. He then joined another rival company.
    - RULE: So a person having learned the tricks of the trade under the previous employer cannot then go and work for someone else since the benefit would go tot the rival and the employer would be not be encouraged to skill workers which is prejudicial to society adn the individual.
- **Niranjan Shankar Golikari v Century Spg Mill AIR 1967 SC 1098**
    - FACTS: A company was enagged in producing yarn and they had an agreement with a foreign company. The foreign company would train them and the employee got a contract signed from the employee that such training could not be shared with anywhere else. The agreement was for a period of 5 years. P after the training left the job and joined a rival company
    - RULE: Court held that the agreement was valid and allowed an injunction to be issued against P.
        - Will only apply to cases after full trial not merely injunction
- In Gopal Paper Mills Ltdv Surendra K. Ganeshdas Malhotra case, b/c of the unreasonable 20 year restriction, court did not uphold a similar contract
- In case of training expenses, employee is free to leave w/o any restraint if he pays part of the expenses not recovered through his services. (**Nazir Maricar v Marshalls Sons & Co (India) Ltd, (2005) 2 CTC 478**)

2) After agreement's termination: This is after the full period of the contract is fulfilled
    - like if the person is dealing w/ confidential info, cannot join a competitor
    - Acts like a cooling off period
    - Called Garden leave clasues where the employer pays you to not work for a rival
    - Pertains to means of livlihood so cannot restrict
    - These are prima facie void
    - **Superintendence Company Of India v. Krishan Murgai , (1981) 2 SCC 246**
        - FACTS: R worked with a company as a surveyor as a branch manager. They entered into a contract that he could not work once he **leaves** the employment for a period of 2 years with any org having similar business operations, nor start his own business in the same field. R was terminated.
        - RULE: Whenever there is any restriction after the termination of the contract, even if you have sensitive information, it would be void.
            - Also said that "leaves" means that one voluntarily leaves the contract after its natural end. It would also not include application in the case of termination where the employer forces the employee to leave.
                - Only place it would be valid is if employee left before end of contract
            - But technical skills cannot be restricted in the same way since they are acquired by the person

- SOME RESTRICTIONS ARE POSITIVE:
    - UK applies reasonableness but India does not
    - In India we need to see if it falls under one of the statutory or judicial exceptions- like goodwill, within employment contract,
- In India the test is a: (basically see if it protects goodwill craetion ins some way)
    - 1) **legitimate interest** to be protected then the restriction can be allowed- like sale of goodwill, basically investment should grant some proprietary interest for the person which can be protected since otherwise he would not feel comfortable enough to take that investment.
        - Trade secret or technical know-how- threshold is very high here- the pivotal knowledge which is your USP (like a formula, recipe etc)
        - Business connections-so you can impose restrictions on the employee setting up his own business and soliciting your clients, even after termination of employment

2) Whether the restriction is reasonable- like a goodwill clause across the world when the business only enagged in India
    - Even if there is no contract b/w employee or employer to this effect, the employee would be barred from using technical knowledge or sensitive info while working with a rival or for himself.
        - Therefore the employer usually puts a blanket ban on the employee working with anyone else for some time period- but this is too wide- there is always a possibility that the employee can work w/ a rival w/o disclosing

such info/skills.

- Like sensitive data about clients cannot be downloaded
- **Daljeet Titus v Alfred Adebare**
  - FACTS: D was working w/ P as an attorney. When he left, he took some data with him by downloading files.
  - RULE: The court held in this case that the data belongs to the employer and the employer can protect his interest in data.
- **Star India (P) Ltd v Laxmiraj Setharam Nayak, (2003) 3 Bom CR 563**
  - FACTS: D was working w/ P 's network and in 1993, P was working at a very senior position in marketing and hence was privy to very sensitive info. In 2001, when he was promoted to this high level the agreement was valid for 3 years and there was a restriction to work w/ rivals during this contract. Before the expiry of this contract, D resigned and started to work w/ another. Therefore P sought an injunction against D.
    - Counsel for D argued that he had a right to resign and had no special knowledge, just a good skill by being efficiency. SO there was no interest to protect here
    - So the skill one gains is the property of employee and only trade secret is the property of the employer
  - RULE: Bom HC refused to grant injunction.
    - Diff w/ Golikari case: Star India sought an injunction in this case- meaning the case would be shorter and no full trial was conducted- here there was no proof that D had acquired technical skill here.
    - So injunction cannot be sought to protect skill given to an employee unless it is apparent or actually proved- can only do so in a full trial - In Golikari, D actually confessed that he had acquired the skill.

- GARDEN LEAVE CLAUSES:
  - Usually after termination since employer-employee relation may sour, the employer fears that the employee will join a new firm
  - So what they do instead is allow the employee to be paid for a notice period, without actually working w/ a restraint that the employee cannot work w/ anywhere else
  - **VFS Global v Suprit Roy 2007 SCC OnLine Bom 1083**
    - RULE:
      - GLC works in 2 ways that - that one is prohibited from working during the notice period- so the employment is still in subsistence- so here the clasue is valid
      - But of the clauses is after the termination, that is not after notice period is served, then the clasue id void.
      - So cannot put a unnatural notice period- like 1 to 2 years to exploit this clasue- b/c the purpsoe of a notice period is to prepare the employer and employee to look for anew job/worker. Like Brojo Nath case it would be arbitrary and exploitative of the parties affecting public policy.
  - **Percept D'Mark (India) (P) Ltd v Zaheer Khan, (2006) 4 SCC 227** (application to contracts of service)
    - FACTS: D had a contract of agency and a management with P for 3 years. For 3 months at the end of such period, there was a clause for renegotiation and extension of contracts. The clasue required that if during such period D recieved any offer from a third party for his representation, D was obligated to inform the same to P and P had an option to match that offer. D did not wnat to continue w/ P at the end of the term and finding this clasue restrictive enters into a contract with Addidas. P seeks an injunction on this contrcat claiming violation of right of first refusal as given under the clasue
    - RULE: Said that the condition was violative of sec 27 since it was to only operate on contracts during the subsistence of the contract itself and its extension beyond such period is prima facie void.
      - *The legal position clearly crystallised in our country is that while c**onstruing the provisions of Section 27 of the Contract Act, neither the test of reasonableness nor the principle of restraint being partial is applicabl**e, unless it falls within express exception engrafted in Section 27.*

Discharge 1: Performance, Assignment- Ch IV ICA

Monday, 15 March 2021 12:12 pm

- Sec 37: Parties should either perform or offer to perform their promises unless the act or some other law dispenses of this obligation
    - R/w assignment
- Sec 38: When there is an offer for performance, and the promisee has not yet accepted it, the promisor has no other obligation- essentially ball in promisee's court.
    - But subject to:
        - That the offer is unconditional
        - Made at proper time and place to allow acceptance
        - That in case of contract to delver, promisee must have time to check that the proper thing is delivered.
- Sec 39: Anticipatory Breach is discussed here: If the party refuses to perform or disables self to perform the whole obligation, then other party can end the contract, unless some other words or action says he wants to continue the contract
- Sec 40: If the contract does not actually need to do the promise himself, he can contract some third party for the purpose.
- Sec 41: if promisee accepts 3 rd party, can't ask promisor later
- Sec 42: Joint promisors are jointly liable for performance w/ reps if one or all of them die- JOINT AND SEVERALLY
- Sec 43: Promisee can ask any of the joint promisors to perform. Said promisor can compel others to chip in. If one joint promisor or more fail to chip in, the others must make good the share.
    - EX: A, B, C owe D 3000 rupees. D compels A to pay. A can ask B and C to chip in. if B is insolvent, then, the 1000 owed by him will be borne by A and C equally (500 each)
- Sec 44: effect of discharge to promisee does not effect liability to joint promisors.
    - EX: A, B, c owe D 3000 rupees. D discharges A from paying. While B ad c then split his share and pay 1 500 each to D. But A is still liable to pay 500 each to b and c for the share they bore on his behalf.
- Sec 45: If joint promisees, both have right to claim performance during life or through reps after death.
- TIME AND PLACE:
    - Sec 46: No time, no application= reasonable as per circumstances
    - Sec 47: date, no time, no application for time= during reasonable business hours
    - Sec 48: application required, promisor's duty to apply at proper time and place
    - Sec 49: no place specified, must apply for a reasonable place
    - Sec 50: if promisee sanctions performance and time, do as said
- What about w/ joint promisees? Promisor only needs to apply to one of them for the time, place, sanction right? Yes that is enough.

- HOW PERFORMANCE CAN TAKE PLACE:
    - Performance
    - Operation of law: Frustration (impossibility)

RECIPROCAL PROMISE: Where the promises or set of promises whcih act as consideration for each other (sec 2)

- Sec 51:A need not perform his until B is ready to perform his part.
- Sec 52: If contract specifies order of reciprocal promises- follow it. If not, then do it as naturally would follow given the nature of transaction. (like deliver first, then I'll pay)
- Sec 53: If one party prevents the other willing party to perform, the willing party can void the contract at his option, and can ask for loss for the damage suffered due to such prevention.
- Sec 54: If A does not do his part which must be performed before B's or beofre he can claim B's performance, A must compensate B for any loss suffered due to non-performance of his part.

- Sec 57: When set of promises, some of which are legal and other illegal, the legal are enforceable adn the illegal are void agreements
  - **B.O.I. Finance Ltd vs The Custodian & Ors 1997) 10 SCC 488:**
  - r/w sec 24 if needed: if the consideration in the reciprocal promises cnanot be severed from each other the whole thing is void if it is executory
    - But if it has already been executed, the court cannot be called upon for the recovery of the executed part
    - If it can be severed into an legal and illegal contract, then 57 is called into the picture and the illegal forward leg would not affect the validity of a past leg.
- Sec 58: When there are two channels of a promise, the legal is valid while the illegal can is void

- Sec 55: **TIME OF ESSENCE TO A CONTRACT:**
  1. When the contract is supposed to be performed at or before the specified time(s) and it is not by the promisor, then the contract is voidable at the option of the promisee.
     - Mere specification of time does not mean it is of essence to the contract.
     - In case of things to be performed, non-performance of any of them would allows the contract to be voidable
  2. If time is not of essence, not voidable but can claim compensation for the delayed performance
     - No need to give notice for compensation . McDermott International Inc v Burn Standard Co Ltd, (2006) 11 SCC 181
  3. If when the contract is voidable at his option, such party accepts the delayed performance, then the aggrieved party cannot claim compensation, unless at the time of such acceptance his intention to seek compensation is notified to the promisor.
     - Delayed performance still needs to be within the reasonable time.
- CASES:
  - When parties have expressly agreed in the contract that time is of essence in the agreement
  - When any kind of **delay in performance operates an injury** to the other party and the other party very well knows of it
  - When time becomes or is construed of essence to a contract b/c of circumstances of the contract.
  - **Bhudra Chand v Betts (1915) 22 Cal LJ 566**
  - FACTS: A was supposed to deliver his elephant to B, so that B can catch wild elephants. The delivery was supposed to happen by 1 Oct, 1910, but A asked for an extension to do it by the 6 Oct, which B granted. But finally the elephant was only delivered on the 11 Oct. B did not accept the delivery.
  - ISSUE: Is the delivery proper performance of contract?
  - RULE: Court said no it is not b/c here the party even after specifying to time, allowed an extension and the extension shows till when the delivery was required. So this period was where time was considered of the essence and the delivery should have been within this extension alone for proper performance. If time was not of essence there was no need for A to seek an extension at all.
- **Time in Business contracts:**
  - **Mahabir Prasad Rungta v Durga Datt 1961 AIR SC 990**
  - FACTS: The facts of the case were that a transporter contracted with Rungta, a colliery owner, to transport coal from a colliery to the railway station. The colliery-owner had to keep the road in repair and to arrange for petrol. He had also to pay for the transportation on the 10th of the next month. It was alleged that these things were not done in time and, therefore, the transporter could not go on with his work. The transporter rescinded the contract and brought an action for damages.
  - RULE: It was held that in commercial transactions time is ordinarily of the essence of the contract. In this contract the time of payment and of arranging other things was, particularly, such an important condition of the contract that.

- Similarly held for construction contracts since usually specify time period plus penalty for delay- esp true if some special feature like flood proofing- also efflux of time (where contract just ends due to passage of time rather than performance esp if undue delay
  - **The Food Corporation Of India vs Anupama Warehousing AIR 2004 Ker 137**

- FACTS: P was contracted to construct a warehouse for D. Time was not of essence since there wre 8 extensions or so. The contract was supposed to be completed in 4 months for storage requirements but took nearly 2- 3 years instead. D then refused to occupy the warehouse on construction and P sued.
- RULE:It shows that even if time is not the essence of the contract, the contract has to be performed within a reasonable time. If it is not performed within a reasonable time, the party affected by this, is entitled to put an end of the same.
  - Here D had a prupose which was not met due to the delays. D could not be exepectd to wait endlessly simply b/c extensions were given.

- ***China Cotton Exporters v Beharilal Ramcharan Cotton Mills Ltd***
- FACTS: There was agreement for the export of cotton. The party said delivery would occur on Oct-Nov of 1950 but this was subject to an express clasue that said "This contract is subject to import licence and therefore the shipment date is not guaranteed". The import license was procured. A particular quantity of goods was delivered, but not the rest. But when the final part of the consignment was recieved, the buyer didn't accept that portion.
- RULE: The court said time is of essence in purchase and sale contracts. Here the delay was only excusable due to not receiving the import license and no other reaosn for delay could be accepted. So time is of essence here. D defended that the import license was just one of the prominent factors for delay and the purpose of this was to just say that date of shipment could not be guaranteed but this arguement was not accepted.
  - They said that if this was really the case that other delaying factors were present and that it was a general clause to say time wasn't of the essence in this contract, then instaed of using "therefore" they would have used "and" to convey this.
- For sale and purchase of land, time is not of essence since land is quite stable and price does not fluctuate quickly. It will depend not only penalty clasues for delay but other factors like nature of property, forfeiture of earnest money etc- also look at circumsatnces of parties- like if there's an immediate need to liquidate or something
- But for renewal of lease of land or property time is of the essence since the leasor needs to look for other tenants quickly and renewal is a privilege not right (**Caltex (India) Ltd V Bhagwan Devi Marodia**)
- Can't impose time as of essence unilaterally but can serve notice
- For contract of service, if the thing not timely performed does not strike root, then no essnece
  - .***Bettini v Gye, (1876) LR 1 QBD 183***: singer missed 4/ 6 days of rehearsals for a 3 month opera contract. The hirer terminated contract thereafter. Termination was not proper since rehearsals not root of contract.
- COMMERCIAL CONTRACT ASSUMPTION TIME OF ESSENCE< IF NOT COMMERCIAL ASSUMPTION TIME IS NOT OF ESSENCE UNLESS OTHERIWSE PROVED.
  - Also take into consideration if it would be practically better to continue the contract or avoid it, if time isn't stipulated to be of essence- like some rare machinery- more time needed for new contractor than just giving an extension etc

APPROPRIATION OF PAYMENTS:

59. Application of payment where debt to be discharged is indicated.—Where a debtor, owing several distinct debts to one person, makes a payment to him, either with express intimation, or under circumstances implying, that the payment is to be applied to the discharge of some particular debt, the payment, if accepted, must be applied accordingly.

- What circumstances:
  - When the amount paid corresponds to only one debt with that amount and on the same due date
  - When the creditor demands some money and the debtor pays it, the money can on;y be appropriated against that debt.
  - In case of interest and principal, first towards interest, then cost if any and then principal

60. Application of payment where debt to be discharged is not indicated.—Where the debtor has omitted to intimate and there are no other circumstances indicating to which debt the payment is to be applied, the creditor may apply it at his discretion to any lawful debt actually due and payable to him from the debtor, whether its recovery is or is not barred by the law in force for the time being as to the limitation of suits.

  - When neither debtor nor circumstance indicates:
  - Even for time-barred debts- these cannot even be enforced in court of law!

61. Application of payment where neither party appropriates.—Where neither party makes any appropriation, the payment shall be applied in discharge of the debts in order of time, whether they are or are not barred by the law in force for the time being as to the limitation of suits. If the debts are of equal standing, the payment shall be applied in discharge of each proportionably.

- Ex: 3 debts of 1000, 2000 and 3000. 1000 debt is the oldest. 500 is received from the debtor. Then use 500 to discharge 1000 debt
- If 1000 and 2000 debts are equal, and 600 is received, then (1/3)=0.3333 200 will be paid against 1000 debt and 400 aginst 2000 debt.

ASSIGNMENT:

- Very important for commercial law, practical areas, enabled u/s 37
- Also type of discharge
- "In many contracts all that is stipulated for is that the work shall be done and the actual hand to do it need not be that of the contracting party himself; the other party, will be bound to accept performance carried out by somebody else. The contracting party, of course, is the only party who remains liable. He cannot assign his liability to a sub-contractor, but his liability in those cases is to see that the work is done, and if it is not properly done, he is liable" (Davies v. Collins)
- Can one party to a contract assign his rights or performance under the contract to a third party?
  - Ex: A owes 500 to B. B owes 500 to C. Can B ask A to pay 500 directly to C? Is yes, then B is assigning his obligation to A.
  - B can do this without C's consent, but C has the right to reject the assignment b/c if the character of A.
    - Thi is the main diff w/ Novation- if b drops out w/ C 'c consent also then it is novation , but if B still remains liable to C and only A's consent is taken, this is assignment
  - EX: DLF is contracted to build a hotel for A co. DLF can assign part of the work for example to an independent contract and DLF need not take A's consent as long as the requirement's of A are fulfilled.
  - CANNOT ASSIGN LIABILITY. Can only assign performance
    - So if A then forgets to pay C after he is assigned the performance, B is still liable to C for breach.
  - ASSIGNMENT itself is another contract and privity comes into the picture. (hence requires consideration,
    - If the assigned party does not do the performance properly, B is liable to pay damages to C. But C cannot file a case against A due to privity.
    - Practically, B will include an indemnity clause in the agreement w/ A such that if C institutes a case against B b/c of A's fault, B can then through this clasue ask to court to make A pay the damages to C instaed of him.
- Assignment is possible until there is some detriment to one of the parties involved.
  - EX: A lends to B w/o security based on trust and confidence. B cannot then entrust this liability to anybody else since A only gave the loan believing B.
  - Personal skill (not professional skill), interpersonal connection, trust and confidence if involved in the transaction, then there can be no assignment of the contract.
  - Ex: like an employment contract cannot be assigned to some third party since the person is chosen based on his credentials, trust in him etc.
  - Assignment also transfers the equities- so if fraud was part of the contract, then the promisee has right to rescind evn against he assignee
  - Notice must be made to a debtor- also secures right of assignee.
- ASSIGNMENT OF RIGHTS:
  - Ex: A due to a sale agreement w/ B has a right to receive 10K. But A instead asks B to pay the amount to one C to whom A owes 10K. This assignment to C to recieve the amount is an assignment of right.
  - Practically, it is advised that C is made a party to the contract so that as a beneficiary to the contract between A and B, he can enforce the contract against B.
  - Unless the right is in nature of personal service
  - Also cannot assign claim for compensation under breach
- **Kemp v. Baerselman**
  - FACTS: A trader in eggs entered into an agreement w/ a bakery to supply eggs for a year. The eggs were to be delivered at 3 different locations and the payment was to be made in bill of exchange. The bakery owner later

converted the bakeries into a company and assigned all the bill of exchanges to the company. The egg trader then refused to deliver eggs to the new company stating that he had agreed to sell eggs to the bakery in a personal capacity and he did not trust the company in the same way.

- ISSUE: Was the egg trader is breach?
- RULE: The court said that no not in breach since the egg trader had agreed to the contract on the personal creditworthiness of the baker and the company was now a new third party. SO the assignment of the liability was improper. It ordered that the baker in his personal capacity pay the egg trader for the deliveries made so far before the company was formed and allowed the egg trader to be discharged from his liability w/ the baker.

Discharge 2: Frustration- Operation of law

Sunday, 4 April 2021 12:23 pm

DOCTRINE OF FRUSTRATION

- Idea of **supervening impossibility** which obstructs parties from performing their promises and the parties cannot control this event a all.
- ★ Only applies to principles of performance- no other part of ICA.
- Defense against breach due to non-performance
- Sec 56:
  - Existing impossibility: Contract to so an impossible act is void ab initio - void while entering- created void- no contract at all so cannot even get frustrated
    - If whne entering the contract one party knew that performance was impossible but promisee did not, then promisor must compensate promisee
  - Subsequent impossibility: Contract to do an act which after it is made becomes impossible to perform due to some event which promisor could not prevent or becomes unlawful and therefore renders it void (not void ab initio since initially contract was perfectly valid under sec 10)
    - Doctrine of frustration only really applies here- since "contract" needs to get frustrated
- "Impossible" meaning act it self becomes impossible due to circumstance- cannot be like a "difficult situation"
- Frustration can be ruled out through clauses in the contract itself- like no refunds for cancelled cricket matches
- Courts initially held that contracts must be performed in any case once it is entered- so no real excuse for frustartion
- Two main grounds:
  1. Physical impossibility of performance (Think Taylor v Caldwell)
  2. Destruction of object of the contract (think Krell v Henry)
- **Paradine v Jane [1647] EWHC KB J5**
  - FACTS: A land was given on lease but subsequently due to enemy aliens taking over the land, the leasee was driven out and could not enjoy the land. Thereafter, the leasee stopped paying the lease and the owner took him to court for breach. Leasee claimed frustration since he could not enjoy the land or perform the contract.
  - RULE: "When the party by his own contract creates a duty, he is bound to make it good, if he may, notwithstanding any accident by inevitable necessity, because he might have provided against it by his contract; though the land be surrounded or gained by the seas, or made barren by . wildfire, yet the lessor will have his whole rent"
- **Taylor v. Caldwell (1863) 3 B&S 826**
  - FACTS: A lady, who had a lovely voice, signed a contract to sing at a performance at a particular theatre hall. But before such performance could occur, the hall burnt down (not fault of either party) and she did not perform consequently
  - ISSUE: Did the lady breach the contract by not performing?
  - RULE: The lady was not the reason for the loss of the performance, the supervening cause of the fire prevented her performance. So bringing in frustration, they said that it was not breach.
    - Began the struggle between the two principles, namely, the principle of sanctity of contract which supports the principle of absolute liability and the principle that a contract be discharged when the **shared contractual assumption** has been destroyed by change of circumstances.
- **Krell v. Henry [1903, CoA] (Coronation case)**
  - FACTS: King was to be coronated and a procession was to be held. People booked balcony of flats overlooking the route of the procession for a day or two to be able to watch it move along. But on the day of the coronation, the king fell ill, leading to the cancelling of the procession. The renters claimed that they need not pay the rent since the very purpose for renting had now been defeated.
  - RULE: The court held that since the purpose of the renting has now vanished, there is no need to pay the rent and the agreement Is rendered void.
    - ★ A particular party who claims frustartion needs to show how the **impossibility goes to the root of the contract**. If this is not proved, frustration cannot be used as a defense.
    - Here the purpose must be something acknowledged by both parties- like the viewing of the procession in this case- and no

other possible purpose can be found from the contract then.

- **Parshotam Das v Municipal Committee, Batala AIR 1949 East Punjab 301**
  - FACTS: The Committee had created certain tonga stands to be used by tonga owners on lease to park their tongas. A person took the tonga stand on lease from the council, thinking that he could pay the lease through renting it out to tonga owners. But eventually, no tonga user used the stand.
  - ISSUE: Could he recover the lease for the year given that no person ever used the stands
  - RULE: Court here ruled that the agreement was void since the very purpose of the contract has been rendered useless and the lack of use was not in control of the Municipal Committee or the person and neither could do anything to drive tonga users to the stands.
- **COMMERCIAL HARDSHIP:**
  - Frustration does not apply to commercial hardship- court will not mitigate biz hardships.
  - Cannot be just b/c of rising cost, no customers, losses etc- not the court's problem as long as the performance can be done
  - They will not grant it as long as options are avaialble- no matter how financial inconvenient
  - Commercial impracticability is still not enough for impossibility. Very exceptional cases equate the two (like where 400% price increase was making procurement of the good impossible, or where party can only perform by taking a loan)
  - The fact the contract is supposed to be performed in a way not expected at the time of entering the contract does NOT frustrate the contract.
  - **Sachindra Nath v Gopal Chandra AIR 1949 Cal 240**
    - FACTS: A person took a restaurant on lease to serve people. AT that time, British military was stationed in the vicinity of the place, and he agreed to pay a higher rent since the troops would visit the restaurant and charge them higher. Subsequently the troops were moved.
    - ISSUE: Whether the higher rent contract is frustrated now since the troops have moved?
    - RULE: Court did not agree w/ the leasee. Rent agreemnt is for the restaurant and this business itself had not stopped b//c the troops have left. The land and the place is still in existence, possession is intact and the owner is willing to lease the location out. So nothing is preventing the leasee from performing the contract. The lower profit or losses has no effect on ability to perform.
  - **Hurnandrai Fulchand v Pragdas Budhsen (1922-23) 50 lA 9**
    - FACTS: A person agreed to sell a certain quantity of dhotis to the other. The dhotis were to be procured from a particualr mill. The contract said that "the seller shall deliver the dhotis to the buyer as and when the same may be received from the mill". The mill was not able to deliver the dhotis to the seller and in turn the seller could not deliver the dhotis to the buyer. Buyer held seller in breach.
    - ISSUE: Should this amount to frustration?
    - RULE: Court in this case said that "as and when" dictates the time of the performance and not the contingent performance of the contract. Therefore it does not make performance impossible. The seller should have procured the required dhotis from some other manufacturer to fulfil the contract. The argument that it should be read as "if and when" would make this a new contract altogether and was not accepted. Alos rejected comparison to Taylor v Caldwell since the agreement b/w P and D was third party to the mills and even the destruction of the mill would not affect their contract.
  - **Ganga Saran v Firm Ram Charan Ram Gopal AIR 1952 SC 9**
    - FACTS: Seller agreed to sell cloth tot he buyer such that "seller should sell the cloth to the buyer as and when the cloth is received from Victoria Mills" . Victoria Mills failed to supply the cloth and seller pleaded frustration.
    - RULE: The court said that the idea of "Victoria Mills" specification is only a qualification to the subject matter of the contract. So even if the mill was not able to perform the contract, the seller should have procured the cloth from some other manufacturer. The seller was held in breach. Again said "as and when" seemed to describe the process rather than express contingency.
  - **Samuel Fitz & Coy Standard Cotton and Silk Weaving Co AIR 1945 Mad 291**
    - FACTS: P placed an order for tapestries and he intended to sell this in the Australian market and made this intention known to the seller as well. When the contract was created, and the seller was about the perform, the Australian govt put a ban on imports of such goods. The buyer cancelled the contract since the purpose of the contract was vitiated and claimed frustartion.
    - RULE: Said no frustartion since the seller could have sold the goods somewhere else. Buyer was till able to buy, seller was still able to sell = no frustration. The contract is not concerned with what happens with the sold goods after the sale.
  - "Disappointed expectations do not lead to frustrated contracts.
  - **Maritime National Fish Ltd. v. Ocean Trawlers [1935] A.C. 524**

- FACTS: A trawler named St. Cuthbert was requested for hire. The fishing company requested for 5 licenses for the trawlers from the Canadian Govt, but only received 3 licenses were received. IN these licenses, they did not name St. Cuthbert as one of the trawlers. The company then pled that the hire of St. Cuthbert was frustrated since these trawlers could only be used for fishing and they no longer had use for it.
- RUKE: The court ruled that though it was true that the trawler could not be used for anything else, the company while naming the licenses could have always named St. Cuthbert as one of the 3 but they chose no to. So self-induced impossibility not frustartion.
  - Also laid down that frustration arises on its own- no action, election by the parties

- TYPES OF FRUSTRATION;
  1. Destruction of subject matter of contract= Taylor v. Caldwell
     - **Howell v. Coupland (1876) 1 QBD 258 (CA)**
       - FACTS: A farmer agreed to sell potatoes grown on his land to the buyer . But due to some disease, the potatoes were infested and the crop was destroyed. The farmer could not sell. The buyer held the seller in breach and the seller claimed frustration.
       - RULE: Court agreed that the contract was to specifically buy the potatoes frown on D's land. And the disease was supervening impossibility which destroyed the subject matter of contract and hence frustration can be claimed. Self-induced impossibility is not frustration.
     - **VL Narasu v. PSV Iyer AIR 1953 Mad 300**
       - FACTS: the wall of cinema hall collapsed, killed 3 people and it became dangerous for entrants to enjoy the hall. Consequently, the license of the hall was temporarily cancelled. The owner of the hall had a contract to show the movie of P's in the hall. P held the owner in frustration.
       - RULE: The court said that the owner has no onus to rebuild the cinema since the license was cancelled and thereofre the owner can choose to take it as slowly as possible to not at all. The owner therefore cannot be held liable for rebuilding the hall.
         - b/c the frustration has already taken over once the wall collapsed and the license was cancelled. So P cannot now compel the owner to deal with the frustration as quickly as possible for his benefit. This is an independent business choice of the owner which neither P nor the court can compel him to do. Also practcially by the time the hall would be rebuilt, the appeal for the movie would have also gone.
     - **Ghee Seng Motor v Ling, (1994) 1 Curr LJ 382 (Malaysia)- fault on part of D= no frustration**
       - FACTS: A ship was carrying cargo and on the voyage the crew members realised the ship was taking in water, the ship started to tilt slightly. The crew members used their own equipment to pump out the water but finally the ship sunk. The shipping company claimed frustartion for delivery of the cargo.
       - RULE: The court said that if there was no intervention by the company, then frustartion would apply. But in this case, the crew mebers were negligent since they realised the ship was taking in water but still they didn't take it to the nearest port to get it repaired whne such a possibility existed. They used inadequate equipment to deal with this emergency whcih was an unnecessary risk. So no frustration here.
     - Bu t in cases where despite destruction of subject matter the object can be achieved (like charterpary but can take another ship), frustartion may not apply
  2. Change in circumstances:
     - Courts are more sceptical here
     - Impossible in "manner and time contemplated" by parties
     - **Parmeshwari Das Mehra v. Ram Chand Om Prakash AIR 1952 Punj 34**
       - FACTS: Quantities of American goods were to be transported in Karachi. The goods were delivered after some delay to the buyer in Karachi and he refused to pay for the goods and so he did not accpet them beacuse if the deal and disparity in quality and quantity as specified in the contract. There was an arbitration clause in the contract which one party invoked. But the other party claimed that the arbitration clause was now frustrated since India and Pakistan had been partitioned and that he could not now travel to Karachi.
       - RULE: The courts said that the arbitration did not require the parties to be physically present and this wasn't necessary for the clasue itself. The post to Karachi was still functional. So the clause was not frustrated even due to change being caused by the partition of a country!
     - **Davis Contractors Ltd. v. Fareham Urban District Council 1956 AC 696**
       - FACTS: A contractor was responsible to construct houses for the council. B/c of bad weather and strikes it took 22 months to complete the contract and the cost also increased. The initial contract was only supposed to take 8 months.

The contractor claimed since he had completed the contract in spite of the bad weather and strikes, under which he **claimed to be discharged** from the contract due to frustration, he was to be paid the actual price of the construction (quantum meruit) and not the price as initially agreed.

- RULE: The court agreed that the factors did affect the performance but did not frustrate it since with more time and resources the contract was able to be fulfilled. Hence frustration fails even though commercial hardship did operate. The contractor would only get the contracted price since the discharge of contract was no longer effectual and the contract stood valid.
  - Quantum meruit means to claim on the basis of actual performance to ensure that there is no unjust enrichment. This can only arise if the contract is frustarted.

- **Alopi Parshad & Sons Ltd v Union of India AIR 1960 SC 588**
- FACTS: P were the agents of D to purchase ghee for army personnel- they were to receive some commission, and contingency expenses, for which some per quantity rate of remuneration was fixed in 1937. While the contract was being performed, WWII broke out. In 1942, the contract was revised mutually but in 1943, P demanded some increases in pricing on the claim that the peacetime prices were superseded by war time prices. No reply was given to this by D.
  - P continued to perform and in 1945 D terminated the contract adn P demanded payment at the revised prices for which letter was sent in 1943
  - There was an arbitration clasue in the agreement whcih was used to settle the issue intially in favour of agents- then appelaed in courts of law, where the award was set aside as the arbitrators gave them quantum meruit rewards by ignoring another clasue in the agreemnet that barred such compensation (since pieces were specified)- award erroneous on face of it.
- RULE: Court upheld this decision to set aside the awards and ruled that since the Ghee was delivered under the contract, the payment would also be as per the contract.
  - *A contract is n**ot frustrated merely because the circumstances in which the contract was made, are altered.***
  - In case of executory type contracts, usually such market changes which are unexpected does not in itself affect the bargain detailed in the contract.
  - *There is no general liberty reserved to the courts to absolve a party from liability to perform his part of the contract, merely because on account of an uncontemplated turn of events, the performance of the contract may become onerous. That is the law both in India and in England, and there is, in our opinion*
  - *Compensation quantum meruit is awarded for work done or services rendered, when the price thereof is not fixed by a contract. For work done or services rendered p**ursuant to the terms of a contract, compensation quantum meruit cannot be awarded where the contract provides for the consideration payable in that beha**lf***
  - *The parties to an executory contract are often faced, in the course of carrying it out, with a turn of events which they did not at all anticipate--a wholly abnormal rise or fall in prices, a sudden depreciation of currency, an unexpected obstacle to execution, or the like. **Yet this does not in itself affect the bargain they have made**. If, on the other hand, a consideration of the terms of the contract, in the light of the circumstances existing when it was made, shows that they **never agreed to be bound in a fundamentally different situation** which has **now unexpectedly emerged,** the contract ceases to bind at that point-not because the court in its discretion thinks it just and reasonable to qualify the terms of the contract, but because on its **true construction it does not apply in that situation**.*
  - Here the fact that the revision had taken place after the event (WWII), and that it was performed made it dubious to claim that it was impossible to perform the contract.
- But if the change is such that the contract would never be contemplated to be preformed in sucha scenario, frustration can be claimed and compensation given : "When an agreement is predicated upon an agreed fact situation, and that situation ceases to exist, the agreement, to that extent, becomes irrelevant or otiose." **Tarapore 8c Co v Cochin Shipyard Ltd (1984) 2 see 680**
- But if contemplatable at time of entering, and that event does occur, no plea available

3. Non-occurence of contemplated event:
   - If the future event does not happen then contract is frustrated- **not contigent event!**
   - EX: Krell v Henry
   - **Herne Bay Steam Boat Co. v. Hutton (1903) 2 KB 683 (CA)**
     - FACTS: For the king's coronation, there was a naval review to occur. One party took a steamboat for 2 days to take paying passengers to see the review and for a cruise around the fleet of the naval ship. The coronation however was cancelled due to the King's illness and the Naval review was also cancelled. D claimed he could not pay the rent for the steamship since the purpose was now defeated.
     - RULE: Allowed performance and rejected plea of frustration. Said boat could be used for any other purpose since people would still be willing to cruise along the river. The boat is therefore not useless.
4. Death or incapacity of parties:
   - Frustration may occur in certain cases

- Where contract deals w/ personal skill and quality of promisor/promisee- so if incapacity death prevent their performance on such basis, then contarct stands frustrated. But where quality does not matter, there is no frustartion.
- **Robinson v. Davison (1984) 2 see 680**
  - FACTS: a lady was an imminent pianist and she agreed with a music hall to play the piano on a specific night. Prior to the performance, her health deteriorated and she was unable to perform. The music hall owner filed for breach.
  - RULE: Says in cases whcih are based on personal skill and qualifications of party, there is an assumption of health, well-being and living existence of those parties whose skill is required for the performance of the contract. The contract was held frustrated owing to the bad health of D.
    - *"The whole contract is based on the **assumption of the continuance of life**, and on the conditions which existed at the time. That **assumption is made by both [parties];** it is really the foundation of the contract. It does not require close reasoning to **prove that if the foundation fails, the whole contract must fail**"*
- **Morgan v Manser, (1948) 1 KB 184**
  - FACTS: A person entered into a 10 year service contract. He said he shall not undertake any professional engagement. During this period, he was requisitioned into the army. After he returned, he engaged with someone else and did not return to the original employer
  - ISSUE: Was there a breach of exclusivity?
  - FACTS: Court said that court had been frustrated the very day D was called in to serve the army. This is b/c by serving the army, this person could no longer serve the employer exclusively as intended by the contract Therefore, on coming back to civil life, the contract was not in force and hence no breach possible now.
- **Storey v Vulham Steel Works Co Ltd, (1907) 24 TLR 89 (CA)**
  - FACTS: 5 year work contract. After 2 years, employee fell ill and could not properly perform his duties. He took a leave of 5 months. Employer terminated the contract within 4 months of his leave. Employee sues for breach. Employer argues that illness and sick leave taken anyway frustrated the contract
  - ISSUE: Said leave of 5 months is not sufficient in a contract of 5 years, so no frustration.
    - Really depends on the work to be done to determine what period is significant such that it hits the heart of the contract
    - So if the work was such that what work to be done in these 5 months would make the remaining work of 55 months futile, or impossible to achieve, then this would amount to frustration.

- Too much frustration would lead to instability in the contractual regime so that's why exercise due caution in judgements.

5. Government, administrative or legislative intervention
   - Authorities may intervene causing the performance to be delayed or change the nature of the contract and the contemplated events as well.
   - **Metropolitan Water Board v Dick Kerr & Co Ltd. 1918 AC 119 (HL)**
     - FACTS: A firm was given the task of building a water tank within 6 months under contract. While the tank was being built, a an army order forced the work to be ceased for some time. The builders claimed frustration.
     - RULE: Said the contract was frustrated since the 6 month period was imperative in this contract- time was of the essence. If the contract is resumed after the army order ceases to be force, then this duration would change and the nature of the contract would be altered and this cannot be allowed. Hence, here the contract was called frustrated.
       - But not all army occupation leads to frustration- depends on the case.
   - **Satyabrata Ghose v. Mugneeram Bangur & Co AIR 1954 SC 44**
   - Discusses idea of frustration in India at much length
     - FACTS: D had placed a scheme for the development for a housing colony (Salt Lake City). P paid the earnest money to D. D had to construct the sewerage and other pipe lines. WWII broke out during this time and the army was stationed on this land and it became impossible to develop the land by D. D claimed frustration
     - RULE: The court found that there was no time limit set for the development of the land (time not of essence) . The contract was moreover entered during the war when requisition was commonplace and difficulties anticipated. Also once the troops had left, there was nothing obstructing D from developing the land. Hence the contract was not frustrated.
   - **Naihati Jute Mills Ltd v Khyaliram Jagannath AIR 1968 SC 522**
     - FACTS: There was agreement for purchase of jute imported from Bangladesh. The import required a license for this purpose. The jute was to be sold in November or December. The buyer said that he would apply for the license in November and if he didn't get he would again apply in December. If even then he did not receive it, he would discharge the contract by paying the difference b/w the contract and market price.
       - His application in November was rejected on the untrue basis that he already had a quantity of jute with him and

hence would not require more
        - In Dec, the rules changed such that an person importing a particular quantity of jute would need to have purchasing order of an equal amount of Indian jute.
        - He claimed frustration.
    - RULE: The court said that frustration depends on the contract clauses itself. If the intention was that the license would be the condition for import, then the contract would be frustrated by this new rule.
        - However, here by agreeing to compensate for any loss if the import could not occur, then this implies that the seller agrees that he should be responsible to compensate in case of breach. Therefore, here there is no frustartion.
        - "*There is **nothing improper or illegal** for a party to take upon himself **an absolute obligation** to obtain a permit or a licence and in such a case **if he took the risk, he must be held bound to his stipulation**.*"
  - **Boothalinga Agencies v V.T.C. Poriaswami Nadar AIR 1969 SC 110**
    - FACTS: Appellant had procured an import license for the chicory. On 26, Nov, he agreed to sell the chicory to the Defendant with some payment in advance. On 7 Dec, the GoI issued a new order which said that the licensee must comply with the conditions under which license was given. A's license strictly prohibited sale of the imported goods. The order was only cleared on Dec 20. Thereafter, A refused to sell the goods claiming frustration.
    - RULE: The court ruled that since the shipment was cleared post the order, the order was applicable and made the contract void thereafter. The respondent argued that the appellant could procure chicory from the open market to fulfill the sale and hence this was a case of self-frustartion but the court rejected this since the order specifically mentioned a description of the chicory. Hence contract held to be frustrated.
        - ★ Description v. quality of good: heart of sale of good contracts. You have to deliver the goods w/ same description. Look at what the intention of the buyer was.
            - Description: technicalities like texture, weight, grades, material, dimensions
            - Quality: is more subjective
6. Intervention of war: iD some alternatives left open, should use them to fulfil the contract, irrespective of extra cost,time
  - **Tsakiorglou & Co Ltd v. Noblee & Thorl GMBH 1962 AC 93**
    - FACTS: There was an agreement to sell a quantity of groundnuts from Sudan to Hamburg. Generally such shipment goes through the Suez Canal. There was a war which broke out and the canal was obstructed for a period of time during whcih the contract was to be performed. The seller claimed frustration.
    - RULE: The court asked if there was an alternative route a pointed out the route through the cape of Good Hope. Hence it was not impossible and no frustration.
        - Said would not consider the commercial cost of taking the longer route!
  - **Twentsche Overseas Trading Co Ltd v Uganda Sugar Factory Ltd. AIR 1945 PC 144**
    - FACTS: There was agreement to purchase "Krupps" steel rails. The company claimed that the steel rail was only to be manufactured by one German company. However, since WWII broke out and Germany became an enemy territory, no trade could occur.
    - RULE: Here the court applied the same logic- that the "Krupp" rail meant that it qualified the quality of the steel rails, so should have procured the rails from a firm that produces a simialr quality and fulfilled the contract. Here importantly, Krupps was only a quality, not a supllier- could ahve taken from other sources not in Germany
- Essentially difficult plea to satisfy the court with but this is with reason to ensure that parties respect their promises and cannot just plead frustration for every little mishap.
- **Frustration is an all or none plea/defense- it either pushes you to perform (like in Satyabrata) or be found in breach or be completely discharged from your obligation- extreme outcomes.**
  - Has to be 100% sure that clause doesn't allow performance in anyway
  - Have to be 100% no other alternative is available as per the conditions of the contract
  - Strongest cases are where the subject matter is destroyed but this is also qualified by alternates (like the coronation cruise case)
- FRUSTRATION OPERATES AUTOMATICALLY:
  - No need to look at intention of parties
  - **HR & S. Sainsbury Ltd. v. Street**
    - FACTS: Agreement to sell 275 tons of barley to a company. But the land of the farmer could only cultivate 140 ton and farmer claimed frustartion. The farmer consequently sold the entire 140 tons to a third party. P held the farmer in breach.
    - RULE: The court said that the farmer was clearly in frustration for the part not cultivated. But cannot claim frustartion for 140 tons actually cultivated. Could have easily sold this part to the company. So held in breach for the amount cultivated.

IMPACT OF FRUSTRATION- RESTITUTION:

- Sometimes benefits have flown between parties before frustration was claimed and allowed by the court
- r/w s 65: **Obligation of person who has received advantage under void agreement, or contract that becomes void.—When an agreement is discovered to be void, or when a contract becomes void, any person who has received any advantage under such agreement or contract is bound to restore it, or to make compensation for it to the person from whom he received it**
- ***This is called remedy of restitution***- restores parties to condition as if the contract had never existed.
  - Compensation: only when thing itself cannot be restored.
  - Cannot be made to compensate expected profits (see illustration)
  - Does not apply where parties knew the contract to be void from its inception

1. Discovered to be void: in cases where the agreement was void ab initio but was discovered by parties later on
   - In another case, the govt made a payment to a contractor but the contract was not made in accordance to art 299 and 300 of Consti (required for valid govt contracts). SO the Odisha HC allowed the govt to recover the amount through restitution once the void nature was discovered.

- **Doctrine of PARI DELICTO:**
  - If parties enter into an illegal (when object or consideration are illegal) contract and both parties are equally to be blamed for entering the contract, then the court will not allow restitution- since both parties are equally culpable.
    - If the court determines their rights in such cases, it would mean that the court is enforcing something void which is not possible
    - "The principle behind the doctrine of pari delicto is that where each party is equally at fault, the law favours him who is actually in possession, or that where both parties are equally culpable, the law will leave them where it finds them and will not engage itself to determine the rights as between them."
    - EXCEPTION 1: when a party is weaker than the other, due to poor know-how: like a woman w/ no idea of insurance enters an illegal insurance contract
    - EXCEPTION 2: When the illegal thing has not been done in the contract yet- still executory
- **Jagdish Prasad Pannalal v. Produce Exchange Corporation. [1945, Cal.]**
  - FACTS: Agreement to sell maize starch at the rate of Rs.77/ Quintal. The price ceiling for this was Rs.78. The goods were delivered on 3 Jan and paid at Rs.77 A govt notification, effective from Jan 1 reduced the ceiling to Rs.48. The buyer found this and demanded that he be repaid for the difference.
  - RULE: the court said that in this case the contract became void once the notification became effective, but still on Jan 3 the contract was performed. Therefore, the obligation of the parties was discharged and now frustartion could not be pled. So sec 65 does not apply.
    - For sec 65, the advantage must have flowed before the contract became void or was discovered to be void. Only then can the court require the things so exchanged to be restored.
    - Mainly b/c anything that flows after the contract become void or is discovered so is not done under contract so the court cannot enforce anything.

2. Becomes void: was initially valid, something like frustration has now made it void
   - Any benefits which have been passed under the contract from one party to other must be restored. This is subject to the expenses which have already been incurred by the other party in the performance of the contract

Discharge 3: Mutual Agreement

- [ ] Can you have lack of free consent as a contractual cause in case of novation

Friday, 2 April 2021 3:19 pm

DISCHARGE: (from s 30-75)

1. Performance
2. By operation of law- frustration
3. By mutual agreement to discharge
4. Breach

62. Effect of novation, rescission, and alteration of contract.—If the parties to a contract agree to substitute a new contract for it, or to rescind or alter it, the original contract, need not be performed.

CAN BE DONE THROUGH:

- Discharge by Agreement:
  - (1) Novation: when both parties agree to replace an old agreement with a new agreement- whole character of the document changes
  - (2) Remission: when one party reduces obligation of other party- either by time, amount etc- relaxes obligation
  - (3) Alteration: when parties change the terms of contract
    - Can amount to novation if changes the entire charcter of a contract is - like changing the amount loaned in a loan agreemnt is its novation
  - (4) Accord & Satisfaction: once contract has been breached, the wronged party can enter into an agreement such that the other party agrees to perform in exchange for no suit for damages

I. NOVATION:

- WAYS:
  - i. Substituting one old party with another- b/c as seen from Fraud discussion, identity of party is very imp.
    - **Illustration a) A owes money to B under a contract. It is agreed between A, B and C that B shall thenceforth accept C as his debtor, instead of A. The old debt of A to B is at an end, and a new debt from C to B has been contracted.**
      - Here assignment amounts to novation once the contract is changed to replace the assignee with the original party. Then the assignment will no longer be called such and will only be novation. C accepting A is the difference here
      - Consideration for novation is the provision of discharge itself- hence can be no unilateral change
  - ii. Substituting old obligations under OG contract w/ new obligations under new contract
    - **Nagendra Kumar Brigeraj Singh v. Hindustan Salts:**
      - FACTS: A person applied and was employed against an ad in the newspaper. Once he started working, the pay scale offered to him was lower than advertised but he accepted the payment. He sued later for this lower pay.
      - RULE: Court said that accepting the lower payment, he has relieved the employer from paying him the higher pay scale by accepting the lower payment. The contract therefore stood novated
        - Here the appointment came w/ the condition of lower pay scale. So it must be seen if this was really a novation or a counter offer
        - If the ad was general offer like carbolic smoke ball, then the persons application is accpetance and there exists a contract before appointment changes salary
        - But of the ad was invitation, the appointment letter itself is acceptance w/ changed terms so would be counter-offer and not novation
    - **Manohur Koyal v. Thakurdas Naskar ILR (1887-88) 15 Cal 319- novation must occur during the subsistence of contract**
      - FACTS: There was a bond of 1173 to be repaid for which the due date had lapsed. The beneficiary of the bond entered into a new agreement with the debtor to repay 400 initially adn 700 after some time. The debtor didn't pay then either. The creditor then filed a suit udner the old bond

        - RULE: the court held that the parties can sue under the old bond here since the ne contact was not a novation being done after the old contact had lapsed through breach. Now that the new contract was also breached, there was nothing wrong in suing under the old bond contract.
    - Must be an enforceable new contract during the currency of the old contract to amount to novation and

II. ALTERATION:
    - **Build India Construction System v Union of India, (2002) 5 SCC 433**
        - FACTS: there was a contract w/ an arbitartion clause. The Govt added a term in the clause that the award needs to be reasoned, without the consent of the other party. An award was given and govt wanted a reason
        - RULE: Held that a unilateral alteration is no alteration. Must be w/ consent of other party
    - Here no new contract, only terms changed plus parties remain the same in all cases

III. RECESSION:
    - Nothing new is brought to the table
    - Just agree to recede from the contract- sec 64

IV. REMESSION
    - **63. Promisee may dispense with or remit performance of promisee.—Every promisee may dispense with or remit, wholly or in part, the performance of the promisee made to him, or may extend the time for such performance ,or may accept instead of it any satisfaction which he thinks fit.**
    - This is different from English law like Beares v. Foakes where acceptacne of lower amount is seen as w/o consideration and hence unenforceable.
        - **Kapurchand Godha v Mir Natvab Himayatalikhan Azamja AIR 1963 SC 250**: accepted 20L instaed of 27L ad hence 7l extra not recoverable
    - In India, the discharge is assumed as consideration: the point on which Section 63 differs from the English law is that it does not require consideration to support a release while under English law a release without consideration is a nudum pactum
        - That's why remission may also occur after initial contract is breached
    - WAIVER:
        - The principle of waiver is simply this: If one party, by his conduct, leads another to believe that strict rights arising under the contract will not be insisted upon, intending that the other should act on that belief, and he does act on it, then the first party will not afterwards be allowed to insist on the strict legal rights when it would be inequitable for him to do so. There may be no consideration moving from him who benefits by the waiver. There may be no detriment to him by acting on it. There may be nothing in writing. Nevertheless, the one who waives his strict rights cannot afterwards insist on them. His strict rights are at any rate suspended so long as the waiver lasts. He may, on occasion be able to revert to his strict legal rights for the future by giving reasonable notice in that behalf, or otherwise making it plain by his conduct that he will there after insist upon them. But there are cases where no withdrawal is possible. It may be too late to withdraw; or it cannot be done without injustice to the other party. In that case he is bound by his waiver. He will not be allowed to revert to his strict legal rights. He can only enforce them subject to the waiver he has made
        - **Charles Rickards Ltd. Oppenhiem [1950, CoA]**
            - FACTS: There was an agreement to procure a chassis to build a car on it and time was of essence. The person contracted to build this was not an expert and therefore contracted it to someone else. There were delays which the promisor excused first. Later on he sent a notice stating that if he did not receive the car in 4 weeks he could accept it. The car was delivered in 3 months and he refused its delivery. The maker sued for breach on the grounds that by giving liberal extensions, D had waived his right to delivery w/ time of essence and hence was now bound to accept the delayed delivery
            - RULE: Court agreed w/ P but state that the later notice revived D's right to timely delivery by specifying the delivery period. So time was again of essence to contract and D was not bound to accept. So waiver can be revived by notice.
        - **M. Sham Singh v. State of Mysore AIR 1972 SC 2440**
            - FACTS: Appellant had agreed to a bond agreement with the Mysore govt for funding his foreign education

in 1947. The terms of this contract contained a clause that after his studies, on his return to the state the scholar is required to render services to the State govt for at least 5 years. This right was waived if no such employment is procured for the scholar within 6 months of his return. If the scholar did not serve, he was liable to repay the full monies granted to him by the state along w/ 9% interest. In 1949, the embassy requested the govt on D's behalf to extend his study for a period of one year starting sep 30, 1949 on his own expense to gain practical training. The govt agreed. In July 1950, D returned to India due to the ill-health of his mother. He requested in Nov 1950 that he be allowed to return to the US to finish his training which had been interrupted. He also assured the govt that he would fulfil his service. D then left India Feb 1951 and never returned to the state to fulfil his obligation and the state sued for the amount of 40K + interest paid for his education.

- D pled that having arrived in India in June 1950, the period during which the govt should ahve allocated him a job expired in Jan 1951. Therefore, their right was waived and the contract ceased. The consequent allowance of D's return on the promise of service was without consideration and unenforceable.

- RULE: The court agreed with the HC in stating that D's return to Bangalore was not for good and nowhere did he indicate that he was looking for employment. By his request for the 1 year extension in Nov 1950 which the govt then accepted, the contract had been mutually extended by that period. In this request too he had acknowledged his obligation of service. So there was no waiver and D was held in breach.

V. ACCORD AND SATISFACTION:

- There is already breach. They come into a new agreemnt where the breaching party agrees to do some performance in exchange for consideration of letting go damages /suit.
  - If the accord is also breached then can go ahead and file
  - If accord is performed, no further remedy is available.
- **Snow View Properties Ltd v Punjab &C Sind Bank. AIR 2010 Cal 94.**
  - FACTS: The bank launched recovery proceedings against the borrower but compromised it if the borrower paid a certain sum of money. The borrower accepted it and paid the amount. The claim of the bank ended by accord and satisfaction.
  - RULE: The bank was required by the court to return to the borrower his mortgage and hypothecation documents.
- This is not a compromise decree where the court enforces the new compromise terms after a suit is filed.

67. Effect of neglect of promisee to afford promisor reasonable facilities for performance.—If any promisee neglects or refuses to afford the promisor reasonable facilities for the performance of his promise, the promisor is excused by such neglect or refusal as to any non-performavnce caused thereby.

- **Ellon v. Topp (1851) 6 Ex 424**
  - FACTS: A person through contract had appointed his son to a master involved in 3 different types of trades, with the intent that the son learns all the three trades. After the son was put under the apprenticeship of the master, the master gave up one of his trades. Thereafter the father withdrew from the apprenticeship. Master sued for breach
  - RULE: Court said no breach here since the master had a duty under this contract to ensure that he continued all 3 trades. B/c the master has now renounced one of his trades then, he makes it impossible to perform the contract and therefore there is no breach.

Discharge 4: Breach

Sunday, 4 April 2021 12:21 pm

BREACH: A particular party either renounces its obligation or makes it impossible for itself to perform the contract.

- Breach was a mode of discharge till 2018 but after an amendment to the Specific Relief Act specific performance is a the primary remedy allowed.
- 2 kinds:

1. At the date of performance: PRESENT BREACH
2. Before the date of performance: Anticipatory breach- anticipating that oneself would not be able to perform the contract as required on the date and communicating this to the other party
   - ANTICIPATORY BREACH:
     - The communication is made through a notice of repudiation to the other party.
     - Notice of repudiation must be sent by the party himself or through agents.
     - The other party is not obligated to accept this repudiation. Can still go ahead w/ the contract and request performance anyway. Just waiting also signifies lack of acceptance of repudiation (**Vitol S.A. VNorelfLtd, 1996 AC 800)**
     - Notice of repudiation can be revoked before its acceptance.
       1) If the performance occurs, no breach
       2) If performance still doesn't occur, then leads to present breach and can file for damages
          - Here benefit of any happening or extra damage while waiting can be claimed for breach as well
     - Or alternatively, they can accept the breach- contract comes to an end and parties are discharged from their obligations
       - Acceptance of repudiation must be made in clear and explanatory terms or conduct like filing a case.
       - The suffering party then can go to court and file for damages
       - Here the breach occurs on day of acceptance
     - Damages will be calculated:
       - If repudiation accepted : upto date of repudiation
       - If repudiation not accepted but no performace: upto date of performance
   - **Hoechester v. De La Tour QB (1853) 2 Ellis and Blackburn 678**
     - FACTS: A courier was accepted to a party to assist them in their tour. A few months of before their tour, the travelling party sent him a letter stating that they could not travel to the intended destination and hence his services would not be required. The tour guide immediately went to court and filed for damages for breach. The travelling party pled that they had not yet breached the contract and there was still a possibility that they could perform.
     - RULE: The court did not agree D's plea. They ruled that by sending the notice they had made up their mind that they would breach the contract. If they really believed that there was a possibility of performance, they would not have sent such a notice. So the party can immediately sue for the breach, even if actual breach has not yet occured once the repudiation is accepted.
   - **Frost v. Knight (1872)LR7Exchlll: (also for contingent contracts)**
     - FACTS: D agree d to marry P on the detah of his father. D then announced his inetnion to not marry P even though his father was still alive. P filed for breach damages
     - RULE: Using De la Tour said that contingency need not happen for breach on repudiation to be claimed
   - **Fercometal v. Mediterranian shipping co. 1989 AC 788 (HL**
     - FACTS: A person was required to load the cargo on a ship. A month before performance, the ship owner informed that he would not be able to reach the port. The person did not accpet this repudiation and chose to keep the contract alive. The ship captain then performed and arrived at the required port but the person did not show up. The ship captain sued for damages on breach.

        - RULE: Court allowed the breach and damages
    - **Avery v. Bowden (1855) 5 E 6cB714 (Frustration or breach)**
        - FACTS: A party was contracted to load the cargo on the ship and told the ship captain that they could not perform beacuse of insufficiency of cargo. The ship captain still stayed and said he would remain at the port till the date of performance. Before this date arrived a war broke out and loading the cargo became illegal. The shipping captain claimed damages for breach
        - RULE: Court ruled that the party had informed the captain of their repudiation but he did not accpet it at that time allowing the contract to continue. Now when the war broke out, the consequent illegality of the object frustrated the contract and discharged both parties from their obligations. Hence there is no breach.

WHAT AMOUNTS TO REPUDIATION?

- When goes to root of contract, amounts to breach
- Here reach happens due to irregular act- so repudiation is no by notice but some act which amounts to the same thing
- **Maple Flock Co. Ltd. V. Universal Furnitures (Wembley) Ltd, (1934) 1KB148 (CA).**
    - FACTS: 16 installments of a good were to be delivered under the contract. 15 had already been delivered but the 16th delivery included a slightly lower quality of the good. The buyer sued for breach.
    - RULE: Court held no breach since most of the performance had been done as required and the inferiority was only slight.
    - **Test for breach of deliverables in installments:**
        i. The proportion/ratio the failure bears to the whole contract – one missed delivery out of twenty might not suggest repudiation whereas one out of three very well might;
        ii. The likelihood of a failure recurring.

- INDIAN ANTICIPATORY BREACH:
    - **Sec 39: gives party chance ("may") to not perform in entirety and received can accept or through signification allow the contract to continue.**
    - The contract is voidable since the party can here repudiate the contract but unlike in the case of lack of free of consent here the remedy is different. Therefore, voidability is not dependent on the remedy availble but the option available to him.
    - Partial repudiation is not enough to make the contract voidable at the option of the aggrieved party however
    - Partial failure going to root:
        - **Juggilal Kamplapat Mills v. Pratpmal Rameshwar (1978) 1 SCC 69**

            FACTS: There was a contract for the sale of B Twill and Hessian deliverable in the months of April, May and June. April and May quota of B Twill and April quota of Hessian were delivered and they were accepted and paid for by the buyer. For the rest, the sellers sent to the buyers delivery orders on certain mills asking them to take goods directly from the mills. The orders reached the buyers through the hands of several middlemen. They contained conditions different from the contract and required the buyer to take goods subject to the conditions imposed by the mills. The buyer refused to accept.

            RULE: Court said that the communication to collect from the mill changed the nature of the contract and this amounted to breach, considering the ratio of the contract yet to be performed.
- REMEDY:
    - Since acts like a recession, Sec 64 will apply to restore any benefit, even though can also claim damages
    - **Muralidhar Chatterjee v. International Film Co. Ltd. (1943) 56 LW 283:**
        - FACTS: P entered into a contract w/ D . D was to create and show a cinematographic film to P and P was to pay Rs.2000. After sometime, P was to return the film and then another film could be let for Rs. 2000. The film company initially gave one film which P found to have defects after paying for it. P then asked for the second film with another payment but the film company did not receive the film. P notified D that the contract dealings would be stopped. P sued for remedy of restitution of the 4000 paid and damages.
        - ISSUE: Can damages be paid for breach
        - RULE: Court ruled that although sec 64 only provides for restitution for voidable contracts, there is no provision that

damages cannot be given. Damages and restitution are different remedies w/ different purposes- damages are paid for losses suffered. So both can be claimed together. D here still has right to cliam damages aginst p (most likely under s 75)

- Concept of void and voidability are concerned w/ both creation and performance of contract- so be careful here.

Damages

Tuesday, 6 April 2021 11:39 am

- Purpose of a remedy is to **create an indifference.**
  - Basically to fill the gap between an ideal situation and the current situation due to breach of a legal duty.
  - **Both can only be allowed in the case if anticipatory breach since there sec 64 comes into the picture- for present breach only damage is given,**
  - So if the gap requires that the suffering party is restored to 2 different positions- one w/o contract and one w/ the contract being performed duly then the court will do that- that's why restitution and damages can both be allowed.
- **RESTITUTION**- given in case of voidable and void agreements where consideration has been supplied.
  - Has an effect of restoring the parties into a position in which they would have been if the contract **would not have been created at all.**
- **DAMAGES**: for losses due to breach
  - Have an intent of pushing the suffering party into a position as if the **contract would have been performed duly.**
  - So makes good losses of non-performance
  - The very fact that breach occured, irrespective of material losses of such breach is sufficient to claim damage sometimes
- Onus on party to prove that losses were suffered.

MEAUSRE OF DAMAGES:

- **Robinson v. Harman (1848) 18 LJ Ex 202.**
  - FACTS: D agreed to lease land for 21 years to P w/ lease rent 110 pounds per year. In breach of contract, D could not lease out the land since it was vested in his trustees and he had no right to lease it. P filed a suit claiming that alternative land should he take would put him in an additional loss of 200 pounds (including lease + docu prep+ court fees) over 21 years since this contract was given to him w/ a bargain. On the other hand D alleged that only the amount paid to prepare documents.
  - RULE: Purpose of Damages: to restore the suffering party into a position, as far as money can do it, in which it would have been **if the contract would have been duly performed-** called **Robinson v. Harman principle**
    - That means in this case that P would pay much lesser as rent comapred to his situation now. So entitled to 200 pounds.

REINSTATEMENT OR COST OF CURE:

- **Radford v. DeFroberville (1977) 1 WLR 1262**
  - FACTS: P had a piece of land on which he had constructed a house such that one side of the land had a house and the other side had a garden. He sold the garden to a lady. To maintain privacy, the lady was to construct an aesthetic wall between her house to be built and that of P. In breach, the lady did not construct the wall and the lady sold the house to a third party without the covenant of the wall being included. P filed a suit against the lady, stating that he wanted damages for the construction of the wall.
  - RULE: the value of the property was seen as unchanging w/ or w/o the wall. So there was no monetary loss suffered by P. But the purpose of the wall was functional and to allow privacy.
    - That's using the Robinson principle, the court allowed P to recover the amount for the wall to allow the functionality to be enforced.
    - Here it could be eccentric, commercial or aesthetic but functional at the core.
    - Rejected cost of cure but granted cost of reinstatement of the wall of 3000 pounds.
- **Ruxley Electronics and Construction Ltd v Forsyth, 1996 AC 34**
  - FACTS: Person entered into contract for building a swimming pool in his house. The swimming pool was to be made in a fashion that the deepest end would be 7 ft 6 inches. However due to some engineering defect the pool was only 6 ft deep. P sought damages for destroying the pool and getting the sufficient money to build another pool.
    - Trial judge said that the pool whether 6 ft or as P wanted was safe to dive in and hence the shortfall has not reduced the value of the pool. The only practical way to achieve what P wanted was to award him 21,500 pounds and this was disproportionate to the increased benefit P would get if the pool is destroyed and rebuilt.

There was evidence that P was not interested in rebuilding
    - CoA overturned the trail judge
  - RULE: HoL restated Robinson principle. Therefore necessary to see what loss P had suffered, if no loss, nominal damages can be awarded
  - For reinstatement, must consider:
    i. Not **appropriate if expenditure is out of all proportions** to the benefit derived out of the actual thing sought- reasonable proportionality test. If disproportionate no reinstatement
    ii. And if the reasonability is not met, then court will **grant difference of value as cost of cure** and if none then nominal damages.
    - Intention of party also matter to some extent. Here there was proof that P was not going to rebuild the pool in most probabilities so unjust to ask D to pay.
    - Denied reinstatement and only gave cost of cure- difference of value of property b/w the two pool lengths- here being 0, nominal damages were awarded
    - Here there is no functional aspect at all- just eccentric or aesthetic so this judegement does not overrule Radford's case- so differentiated.
- **Golden Strait Corporation. v. Nippon Yessun Kushika Kaisha, [2007] UKHL 12 The Golden Victory (The Golden Victory Case) [2007]**
  - Charterparty: A charter, intending to transport goods, enters into an agreement w/ a shipowner to transport the goods
  - FACTS: Charterparty was entered for 7 years and after 3 years D repudiated the transaction. The terms of the charter party said that in case the Gulf war breaks out during the charterparty, then both parties are discharged of their obligations under the contract. But after 15 months of the repudiation, the Gulf war broke out.
  - ISSUE: Whether damages would be paid for the remaining 4 years or the remaining 15 months after the war began.
  - RULE: Following Robinson, the court said that the contract would have only 15 months more of performance if the contract had been continued with. So damages granted only for 15 months.
    - Dissenting opinion said that 4 years should be given since on the date of repudiation and suit they did not know that that the Gulf war would break out in 15 months so at the time 4 years would have been contemplated.
    - One of the questions that arose was that following the Robinson principle in this case would create uncertainty in awarding damages where contracts had such specific clauses
    - Certainty in commercial world is a value while Robinson is a principle of commercial transactions. Principles trump values since specifically deals w/ a contractual scenario and does not deal w/abstracts.
- The summary of these 3 cases is that damages restore parties to a place where the contract is duly performed- not more not less.

CAUSATION: PRINCIPLES OF LIMITING ROBINSON PRINCIPLEs

- Bar on Robinson and Davison principle-Principle of Remoteness
- So reading the two pricniples together we get, the damages as far as money can do
  - **Hadley v. Baxendale (1854) 9 Exch 341 Principle of remoteness**
    - FACTS: Party owned a flour mill in which the machine's crank shaft was broken and need repairs. They went to a courier and asked him to carry the shaft to Greenwich where a company of engineers could replicate the shaft. The delivery was to happen the next day but it was delayed. During the delay, the mill was shut down for 5 days, and suffered many losses. The mill filed against the courier co due to this delay and claimed damages.
    - RULE: The court asked if the courier knew that the shaft would could the mill to shut down even though they knew it was imp. It was likely the courier imagined that there was more than one machine, a spare shaft etc. The mill owner should have expressed this to the courier.
      - Said damages for the mill being shut were not contemplatable at the time the contract was entered into- too remote.
      - 2 prong test: Damages can only be granted:
      i. For those heads/losses which arise naturally in regular course of things as a result of the breach- test of general knowledge. (Reasonable contemplation + w/o special knowledge)- general damages

ii. In case the damages are do not arise in the usual course of things then the damages will be granted for those things which are in **reasonable contemplation of parties or special knowledge** of the parties. (reasonable contemplation + special knowledge)- special damages
    - So if no special knowledge given, then only natural reasonable consequences will be considered.
    - Time of essence is imp here since breach can only be claimed there
    - But time may be of essence for many reasons- only the specifically informed reasons can be claimed or those which are reasonably contemplatable as a consequence of time of being of the essence.
    - Depending on the heads claimed, both tests can be sued to claim damage
  - Victoria Laundries: ordered boiler with dual prupose of (1) expansion and (2) fulfilling a govt contract.
    - Court here ruled that while expansion could have been reaosnable inferred, the govt contract required special knowledge which was not given to D. So no compensation for it

- **73.Compensation for loss or damage caused by breach of contract.—When a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach, or which the parties knew, when they made the contract, to be likely to result from the breach of it.**
  - Same test as Hadley.- objective reasonable man for gernal damages and sepcial contemplatable and known circumsatnces for sepcial damages
- **Such compensation is not to be given for any remote and indirect loss or damage sustained by reason of the breach.**
  - "Remote" here means the same thing as the Hadley case.
  - Madras Railway Co. v. Govinda Rau [1898, Mad.]
    - FACTS: A tailor delivered a sewing machine and cloth to a railway company where he was going to resale the items at a higher price during a festival. The delivery was delayed beyond the festival. The tailor claimed damages for travelling, loss of staying there and loss of profit.
    - RULE: Here the case of the festival was a very special fact and every head claimed is related to this fact. Should have specifically informed the railway co of the event. So no damages becasue of remoteness.
- Principle of directness/ Limitation of intervening cause:
  - Only those losses that directly emanate from the breach, damages will be granted- not otherwise.
  - Not indirectly related- so if intervening cause, no relief
  - Quinn v. Burch Bros. [1966] EWCA Civ J0308-1
    - FACTS: A person was engaged in the business of construction, painting which required a ladder. His ladder was broken and he gave it to a contractor for repair. The contractor did not repair it in time. Meanwhile the person used an unfitted trestle scaffolding from which he fell and injured himself. He filed a case for damages against the contractor, including for the injury.
    - RULE: Court said breach of contract cannot remedy the injury since it was his own act. The breach of contract (not repairing as required) and the fall was intervened by the plaintiff by using the trestle voluntarily. So fall not a direct consequence of breach.
  - Breach -> use of unsuited equipment -> injury- causation chain broken by own act
  - Here however damages for the loss of business would be given since here it is known that the ladder was needed for his everyday work- so not remote.
    - Sometimes there is a weird overlap w/ remoteness- so if the intervening cause was contemplatable (a remoteness term), then damages can be given.
  - Limitation of Mitigation
  - Court will ask if P had an opportunity to reduce or avoid the breach and if it was considered
  - Court will construe damages as if P had taken recourse to such alternatives-
    - EX: A was to buy from B 100 bales of cotton at Rs.100/bale. The market price is 120/bale. B breaches the contract. If A then does nothing to fulfil his cotton needs and claims full damages for his factory not working, the court will not accpet this.
      - A should have procured the bales from the market. Then the extra burden of 20/bale would have been compensated by the court through dmaages. So here the claim for full damages will be denied and only this mitigating damages of 20/bale for 100 bales = 2000 will be granted anyway.

- **Value of alternative as on the date of breach! So market price also means in the place where the goods would actually be expected to be sold or used or whatever if the contract was duly performed**
- **British Westing House v. Underground Electric Railway Co. 1912 AC 673,**
  - FACTS: D had asked P to repair turbines for production of electrics. The turbines were not repaired to the satisfaction of D. Consequently D purchased new turbines from the market and these were more efficient than the old turbines even if they had been duly repaired. D had not paid any money to P for the repairs done and P sued. D also claimed damages from P for the improper repair and buying new turbines.
  - ISSUE: Whether in calculating damages for D, the extra benefit derived from the new efficient turbines will be deducted from the loss suffered due to procuring them and improper repair of old turbines
  - RULE: Court said yes, since this mitigated the actual impact of the breach of contract so the quantum can be deducted.
- **Brace v. Calder (1895) 2 QB253**
  - FACTS: A partnership firm had appointed a manager for a period of time. Before the expiry of such time, the firm was dissolved and the mangers' services were hence to be prematurely terminated. Immediately after the dissolution of the firm, 2 of the old partners formed a new firm. They offered the same job to the manager witht the exact same salary, perks and benefits as offered earlier which the manager refused. The manager then sued for breach of contract and claimed damages for termination
  - RULE: Court said that manager had an opportunity to mitigate all his losses by taking the offer from the new firm with the exact same job. But the manager chose not to mitigate the loss. So court did not allow any plea for damages sicne the mitigating option would have compleetly removed an loss he suffered.
    - THERE IS A DUTY TO MITIGATE LOSSES
    - He can seek damages here for the interval between the dissolving of the firm and the new offer
    - Here court could alos consider if P had gotten a job with a lower salary, then the difference would be compensated.

Specific Performance

Saturday, 10 April 2021 11:44 am

- P will plead to Court to require D to perform the contract as decided between the parties.
- Usually it used to be claimed only in cases where damages will not compensate, when performance has some emotional/personal value, cannot ascertain damages, aesthetic value
    - EX: Buying a rare item but then the seller breaches. Here the rareness cannot be calculated so speciifc performance is better
    - EX: Falcke v. Gray Falcke v Gray, (1859) 4 Drew 651:
    - Similarly w/ immoveable property transactions, specific performance is preferred since other than value, many other aspects are considered like aesthetic value
- 2018 Speciifc Releif Act, 1963 amendment now makes speciifc performance an ordinary remedy and can be sought as an alternative to damages, even when damages can be computed.
    - Claim of damages means that P considers that the contract has now been discharged and hence only wnats to be compensated
    - If claims specific performance means that P believes that the contract is still continuing and hence both parties are required to perform their obligations under the contract.
- Sec 21 of Specific Releif Act allows that in some cases even specific performance does not compensate the losses completely so damages may be given w / SP in special cases.

Tutorial 1: 68-72

Prachi Tripathi

Thursday, 4 February 2021 1:01 pm

- AGREEMENT:
  - Consent is the essence of every agreement since this is what binds people to the contract
  - Consent can be given express or implied
  - Implied contracts: expressed by conduct
    - Hidden under layers of conduct
    - So not expressing dissent to something is implied consent
    - Sec 9: Promises, express and implied.—In so far as the proposal or acceptance of any promise is made in words, the promise is said to be express. In so far as such proposal or acceptance is made otherwise than in words, the promise is said to be implied.
    - **Haji Mohammed Ishaq Md. Sk. ... vs Mohamed Iqbal & Mohamed Ali & Ors**
    - FACTS: A person A was a go-between person and the P sent D goods on his own initiative. D paid only partly for the goods and didn't object to the delivery or the price.
    - RULE: court said that contract in law was reached even though it was implied and D was hence bound to pay the balance
- QUASI-CONTRACT:
  - Consent is not present at all but imputed through a fiction of law.
  - The imputation is through JGE
  - Based on theory of unjust enrichment:
    - Law and justice try to prevent unjust enrichment- where one is enriched at the cost/expense of another
  - Ex: A paid B for some debt but losing track pays B again . Court can order B to repay A to prevent unjust enrichment since B is morally obligated to return the amount which he is not entitled to receive.

Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd

  - FACTS: A some of money was paid in advance for some contract. But the supply of the machinery was obstructed due to war whcih is a supervening cause.
  - RULE: The court allowed the advance to be received back to prevent unjust enrichment
    - Lord Wright "It is clear that any civilized system of law is bound to provide remedies for cases of what has been called unjust enrichment or unjust benefit, that is to prevent a man from retaining the money of or some benefit derived from another which **it is against conscience that he should keep**."

  - Chapter 5: OF CERTAIN RELATIONS RESEMBLING THOSE CREATED BY CONTRACT
    - Not called unjust enrichment
    - Sec 68: Supply of necessaries: whenever **necessities** are supplied by one person to another who is legally incompetent the supplier is entitled to be reimbursed from the person's property.
      - Or if it is any one whom the incompetent person is legally bound to support
      - Right to be reimbursed can be waived
      - Necessities depends on the lifestyle and is decided case- to case
    - Sec 69: A is supposed to pay B. C has an interest in this payment. So C can B on A's behalf and then recover it from A.
    - Conditions:
      i. Payer must be interested in making the payment: EX: a tenant has an interest in paying the mortgage of his owner to prevent the foreclosure of the house and is entitled
      ii. Payer is not bound to pay

iii. Defendant should be under legal compulsion to pay- EX: The owner has an legal obligation to pay the bank.
iv. Payment should be from one to another. EX: The tenant cannot being the creditor
    - What if B Says he will pay A's instalment from the rent due to A, A not taking rent is construed as A repaying/reimbursing B- but this may have an adverse effect on the lease /rent agreemnet so for simplicity's sake, assume B pays C and then A repays B, w/o touching the rent money at all.
- Sec 70: When something is not done as a favour (gratuitously) one is entitled to be reimbursed
    - Conditions:
    i. Not intending to do so gratuitously
    ii. Not encourage interference in other' affairs- you must have an option to accept or return the thing being done
    iii. Request for services creates implied promise to pay- the request can be implied by accepting the service
    iv. Lawfully does
    v. Enjoys the benefit- should have derived a benefit from it.
- Sec 71: A person who finds goods belonging to another, and takes them into his custody, is subject to the same responsibility as a bailee
    - Bailment- sec 148- personal property of one person is temporarily given into someone's else's possession
- Sec 72: A person to whom money has been paid, or anything delivered, by mistake or under coercion, must repay or return it.
    - Mistake of law is usually not-excused but here money paid by mistake of fact or law is recoverable.
    - Mistake- meaning cannot be legally obligated or legally due.
    - Exception: if there is a change in the position of payee such that he cannot repay it.
    - Coercion:

- Quantum Meruit Claims:
    - Where one does some work in performance but performance then becomes impossible
    - EX: If A starts working for a magazine to design its format but halfway through the magazine shuts down, he is still entitled to be reimbursed for the work he has completed till then in pursuance of the contract.

Tutorial 2: Challenging Blackletter Contract Law

Thursday, 11 February 2021 12:59 pm

- SCHOOLS OF CONTRAT LAW:

1. Classical: Associated to be objective and standardised- looks at objects and theory w/ much reference to circumstance
    - Blackletter law deals with this
2. Modern: Subjective, individualised not standardised- looks at circumstances more closely
    - Courts and judged are allowing transition to this

- Earlier contract law was independent of state of mind of parties and only based on overt act
    - Consensus as idem- same thing in the same sense- what are parties intending to contract to
        - US law says that if the parties attach the same subjective meaning to something, it will prevail even if it is unreasonable (diff from what is set in law)
        - This is contrary to the classical undertsanding that the law will prevail in such situations since to disregards the intention of parties

OFFER AND ACCEPTANCE:

- How the power of acceptance, conclusion of bargain ends?
- Lapse: when the offer is not assented to in a particular period of time, then at the expiration of time the offer lapses
- Global rule: set period of time
    - But problem arises when no time is specified and 'reasonable time' is prescribed:
    - EX: An offer made on 1 May and consisted of a written contract to give real estate property from A to B. On Jan 3 of next year, B signed and delivered it. A accepted it any way.
        - Real estate market circumstance may change:
        - The law here cannot come in and say that the time is unreasonable since the mutually held subjective interpretation
- Conversation rule: any conversation over the telephone cannot extend beyond the time of the conversation, unless a contrary condition is put forth explicitly by the offeror. So offer expires as soon as call ends.
    - But this is absurd considering that a real-life conversations don't work like that
    - So law created counter-vailing circumstances like where the offeror has to prepare something after the call to make it to the offeree.
    - EX:

REJECTION, COUNTER-OFFER AND QUALIFIED ACCEPTANCE:

- Counter offer- diff terms same subject matter
    - Counter terminates offeree's power of acceptance.
    - But generally counter-offers negotiate the process more fluidly- so cannot be said to expire
    - Exception: 1) enquiry does not terminate power if acceptance
        - Some jurisdictions may consider framing of counter-offer a enquiry

      2) Request to change terms

      3) That the offer is held under ad- being considered.
- Qualified acceptance: partially accepted but then still terminates the official offer
    - Exception: if the qualifications are implied in the original offer
    - Grumbling assent is not equal to dissent= acceptance
    - Mirror image rule: the forms initially in trade created diff T&C

- Constitution of an offer:
    - Ads- as invitations- problem in considering it as such is that the seller still retains the opportunity to change the

terms. Makes it arbitrary for the buyer.

        - Offer says court is clear, explicit and definite but these words are qualified and vague in themselves.
    - Auction- if auction w/o reserve- then the auction is called an offer not invitation.
        - If w/ reserve then the auction is only invitation of offer

ACCEPTANCE:

If by act: unilateral

If by promise: bilateral

- If offer specifies must follow the method prescribed,
- Classical law used to favour promise over act
- But this would cause loss to person who starts the act w/o promise- so today can be by either act or promise

Tutorial 3: Consideration review

Thursday, 18 February 2021 1:00 pm

- Sort of quid pro quo or price for a promise
- ELEMENTS OF CONSIDERATION from sec 2(d):
    a. Desire of the promisor- deals w/ promissory estoppel
    b. Done by promisee or any other perosn- deals w/ privity of consideration (or lack thereof)
    c. Already executed, in the process of being executed or are executory

UNILATERAL PROMISE AND REVOCATION:

- From side intended to induce some action from the other person
- They originate as a gratuitous promise but if the promisee carries out the thing desired, then the promisee can hold the promisor liable from the promise on whcih he has acted.
    - So the act of the promisee act as a consideration and as accepatnce at the same time
    - Promisee needs to alter his position w/ respect to the promisor for the contract to come into existence and for it to be enforceable.
- REVOCATION:
    - Generally said once the offer begins the revocation is impossible.
    - Mere commencement of the performance doesn't not convert the offer into a contract.
    - Can be sued based on quantum meruit- on the basis of how much is done by the promisee

PRIVITY:

- English law: Consideration should move only from the promises to the promisor or else the promisee becomes a stranger to it, and privity of contract for right to enforce
    - Privity of contract criticism for 3 rd party beneficiary contract- still stands after Beswick
- Indian law: Need consideration no matter who pays it- so no privity of consideration
    - Privity of contract not mentioned in the ICA so based solely on common law
    - Privity upheld through Jamna Das and Mc Chacko

Tutorial 7: Contingent Contracts Ch 3

Monday, 15 March 2021 12:23 pm

MODES OF DISCHARGE:

- After the contract is formed, the next stage is to fulfill the objectives of the contract through performance and then the contract is complete by the liability is said to be discharged
- But there are other ways to discharge the contract
  - Performance, Agreement, breach and impossibility
- Sec 31: **"Contingent contract" defined.—A "contingent contract is a contract to do or not to do something, if some event, collateral to such contract, does or does not happen.**
- It is a conditional contract:
  - Ex: Insurance contracts
  - The condition needs to be of an uncertain nature- cannot be an absolute condition (like I'll give you money on 1st March, 2021- it is bound to happen, death of a person)
  - Will contemplate a future event- but this is not necessary. Very rarely it can also be a contingency of how a past thing happened.
- Contingency to be collateral:
  - A contract has already risen or is subsisting- only performance is pending, depending on an event.
  - So not a conditional offer.
  - Ex: A says he will pay B if B finds A's lost dog. This is not a contingent contract since only once the dog is found, a contract to pay arises and then there is no such contingency left over.
  - Ex: A sales deed for a land would be signed if the buyer received permission from the municipal council. Here this was not a contingent contract, since the deed would only become a mature contract once this permission is sought.
  - Ex: A and B agree to sell land if A wins his case. This is contingent
  - Contingent is for an anticipating the event. Impossibility is for an unanticipated event.
- Contingency depending on the will of a person.
  - This is even if the contingency is completely within the control of the person
  - Secy of State for India v. A.J Arathoon
  - FACTS:
  - RULE:
- Contingency/ event to be condition precedent- the condition precedent not for conclusion of the contract:
  - No condition subsequent give rise to contingent contract
  - Contingent: A will buy 100 shares from B Co if A is appointed as a cashier- sale of shares is contingent
  - Not contingent: A says

Sec 32: A contract to do an act on the happening of a future uncertain event cannot be enforced until the event happens

- If the event becomes impossible, contract becomes void
- Event must happen in the way contemplated by the contract (like insurance)

Sec 33: for non happening of an event- parties need to wait till happening become reasonably impossible to enforce the contract.

Sec 34

Frost v. Knight:

FACTS: A promised to marry B on the death of B's father. Before B's father dies, A marries C.
RULE: The chance of A now marrying B was contingent on a further contingency of A and C's marriage breaking down.
Sec 35:
Sec 36:

Tutorial 8: Satyabrata Ghose v. Mugneeram Bangur & Co- Frustration

Thursday, 25 March 2021 1:02 pm

FACTS:

- Mugneeram CO owns a large tract of a land and started a scheme to develop it for residential purposes- divided it into plots. Wanted to enter agreements with various purchasers at nominal consideration as earnest money
- Then it was to construct roads and drains on the land to make it fit for residential purposes
- 5 Aug 1940- Bejoy Krishna Roy (BKR) entered a contract and made the earnest money of Rs 101
- On 12 Nov 1941: the DC passed an order that a portion of the land was requisitioned for military purposes
- On Nov 30 1941, Bejoy made Satyabrata his nominee- menaing deals w/ all the land related stuff
- On 20 Dec, 1941- another portion of the land was requisitioned and later the rest of the land was requisitioned for military purposes
- Nov 1943- company sent a letter to BKR to inform of the requisitions and that they had no idea when the land would be given back and that the development to of the land could not occur till then or even after the war
- They gave 2 options to the purchasers- could treat the contract as cancelled and take their earnest money back in 30 days or they could refuse to take contract as cancelled, pay the rest of the land price in 30 days and "as the conditions were conducive" they would build the drains and roads. The last line of the letter set that if neither option is picked, the contract would be treated as cancelled and the earnest money would be forfeited
- Satyabrata did not agree to either clause and suit filed in 1946
- PRAYERS:
    - Said initial contract b/w company and BRK should be deemed as still subsisting and not cancelled
    - P is entitled to get the conveyance (transfer) executed and registered by the co on payment of the considertaion money as per the initial contract terms. No changes
- The company said that the contract of sale was discharged by frustration and supervening event of requisition was causing this- no breach

DECISION OF LOWER COURTS

- Trail court held Co in breach
- District court affirmed Trial court
- HC said yes that there was frustration and dismissed p's suit
- Now P has appealed this to SC

CONTENTION OF A AND COURT RULING:

1. Doctrine of English law relating to frustartion cannot apply due to sec 56 ICA
    - Said wording is same in first para between Indian and English law
    - Said "impossible" not to be taken literally but "impracticable" and "useless" compared to the object of the contract
        - Quoted "if substantially the whole contract becomes impossible of performance or in other words impracticable by some cause for which neither was responsible,."
    - Impossible and frustration are interchangeable
    - Joseph case: "DoF is only a special case of discharge of contract by impossibility arising after the contract is made" therefore u/s 56 of ICA.
    - Kesari Chand: " When contract become impossible of performance after it is made depending on the circumstances"

- RULE: Held that doctrine of frustartion is an aspect of law of discharge of contract and comes within sec 56. Also held that ICA when it deals w/ a subject it is exhaustive and we cannot bring doctrines "de hors" the statutory provisions. English principles only have purposive value
- Explored development of law in England
  - Basically read an "implied term" into contracts through frustartion and treated it as past of thr contract for the ruling. (like 1dt in Taylor v. Caldwell)
    - Lord Wright did away with this theory saying that there is no reason given why the term is implied and that it was invented by the court and inconsistent w/ frustration
  - In Robinson v. Davison said that the supervening circumstance is an understood condition- so contracts being in themselves conditional and not absolute
  - Also reconciles absolute contracts w/ special demands to meet ends of justice.
  - Don't look at what parties actually intended but what a reasonable perosn would have presumed and made terms for if they could foreseen such an event.

- Basically said these developments aren't relevant to India since we have ICA
  - We can only look at sections of ICA
  - Sec 56 is a positive law- not based on the rationale that it a term could release the parties if the thing became unlawful or impossible.
    - Here the parties did not think about the event at all so cannot make such provisions for it
    - **Whether such change of contract affected the root of the contract then it is frustration**
  - In England, the implied term construction would also be frustartion but this would be dealt under sec 32 under ICA. Cannot be 56 since such events are unexpected and hence parties may not have implied intention or agreement on how to deal w/ such events.
    - In the circumstance that the unexpected event was contemplated and still parties have said the contract would be enforceable, court can certainly not read it as frustrated.

2. Even if English law applies, does not apply to sale of land, English judges also do this
   - In English law land sale is in equity- as soon as the contract is completed the buyer becomes the owner and the seller only holds the property in trust and has a right to be paid
   - But in India, sale of land is normal so frustartion will apply

3. No frustration as "not impossible"
   - Frustration- dissolution of contract is automatic:
     *"It is well settled and not disputed before us that if and when there is f**rustration the dissolution of the contract occurs automatically**. It does **not depend**, as does rescission of a contract on the ground of repudiation or breach, or **on the choice or election of either party**. It **depends** on the **effect** of what has **actually happened on the possibility** of performing the contract"*
   - Recession: depends on breach or when one party chooses to rescind the contract
   - Here the sale was a scheme and the object was to develop the extensive land and make it habitable and developed. On the other hand P wanted the land to be ready for development and sold
   - The contract **itself had no lime limit** for this construction. DC (last court of fact) had no shared understanding for this either. Even the 15 month period between the contract and the first requisition no work was undertaken
     - The work was not started here so no chance of interference
   - The **war was already on when the contract** was entered into- this creates difficulty to access resources so maybe that's why the company left the time limit open ended- but also means that both parties realised the limitations in their contract and could have foreseen something like requisition.
   - SC said that had the contarct mentioned a time limit, then such a change to an indefinite period would render the contract frustrated. But here since there was absolutely no time period, the requisition did not

affect the contract at all.

- SC discarded the HC reasoning that no contract can be formed w/ a completely indefinite time limit. Questioned their assumption that the parties must have menat a few years esp given Dc evidence that there was absolutely no understanding of time period.

RULING: The contract was not frustarted by requisition since it did not effect the contract at all.

Tutorial 9: Standard form

Thursday, 1 April 2021 4:12 pm

AGREEMENTS:

- Changes w/ type of contract- so different standard clauses for service contracts, sale deeds, rent agreements etc
- BOILERPLATE CLAUSES: template of the clause for the contract (essentially like a fill in the blank)
    - Very common clauses- extra clauses can be added and removed
- SPECIAL CLAUSES: as required by the parties
- Example of Sale Agreement:
    - Starts w/ a head
    - Goods can be described in a table, annexure, para depending
- GUARANTEE:
- WARRANTY: warranting that the representation is true
- REPRESENTATION: Making claims about the good
    - "as is"- goods as seen by the buyer, like caveat emptor,
    - "goods are free" meaning free from encumbrance- seller has title to the goods, no charge on it.
- FORCE MAJEURE: unforeseen circumstances
- Assignment: meaning someone else performs on behalf of the party- can also be of rights like A can sue on B's behalf.
- Disputes: usually an arbitration, mediation etc clause, can also be forked as in- first we'll do ADR, then litigation
- Entire Agreement: says that the agreement is complete- nothing from previous agreements, negotiations will be held enforceable.
- WAIVER: like waiving right to sue,
- Severability:

Tutorial 10: Suits! Case study

Thursday, 8 April 2021 1:03 pm

- FACTS: Keith Hoytt is a compulsive gambler and alcoholic and has an energy company. Keith wrote on the napkin that for a loan of 3 million, if he won, he would pay Micheal Ross back 3.5 million and if not he would lose the company worth 30 million which was put up as collateral. Keith said he had only one drink but he had actually had 16 drinks in 11 hours.
    -

Tutorial 12: Wagering Contracts

Friday, 16 April 2021 9:15 am

Prachi 9559270570

- [ ] Legalising cricket betting is big topic nowadays- sir believes it should be illegal

- Sec 30: Agreements by way of wager are void
- 30. Agreements by way of wager void.—Agreements by way of wager are void; and no suit shall be brought for recovering anything alleged to be won on any wager, or entrusted to any person to abide the result of any game or other uncertain event on which any wager is made. 1. Ins. by Act 4 of 2013, s. 17 and the Schedule
    - Exception in favour of certain prizes for horse-racing.—This section shall not be deemed to render unlawful a subscription or contribution, or agreement to subscribe or contribute, made or entered into for or toward any plate, prize or sum of money, of the value or amount of five hundred rupees or upwards, to be awarded to the winner or winners of any horse-race.
    - Section 294A of the Indian Penal Code not affected.—Nothing in this section shall be deemed to legalize any transaction connected with horse-racing, to which the provisions of section 294A of the Indian Penal Code (45 of 1860) apply
- J Subba Rao in **Gherulal Parakh v. Mahaeodas d**efined wager as "Promise to pay money or money's worth upon the determination of an uncertain event"
- This was based on Carbolic Smokeball's rationale:
    - "A wagering contract is one by which two persons professing to hold **opposite view**s touching the issue of a future uncertain event, mutually agree that, dependent on the determination of that event, one shall pay or hand over to him, a **sum of money or other stak**e; neither of the contracting par ties having any other interest in that contract than the sum or stake he will so win or lose, there **being no other real consideration** for the making of such contract by either of the parties. It is essential to a wagering contract that each party **may under it either win or lose**, whether he will win or lose being dependent on the issue of the event, and, therefore, remaining uncertain until that issue is known. **If either of the parties may win but cannot lose, it is not a wagering contract."**
    - Essential that the parties are only interested in the money or goods of money's worth and this is the only consideration
    - Also the one party must win and other must lose, cannot be that one wins and other has no impact

1. Uncertain Event
    - Can be future event or the unfolding of a past event that both party are ignorant about and need to find out (if one party does know then this is fraud)
    - Uncertain as in unawareness, need not be soemthing exactly out of control
2. Mutual Chances of gain or loss:
    - Need not be equal chance like 50/50 chance
    - Babasaheb v. Rajaram
        - FACTS: 2 wrestlers agreed to wrestle. Condition was that the party who fails to appear for match would pay the other Rs.500. And the one who appears would get Rs.1125 from the gate money (the public's fees).
        - RULE: Not a wagering contract b/c neither party has anything to lose for not coming for the 1125 amount, but from the public. They were just fighting to win the amount.
            - If however one of the opponents was required to pay, then it would be wagering contract
    - Chit fund not eqaul to wagering contract:
        - Either the pooled money is returned w/ interest or at least get your deposits back so nothing to lose
3. Neither party has control over the events
4. No other interest in the event:
    - Only interested b/c your money/goods /services are involved in it- here the contract itself creates risk

- This is what differs wager from an insurance contract
- Insurnace contract requires an insurable interest- here the risk is outside the contract
- So an insurnace contract- insurable interest= wager -> void
- EX: In a health insurance besides the sum assured, the insured also has an interest in his health so not a wagering contract
- Substance more imp than words of an agreement to determine this
- Must find real object
- Ex: A sale agreement was based on whetehr or not the buyer had paid for a past purchase. Here the real object isn't really a sale but a wager

EFFECT OF WAGERING:

- Void and hence unenforceable
- Any benefits that are given under such an agreemnt cannot be recovered.
- A new subsequent contract to pay or recover such amount later is equally void and unenforceable as well as payment to a third party

COLLATERAL TRANSACTIONS:

- Void but not UNLAWFUL
- Ex: A is supposed to pay B under a wagering contract. C lent A money for this purpose. C can recover the money from A since the borrowing contract is collateral to the wagering contract

EXCEPTIONS:

1. Horse-racing exempted
2. Cross word competition: where skill is involved and the prizes awarded are based on merits then not lottery or wagering competition.
    - But if only chance like lottery then it is a wager
    - Sec 294 of IPC: allows state to have lotteries